IN THE MATTER OF AN ARBITRATION
UNDER THE ARBITRATION AND CONCILIATION ACT 1996 AND THE UNCITRAL ARBITRATION RULES 1976

27653/GL/DTI/HBH

BETWEEN:

Prvo Plinarsko Drustvo d.o.o.

[Claimant]

Gazprom Export LLC

[Respondent]

Before

Onsite hearing on 16 to 27 March 2026

Day 1

Wednesday, 15 April 2026

Mr A.Ramasubramanian, Mr Manikandan Murugesan (of Adroit Claims & ADR Consultants), Mr Abdalla Alowais (of Abdalla Alowais Advocates) and Mr Chinniah Titus appeared
On Behalf of Claimant

Mr R Venkataramani, Attorney General of India; Mr Vivek Kohli, Senior Advocate;
Ms Neetika Bajaj, Ms Shambhavi Srivastava, Mr Anav Mathur (of Zeus Law Associates);
Mr Samir Malik, Mr M Shahan Ulla, Mr Lakshay Mehta and Ms Yachana Gupta (of DSK Legal);
Mr Raman Yadav, Mr Abhishek Kumar Pandey, Ms Yamika Khanna and Ms Deboshree Mukherjee (assisting the AGI);
Mr Shivang Singh, Ms Vasudha Chadha and Mr Vaibhav Chaturvedi (assisting Mr Vivek Kohli)
On Behalf of Respondent

Transcript — Annotations Summary

QFact

Red

Created by res 6 | 16/03/2026

P 63.1 - 63.2

1 11:02 coSwiss law to finds that any modification requiring the
2 11:02 payment mechanism is null and void.

Note: coSwiss law to finds that any modification requiring the payment mechanism is null and void.

Red

Created by testRT RT | 16/03/2026

P 54.14 - 54.16

14 10:47 y were a payment to the bank for a service which
15 10:47 was setting up the guarantee, so there was no flow to
16 10:47 the sancti

Note: y were a payment to the bank for a service which was setting up the guarantee, so there was no flow to the sancti

alokIssue

Created by testRT RT | 16/03/2026

P 54.9 - 54.10

9 10:47 But the end beneficiary of the guarantee was
10 10:47 sanctioned. I

Yellow

Created by Muhammad Saeed | 16/03/2026

P 49.12 - 49.16

12 10:38 The third and final form of prohibition relied on
13 10:38 relates to circumstance venges provisions and they are
14 10:38 applicable alongside the prohibitions we have already
15 10:38 looked at and circumstance venges of a sanction is
16 10:38 broader than a violation of it.

Red

Created by Muhammad Saeed | 16/03/2026

P 49.2 - 49.5

2 10:37 ussian war effort and this sanction prohibits
3 10:37 transactions related to the management of the assets and
4 10:37 reserves of the CBR.
5 10:37 So breaking it down again transacti

2nd

Created by Alok jha | 20/04/2026

P 6.18 - 6.23

09:09 Did Mr -- how do you pronounce his name properly,
09:09 "Go-et" or?
09:09 MR TALANOV: I guess "Goeth", but I may be wrong, I am not
09:09 a native speaker.
09:09 DR REINER: Did he sign any declaration of confidentiality
09:09 yet?

Note: Did Mr -- how do you pronounce his name properly, "Go-et" or? MR TALANOV: I guess "Goeth", but I may be wrong, I am not a native speaker. DR REINER: Did he sign any declaration of confidentiality yet?

alokIssue

High

Created by Alok jha | 21/04/2026

P 3.16 - 3.21

09:04 PRESIDENT: Thank you very much.
09:04 Can you confirm, claimant, that none of the
09:04 witnesses who are going to be called are in attendance
09:04 this morning? On your side?
09:04 MR HAUGENEDER: I confirm that.
09:04 PRESIDENT: Respondent?

Note: PRESIDENT: Thank you very much. Can you confirm, claimant, that none of the witnesses who are going to be called are in attendance this morning? On your side? MR HAUGENEDER: I confirm that. PRESIDENT: Respondent?

Pink

Created by Alok jha | 20/04/2026

P 2.5 - 2.10

09:01 Thank you, there are no other matters at this moment
09:01 to decide.
09:01 PRESIDENT: Thank you, claimant, and very shortly the
09:01 tribunal will invite you to introduce all the members of
09:02 the delegation that is composed on my right-hand side.
09:02 Respondent.

Note: Thank you, there are no other matters at this moment to decide. PRESIDENT: Thank you, claimant, and very shortly the tribunal will invite you to introduce all the members of the delegation that is composed on my right-hand side. Respondent.

Orange

Created by Alok jha | 17/03/2026

P 1.9 - 1.12

08:20 good morning, testing audio through the remote connection,
08:34 SP01: Yeah, I''m. Here. I think. Great. Thank you.
08:35 SP02: Testing terminal number 1. Testing terminal
08:35 number 2. Testing terminal.

Note: good morning, testing audio through the remote connection, SP01: Yeah, I'm. Here. I think. Great. Thank you. SP02: Testing terminal number 1. Testing terminal number 2. Testing terminal.

Full Fact

Pink

Created by Alok jha | 20/04/2026

P 2.1 - 2.6

09:01 the tribunal. First of all, we are very glad to see
09:01 that also the tribunal could be -- everyone on the
09:01 tribunal could be here personally. We are very glad
09:01 about that.
09:01 Thank you, there are no other matters at this moment
09:01 to decide.

Note: the tribunal. First of all, we are very glad to see that also the tribunal could be -- everyone on the tribunal could be here personally. We are very glad about that. Thank you, there are no other matters at this moment to decide.

alokIssue

Created by Alok jha | 20/04/2026

P 1.5 - 1.7

09:00 The members of the tribunal are very happy to meet
09:00 with the parties and counsel representatives, we look
09:00 forward for this two-week hearing.

Note: The members of the tribunal are very happy to meet with the parties and counsel representatives, we look forward for this two-week hearing.

alokIssue

Created by Alok jha | 20/04/2026

P 1.17 - 1.20

09:01 The second point on the agenda is the use of the
09:01 slides and some of the slides identified by parties''
09:01 respective counsel as being demonstrative exhibit, this
09:01 will be dealt with before we start this morning.

Note: The second point on the agenda is the use of the slides and some of the slides identified by parties' respective counsel as being demonstrative exhibit, this will be dealt with before we start this morning.

alokIssue

Created by Alok jha | 20/04/2026

P 1.8 - 1.13

09:00 We have, before we start the evidentiary hearing
09:00 with the opening statements of the respective parties,
09:00 I have to review and decide on a few procedural matters.
09:00 The first matter on the agenda today is the
09:00 participation of Mr Goeth to this hearing and to this
09:00 arbitration.

Note: We have, before we start the evidentiary hearing with the opening statements of the respective parties, I have to review and decide on a few procedural matters. The first matter on the agenda today is the participation of Mr Goeth to this hearing and to this arbitration.

Quick Mark

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P 5.13

change or any amendment to the representative team.

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P 5.12

the list of participants is not really related to any

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P 5.14

MR TALANOV: We see your point, but there was a procedural

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P 5.15

deadline established by the tribunal when this clarity

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P 1.3

PRESIDENT: Good morning. Welcome to all of you. I hope

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P 1.2

Introductions and procedural discussion

DocLink

Created by Alok jha | 26/04/2026

P 4.4 – 4.7

4 09:04 May I first ask counsel for respondent whether
5 09:04 Mr Goeth is in attendance right now, in this room?
6 09:04 MR TALANOV: Mr Goeth is not in attendance in this room
7 09:05 now.

Outgoing DocLink Decree Amendment No. 992 (Russian) and English Translation Exhibit No. C-21

Ref: 1-4 | Bundle: B3

08:43:35 (9.00 am)
08:59:59 Introductions and procedural discussion
09:00:19 **PRESIDENT:** Good morning. Welcome to all of you. I hope
09:00:23 you had safe travels.
09:00:26 The members of the tribunal are very happy to meet
09:00:30 with the parties and counsel representatives, we look
09:00:34 forward for this two-week hearing.
09:00:38 We have, before we start the evidentiary hearing
09:00:40 with the opening statements of the respective parties,
09:00:44 I have to review and decide on a few procedural matters.
09:00:48 The first matter on the agenda today is the
09:00:51 participation of Mr Goeth to this hearing and to this
09:00:55 arbitration.
09:00:57 We have received an application from the claimant on
09:01:00 Saturday night and we have received the comments of the
09:01:04 parties.
09:01:05 The second point on the agenda is the use of the
09:01:10 slides and some of the slides identified by parties'
09:01:13 respective counsel as being demonstrative exhibit, this
09:01:18 will be dealt with before we start this morning.
09:01:20 We have these two points on the agenda today before
09:01:25 we start; is there any other point that needs to be
09:01:29 covered before we commence with the evidentiary hearing?
09:01:32 Claimant?
09:01:36 **MR HAUGENEDER:** Good morning, madam president, members of

09:01:38 the tribunal. First of all, we are very glad to see
09:01:41 that also the tribunal could be -- everyone on the
09:01:46 tribunal could be here personally. We are very glad
09:01:51 about that.
09:01:54 Thank you, there are no other matters at this moment
09:01:56 to decide.
09:01:57 **PRESIDENT:** Thank you, claimant, and very shortly the
09:01:59 tribunal will invite you to introduce all the members of
09:02:02 the delegation that is composed on my right-hand side.
09:02:09 Respondent.
09:02:12 **MR TALANOV:** Thank you, dear members of the panel, a very
09:02:14 good morning. Many thanks from our side as well for
09:02:16 being here today.
09:02:17 There are no other procedural issues to discuss
09:02:19 before we start. Thank you.
09:02:22 **PRESIDENT:** Thank you. May I invite counsel for claimant
09:02:25 to introduce the parties' representatives and any member
09:02:30 of the delegation, I call it this way.
09:02:39 **MR HAUGENEDER:** Thank you, madam president.
09:02:40 On behalf of the claimant, PPD, we have Mr Lovro
09:02:47 Gasparac, we have Ms Tea Piacun and to my left Mr Ben
09:02:57 Holland. To my right Ms Jurgita Petkute, Mr Theo Hall.
09:03:04 And then in our team Ms Arias Lim, Ms Kirsten
09:03:11 McGoldrick, Mr Benjamin Weber, Mr Max Murtinger,
09:03:16 Mr Nikalas Peristorakis, Ms Emma Lidstrom, Mr Jack

09:03:21 Salter, Mr James Jago and Mr Sam Gordon.
09:03:27 Thank you.
09:03:28 **PRESIDENT:** Thank you very much.
09:03:32 Respondent.
09:03:33 **MR TALANOV:** Thank you, dear members of the panel. With
09:03:35 respect to the legal counsel, to my right is
09:03:37 Ms Natalia Soldatenkova, to my left is Mr Arseniy
09:03:40 Bystrov, Mr Evgeny Raschevsky, Ms Anastasia Alexandrova.
09:03:48 There is also the representatives of the Gazprom expert
09:03:53 legal team, Ms Natalia Kosinova, Ms Karina Rostovtseva,
09:03:59 Ms Ekaterina Mikhalenko and Mr Maksim Petchenko.
09:04:04 And as for the experts, we also have
09:04:07 Mr Pascal Hildebrand, Ms Yulia Dubovik,
09:04:12 Ms Valentina Smirnova and Ms Ksenia Berezneva present
09:04:15 here as well.
09:04:18 **PRESIDENT:** Thank you very much.
09:04:19 Can you confirm, claimant, that none of the
09:04:23 witnesses who are going to be called are in attendance
09:04:25 this morning? On your side?
09:04:28 **MR HAUGENEDER:** I confirm that.
09:04:29 **PRESIDENT:** Respondent?
09:04:31 **MR TALANOV:** We can confirm that. Thank you.
09:04:32 **PRESIDENT:** The first point we will address is the
09:04:36 claimant's application requesting that LGP and Mr Goeth
09:04:42 be excluded from acting as counsel for respondent in

09:04:45 these proceedings and therefore be prevented from
09:04:47 attending the evidentiary hearing commencing today,
09:04:49 16 March.
09:04:52 May I first ask counsel for respondent whether
09:04:55 Mr Goeth is in attendance right now, in this room?
09:04:59 **MR TALANOV:** Mr Goeth is not in attendance in this room
09:05:01 now.
09:05:01 **PRESIDENT:** Is he in the premises?
09:05:04 **MR TALANOV:** He's not. We invited him not to be here
09:05:06 today, because of the unresolved issue with his
09:05:12 attendance.
09:05:19 **PRESIDENT:** Do you intend to have Mr Goeth participate in
09:05:22 the hearing?
09:05:23 **MR TALANOV:** Yes, not today. Starting from tomorrow.
09:05:47 **PRESIDENT:** Is he in the hotel right now?
09:05:49 **MR TALANOV:** He is not.
09:05:51 **PRESIDENT:** The tribunal has a question to the respondent
09:05:57 before we discuss and decide on this question.
09:06:04 When did Mr Goeth or at which point in time, on
09:06:08 which date, did Mr Goeth or LGP became involved in this
09:06:12 arbitration? We were notified, we understand we were
09:06:15 notified on 9 March, but at which point in time did he
09:06:18 become involved?
09:06:20 **MR TALANOV:** Mr Szucich, who was the original Austrian
09:06:24 counsel by the respondent, passed away on 20 February

09:06:29 and the respondent started searching the new counsel
09:06:32 right afterwards. It took us about maybe five, seven
09:06:36 days to find the counsel, so somewhere in the end
09:06:38 of February was the first time Mr Goeth confirmed he has
09:06:44 no conflict to act in this case as representative.

09:06:51 **PRESIDENT:** Which date was he hired by your client?

09:06:55 **MR TALANOV:** I need to check, not to mislead you, but it
09:06:58 was something around 27 or 28 February.

09:07:02 **PRESIDENT:** Thank you.

09:07:16 **DR REINER:** Did you consider informing the tribunal by
09:07:19 that date that you had appointed new counsel? Because
09:07:23 the list of participants is not really related to any
09:07:26 change or any amendment to the representative team.

09:07:33 **MR TALANOV:** We see your point, but there was a procedural
09:07:35 deadline established by the tribunal when this clarity
09:07:39 could have been brought in and therefore we thought it
09:07:43 is best to do it accordingly.

09:07:47 **PRESIDENT:** Okay. Further to the questions that were
09:07:51 asked for the -- by the tribunal to the respondent, is
09:07:55 there any comment you may wish to add and do you
09:07:59 maintain your request as filed on Saturday?

09:08:04 **MR HAUGENEDER:** Madam president, we maintain our request
09:08:09 and the information we just received reinforces our
09:08:13 concerns, because the list of participants to a hearing
09:08:19 is not the same matter as the appointment of counsel.

09:08:24 We believe the appointment of counsel should be
09:08:27 notified without delay and as it seems here, there was
09:08:32 at least a delay of 10 days.
09:08:36 So that also speaks against the respondent's
09:08:47 objection that our request was untimely. We made the
09:08:54 request immediately on the day we discovered these
09:08:57 issues and we would submit that there is an obligation
09:08:59 of counsel to notify any issues that could endanger the
09:09:08 integrity of the proceedings.
09:09:11 **PRESIDENT:** Thank you. This is noted.
09:09:13 We are going to take a two-minute break. We're
09:09:15 going to deliberate on this point and we'll be back in
09:09:17 the room.
09:09:18 Please don't move. We will move and resume very
09:09:22 shortly.
09:09:23 **DR REINER:** Can I perhaps ask one question before we
09:09:25 leave.
09:09:27 Did Mr -- how do you pronounce his name properly,
09:09:30 "Go-et" or?
09:09:31 **MR TALANOV:** I guess "Goeth", but I may be wrong, I am not
09:09:33 a native speaker.
09:09:35 **DR REINER:** Did he sign any declaration of confidentiality
09:09:38 yet?
09:09:40 **MS SOLDATENKOVA:** We have a confidentiality clause in the
09:09:42 engagement letter, because we include it as per the

09:09:44 terms of reference in all engagement letters which are
09:09:46 made in relation to this arbitration.
09:09:49 **DR REINER:** Okay.
09:09:51 **PRESIDENT:** I'm sorry, I didn't hear the answer and the
09:09:53 transcript is not following --
09:09:54 **DR REINER:** It's not very loud.
09:09:56 **PRESIDENT:** Could you repeat the answer, just for me
09:09:59 because I -- the transcript, I mean the realtime is
09:10:03 suspended.
09:10:05 **MR TALANOV:** Absolutely. There is a confidentiality
09:10:06 clause in the agreement signed between our law firms on
09:10:09 the one hand, and on the second there is an issue raised
09:10:13 as a solicitor; under the English rules he's in any case
09:10:18 obliged to comply with the highest professional
09:10:20 standards.
09:10:22 **DR REINER:** Did you receive any information on other cases
09:10:26 that Mr Goeth is dealing with?
09:10:28 **MR TALANOV:** We were just getting the information that
09:10:32 there is no conflict, and that's all we could ask for.
09:10:36 So he confirmed that there is no conflict.
09:10:38 **DR REINER:** No, but my question is did you get some
09:10:40 information on these other cases --
09:10:42 **MR TALANOV:** No.
09:10:43 **DR REINER:** -- that he's dealing with?
09:10:45 **MR TALANOV:** No, no.

09:10:47 **PRESIDENT:** Further to the question asked by my colleague
09:10:51 to the respondent, is there anything the claimant wants
09:10:54 to add?
09:10:57 **MR HAUGENEDER:** Yes. First, a clarification. Mr Goeth,
09:11:02 according to our information, is not a solicitor. He's
09:11:04 a barrister in England and Wales.
09:11:10 Second, to underscore the point, Mr Goeth was
09:11:17 visibly engaged in finding out confidential information
09:11:23 about Mr Vujnovac and about this arbitration. So in
09:11:28 this sense --
09:11:30 **PRESIDENT:** I would like -- we have read your submission.
09:11:35 We have read the information that was to be collected.
09:11:40 I think the question is narrowed on any conflict of
09:11:45 interest. Please address the question, any comment, on
09:11:51 the question that was asked.
09:11:52 **MR HAUGENEDER:** Yes.
09:11:53 **PRESIDENT:** So, to the point that it is addressing that
09:11:55 question, I will take your comment, but if we expand it
09:11:59 we will not be able to make a determination on the
09:12:02 points that are on record.
09:12:04 **MR HAUGENEDER:** I was going to, just now to address that.
09:12:08 Under the applicable bar rules, a barrister is certainly
09:12:13 not allowed to try to obtain or to obtain confidential
09:12:20 information about his opponent and that's what Mr Goeth
09:12:23 has done. So we submit that excludes Mr Goeth

09:12:30 automatically. This is a serious irregularity and that
09:12:33 is a very, very serious conflict.
09:12:42 **PRESIDENT:** Thank you. We will resume in a few minutes.
09:12:49 (9.12 am)
09:12:53 (Short break)
09:12:55 (9.19 am)
09:19:27 **PRESIDENT:** So we're back on record.
09:19:29 So the tribunal has deliberated on the participation
09:19:33 of Mr Goeth. The tribunal notes that the issue is, in
09:19:38 the present case, is an allegation of a misconduct. The
09:19:43 tribunal finds that there has been up to now, on the
09:19:48 face of the evidence that's been provided to the
09:19:50 tribunal, no misconduct in this arbitration, that
09:19:58 whether there was a misconduct in relation to pending
09:20:03 procedural, parallel procedures, that are with related
09:20:06 parties, this is not a matter at this point of a breach
09:20:11 of misconduct of the lawyer or barrister in this
09:20:15 arbitration.
09:20:17 So therefore, the participation of Mr Goeth in this
09:20:20 arbitration at this point does not constitute a threat
09:20:24 to the integrity of these arbitration proceedings.
09:20:27 However, the tribunal is very concerned with the
09:20:32 integrity of this arbitration and matters of
09:20:36 confidentiality, including the parties' commitment made
09:20:40 in paragraph 71 to 73 of the terms of reference, whereby

09:20:45 the parties undertook confidentiality duties and made
09:20:52 declarations that they would provide for confidentiality
09:20:58 undertakings by the persons who are participating in
09:21:01 this arbitration, which includes counsel for respondent.
09:21:06 With that in mind, and in view of the specific
09:21:10 agreement signed by both parties in the terms of
09:21:13 reference and pursuant to article 19 and 22 of the
09:21:17 rules, the tribunal decides that the participation of
09:21:20 Mr Goeth in this arbitration and to this hearing is
09:21:25 subject to Mr Goeth providing to the other party and to
09:21:28 the tribunal, one, an undertaking requirement -- the
09:21:33 undertaking required so as to comply with the parties'
09:21:37 specific agreement contained in article 71 to 73 of the
09:21:40 terms of reference and, two, a declaration by Mr Goeth
09:21:44 that this undertaking does not violate the duty Mr Goeth
09:21:48 may owe to any other client and/or party or to the
09:21:52 court. Under the provision of such undertaking and
09:21:56 declaration, Mr Goeth will be allowed to participate to
09:22:00 the hearing commencing today, 16 March 2026.
09:22:04 A procedural order will be issued in the course of
09:22:10 the day or tomorrow confirming this decision.
09:22:19 Respondent, you have understood the tribunal is
09:22:21 requesting the respondent to provide such undertaking
09:22:26 and, subject to the provision of the undertaking,
09:22:28 Mr Goeth will be allowed.

09:22:31 I would like to ask now two questions.
09:22:35 Is the scope of Mr Goeth expertise in this
09:22:39 arbitration related to his expertise in Austrian law?
09:22:44 **MR TALANOV:** Absolutely, that is the case.
09:22:45 **PRESIDENT:** Is Mr Goeth going to be involved in the
09:22:48 cross-examination of any of the fact witnesses or expert
09:22:52 in this arbitration?
09:22:55 **MR TALANOV:** When you ask "involved", you mean will he
09:22:57 be --
09:22:59 **PRESIDENT:** Conducting cross-examination.
09:23:00 **MR TALANOV:** It was not the plan that we had in mind at
09:23:01 least before --
09:23:03 **PRESIDENT:** Is this a no?
09:23:05 **MR TALANOV:** It is a no.
09:23:06 **PRESIDENT:** Okay, so he will not be cross-examining any
09:23:09 fact witness of the claimant? I'm asking again.
09:23:13 **MR TALANOV:** He will not.
09:23:14 **MS SOLDATENKOVA:** No.
09:23:14 **PRESIDENT:** He will not. Very good. This is noted.
09:23:19 And the expert as well?
09:23:21 **MR TALANOV:** And the expert as well.
09:23:23 **PRESIDENT:** And the legal experts?
09:23:25 **MS SOLDATENKOVA:** And the legal experts.
09:23:26 **MR TALANOV:** And the legal experts.
09:23:27 **PRESIDENT:** So EPAM is exclusively conducting the

09:23:31 evidentiary hearing in terms of cross-examination or any
09:23:35 re-direct.
09:23:35 **MR TALANOV:** That is the plan, yes.
09:23:38 **PRESIDENT:** Thank you.
09:23:39 This is noted.
09:23:41 Were now going to turn to claimant.
09:23:45 **MR HAUGENEDER:** Madam president, thank you. We appreciate
09:23:49 the tribunal's concerns about the integrity of the
09:23:52 proceedings and we thank you for (inaudible -- coughing)
09:23:59 in this regard.
09:24:00 However, with respect, we must object against this
09:24:05 decision (inaudible -- coughing) 40 of the ICC Rules.
09:24:09 We believe that the threat to the integrity of these
09:24:15 proceedings is serious and real, as long as Mr Goeth and
09:24:19 LGP are counsel of record in this arbitration.
09:24:27 Again, it is not only about confidentiality.
09:24:32 Mr Goeth was engaged and has engaged a professional spy,
09:24:41 was engaged -- he engaged a professional spy to find out
09:24:46 pressure points about Mr Vujnovac, who is a key witness
09:24:50 in this arbitration.
09:24:53 He also was engaged to find out confidential
09:24:58 information on this arbitration for another client.
09:25:05 We believe this in itself excludes the participation
09:25:10 of Mr Goeth. Whether he conducts personally
09:25:15 cross-examination or not, we believe he cannot be

09:25:22 a counsel in this matter.
09:25:26 **PRESIDENT:** You just referred to an ICC provision of the
09:25:30 rules. Can you repeat the number? Did you mention 40?
09:25:38 **MR HAUGENEDER:** Yes.
09:25:48 **PRESIDENT:** On the waiver, right?
09:25:51 **MR HAUGENEDER:** We believe that this is a very serious
09:25:55 irregularity and that's the reason why we are raising
09:26:00 this point immediately, because we believe he and LGP
09:26:07 cannot stay counsel of record.
09:26:10 **PRESIDENT:** Your objection is noted and it's on record.
09:26:16 We're now moving to the demonstrative exhibits which
09:26:20 were submitted by the parties.
09:26:22 We have reviewed the 41 slides submitted by
09:26:25 respondent in respondent's opening submission and we
09:26:42 agree with the claimant that each of these slides, these
09:26:47 41 slides, do constitute exhibits, demonstrative
09:26:52 exhibits under the procedural order and the definition
09:26:57 of demonstrative exhibits. They do contain charts, they
09:27:07 do contain tabulations and they do contain illustrations
09:27:16 or forms that qualify them as a demonstrative exhibit.
09:27:21 That being said, each of these slides provides for
09:27:24 the source of the information that is conveyed on those
09:27:30 charts.
09:27:30 So the question here is to the tribunal, the
09:27:37 non-compliance by respondent of the 72-hour deadline.

09:27:43 The tribunal finds that this violation of the
09:27:48 deadline, that actually claimant complied with the
09:27:52 deadline, respondent did not comply with the deadline,
09:27:55 does not -- is not serious enough to exclude those
09:27:59 slides at this stage, today, in the slides that have
09:28:03 been submitted in respondent's opening submission.
09:28:09 However, should this happen again, the tribunal puts
09:28:13 the respondents on notice not to take a too narrow
09:28:17 approach to the definition of a demonstrative exhibit
09:28:20 and any use of an exhibit, a legal material, in order to
09:28:26 provide a secondary presentation of, in primary, either
09:28:35 exhibit or legal matter through a chart, a form, a flow
09:28:38 chart or a design, will be considered as a demonstrative
09:28:43 exhibit, and the tribunal reserves its right to exclude,
09:28:50 in particular for the examination of the witnesses and
09:28:53 the experts, reserves its right to exclude the use of
09:28:57 the slide for the purpose of cross-examination or
09:28:59 closing submissions.
09:29:05 There are rules in this arbitration and we
09:29:10 appreciate the amount of work put by the parties and the
09:29:13 parties' teams, so that the parties may prepare in
09:29:18 advance for every step of the proceedings.
09:29:21 The preparation of the opening submissions is one of
09:29:25 them and the 72-hour deadline was precisely made in
09:29:32 order to allow the parties not to have to search at the

09:29:37 last minute the content and double-check the content of
09:29:40 the slides.
09:29:44 So this is addressed to both parties, but in
09:29:48 particular for this topic it's addressed for the
09:29:51 respondent.
09:29:52 Now, the claimant has also reviewed the objection
09:29:55 raised by the respondent on the amount of slides
09:30:00 submitted by the claimant and the tribunal thinks it is
09:30:04 for each party to present its case as it so wish, with
09:30:08 the number of slides it so wish, and use them within the
09:30:11 time that is allocated by the tribunal in this hearing.
09:30:17 Should an extension of time be required, we just
09:30:21 remind the parties that the parties are equal -- I mean,
09:30:24 have the same amount of time and that the evidentiary
09:30:27 hearing is to start tomorrow, so there will not be at
09:30:32 this point any extension of time because of the
09:30:34 inability to present the entire slides.
09:30:37 As to the objection raised by the respondent on the
09:30:40 content of the slides submitted by the claimant, the
09:30:43 tribunal does not find that these slides constitute
09:30:46 demonstrative exhibits that should have been submitted
09:30:49 72 hours before the hearing. We received two
09:30:55 demonstrative exhibits and these have been addressed by
09:30:59 the claimant. The tribunal does not find that any other
09:31:03 slides identified by respondent do constitute

09:31:06 demonstrative exhibit.
09:31:08 As to the scope and the content of the slides, it is
09:31:14 up to the parties to make their presentation as they so
09:31:18 wish and the tribunal will determine the relevance of
09:31:20 each of these slides with the decision that has to be
09:31:24 made by the tribunal.
09:31:26 So with this in mind, we're keeping the
09:31:29 presentations as they are with a warning that the
09:31:31 tribunal will treat as a strict deadline any provision
09:31:36 of slides for the purpose of examination, so that none
09:31:40 of the parties feel that they're ambushed in this
09:31:43 arbitration.
09:31:46 **MR TALANOV:** If you permit just one clarification as for
09:31:48 those objections that were raised by the respondent.
09:31:52 We never raised any objections as to the
09:31:54 demonstrative aspects and we are very happy with the
09:31:57 presentation of the claimant to that extent.
09:32:00 There is a number of slides that do not identify the
09:32:03 sources, but as said, we do not object to that as well,
09:32:07 but they were just four specific slides raised that
09:32:10 contain new information, evidence and statements never
09:32:14 raised in this arbitration before.
09:32:16 So that was the precise concern of the respondent.
09:32:21 I just had to put it on the record that that was exactly
09:32:25 the content. Thank you.

09:32:28 **PRESIDENT:** Counsel, that was well noted by the tribunal
09:32:31 in your objections yesterday and that was addressed in
09:32:37 response, and the tribunal made its decision in light of
09:32:43 the comments that were submitted by both parties.
09:32:49 Claimant, anything?
09:32:53 **MR HAUGENEDER:** We have no further procedural issues.
09:32:55 **PRESIDENT:** So, claimant, you will shortly have the floor
09:32:59 to present. We're only three minutes behind schedule.
09:33:01 **MR TALANOV:** Excuse me --
09:33:01 **PRESIDENT:** You may wish to take a three-minute break to
09:33:08 get organised, so we will resume at 38 of the hour, in
09:33:13 five minutes. Thank you.
09:33:37 (9.33 am)
09:33:41 (Short break)
09:33:42 (9.36 am)
09:36:37 **PRESIDENT:** We will have a 15-minute break at some point
09:36:40 of time. Please take the 15-minute break at the point
09:36:47 in time in the flow of your presentation that you find
09:36:50 suitable.
09:36:52 I understand you'll be standing for quite a few
09:36:54 hours.
09:36:56 **MR HAUGENEDER:** It's not only me who will be giving our
09:36:59 opening presentation.
09:37:01 **PRESIDENT:** Should you prefer to click from your desk, the
09:37:05 tribunal is perfectly fine with you making your

09:37:08 presentation -- appreciate facing you, but is also very
09:37:13 much comfortable having you take a seat.
09:37:16 **MR HAUGENEDER:** Thank you. I think I prefer standing, but
09:37:22 a colleague will click, so that should work very well.
09:37:28 Are you hearing me? Because I have the information
09:37:28 that the sound --
09:37:39 **PRESIDENT:** The acoustic is a little bit slow, so speak
09:37:41 close to the microphone, but we have the ...
09:37:52 (Discussion off the record)
09:37:52 Opening submissions by Mr Haugeneder
09:38:42 **MR HAUGENEDER:** Madam president, members of the tribunal,
09:38:46 it is a privilege for Ms Petkute, Mr Holland and myself
09:38:51 to present PPD's opening statement in this important
09:38:57 matter.
09:38:59 After introducing some key facts and legal
09:39:03 principles that are highly relevant for the case, we
09:39:07 will first set out PPD's claims for suspended gas
09:39:11 deliveries, then move to PPD's claim on market
09:39:19 manipulation, followed by the quantification of these
09:39:23 claims.
09:39:24 We will then address Gazprom's counterclaims and
09:39:28 conclude with the request for relief.
09:39:32 I move to my introductory points.
09:39:38 First, Gazprom, the respondent in this case, is not
09:39:47 an ordinary corporation, it was one of the most powerful

09:39:51 companies of the world. Gazprom has the export monopoly
09:39:57 for pipeline gas from the Russian Federation, which
09:40:01 before 2022 was the most important source of gas for
09:40:06 Europe.
09:40:08 So Gazprom had enormous power.
09:40:13 Gazprom is managed by senior political allies of
09:40:18 President Putin. President Putin has often personally
09:40:24 intervened on matters of Gazprom and has made
09:40:28 representations on behalf of Gazprom.
09:40:32 Gazprom is used as a commercial vehicle for Russian
09:40:37 foreign policy. It is an instrument of geopolitical
09:40:42 pressure, as you can see from numerous respectable
09:40:48 sources that we have submitted in this arbitration.
09:40:54 The influence of the Russian Government on Gazprom
09:40:57 is also acknowledged by Gazprom itself, as you can see
09:41:01 from these exhibits.
09:41:04 As the European Parliament concluded already before
09:41:08 the events of 2022, Gazprom used its enormous market
09:41:14 power to create dependency relationships throughout
09:41:19 Europe.
09:41:21 These conclusions also apply until 2022 to Croatia.
09:41:26 Croatia required gas imports of around 17 to 24 terawatt
09:41:32 hours since 2017. The annual contract quantity under
09:41:38 the contract at issue here was 21.1 terawatt hours per
09:41:43 year.

09:41:44 Therefore, the contract delivery volume provided for
09:41:48 most of the gas quantities imported by Croatia.
09:41:55 Through the contractual take or pay obligation
09:41:58 Gazprom had control over a very significant part of
09:42:03 Croatia's gas consumption.
09:42:08 In the month before the full-scale invasion of
09:42:14 Ukraine, Gazprom applied the market power it had built
09:42:20 up with full force and restricted gas supplies in
09:42:24 Europe, creating an artificial scarcity of gas. Gazprom
09:42:30 disputes this, but the evidence that we have submitted
09:42:34 speaks for itself.
09:42:36 What did Gazprom concretely do?
09:42:40 First, Gazprom cut its sales from the trading
09:42:45 platform ESP, that concerns spot sales, up to full
09:42:53 discontinuation in October 2021. This means long-term
09:42:58 contracts were generally fulfilled in 2021, but Gazprom
09:43:03 stopped spot sales, creating a very significant deficit
09:43:09 of gas supply.
09:43:12 Second, Gazprom has emptied gas storage in Europe
09:43:18 throughout 2021 and failed to refill them, leaving the
09:43:23 gas storages empty before the winter and causing
09:43:28 additional scarcity during a time of the year when gas
09:43:32 was most needed.
09:43:35 After the full-scale invasion of Ukraine and the
09:43:40 adoption of wide-ranging sanctions by the European

09:43:43 Union, President Putin directed Gazprom, the Russian
09:43:48 Central Bank and the Russian Government to work out
09:43:53 measures to unilaterally change the currency of payment
09:43:57 of gas supplies for so-called unfriendly countries.
09:44:03 So Gazprom was not just implementing laws and
09:44:12 government regulations; it was instrumental in setting
09:44:16 up an elaborate mechanism to circumvent sanctions.
09:44:22 Decree 172 was issued on 31 March 2022.
09:44:29 The letters which Gazprom sent to European gas
09:44:35 buyer, that requested to change the payment currency to
09:44:40 roubles and to agree on a new payment mechanism, was
09:44:46 sent on 1 April 2022. This was one day after the
09:44:54 issuance of decree 172.
09:45:02 Clearly, these letters, with which Gazprom
09:45:08 threatened that gas supplies would be interrupted unless
09:45:13 the buyers of gas agree to a changed payment mechanism,
09:45:20 were part of a coordinated action in which Gazprom had
09:45:28 worked in tandem with the Russian State. These letters
09:45:35 were sent in early afternoon of 1 April, so immediately
09:45:44 after the issuance of decree 172.
09:45:48 That was also freely admitted in the public
09:45:51 statements of Gazprom, such as in the statement of
09:45:54 Mr Miller, the head of PJSC Gazprom, "Our product, our
09:46:00 rules".
09:46:02 Clearly, Gazprom was not a corporation implementing

09:46:05 bona fide regulations. It was participating in making
09:46:10 these rules.
09:46:13 The mechanism Gazprom imposed on its buyers, and
09:46:18 that you can see here, provided that PPD had to open
09:46:22 a bank account at Gazprombank and instruct Gazprombank
09:46:26 to sell PPD's euros at the Moscow Stock Exchange using
09:46:33 a national clearing centre, the NCC.
09:46:37 However, under this mechanism, PPD would not know
09:46:40 the identity of the buyer of euros with which it
09:46:44 transacted.
09:46:49 The roubles that PPD received from the unknown buyer
09:46:57 of euros would then be transferred to a roubles account
09:47:01 of PPD and from there to Gazprom.
09:47:08 Therefore, the essence of the mechanism was that PPD
09:47:14 would not know with who -- who was buying its euros to
09:47:20 obtain roubles.
09:47:23 I will now move to the consequence of Gazprom's
09:47:29 behaviour for the gas buyers, and there were two main
09:47:37 consequences.
09:47:39 First, the lasting withholding of gas from the
09:47:44 European market caused an unprecedented rise of gas
09:47:48 prices.
09:47:50 The TTF price was stable in 2019/2020 as you can see
09:47:57 here, but spiked in 2021/2022 during the artificial
09:48:05 scarcity of gas.

09:48:07 There is a direct and obvious correlation between
09:48:10 Gazprom's conduct and gas prices up until late 2022,
09:48:16 which you can see from the graph on the right-hand side.
09:48:21 You see the gas supplies going down and the price
09:48:26 spiking.
09:48:28 This was of course immensely profitable to Gazprom
09:48:34 because the cost of production remained largely the
09:48:37 same.
09:48:40 This was not only the case for the contractual TTF
09:48:45 price, but also for other hub prices, like CEEGEX in
09:48:52 Hungary or CEGH in Austria.
09:48:54 There is widespread agreement that the crisis was
09:48:58 caused by Gazprom, that Gazprom manipulated the gas
09:49:03 market despite the record high production at the same
09:49:06 time.
09:49:10 The second consequence of Gazprom's actions in 2022
09:49:15 was the threat to cut off supplies unless buyers
09:49:20 accepted the payment mechanism, which left buyers with
09:49:26 the choice between the interruption of gas supplies
09:49:29 entailing a struggle for survival, or compliance with
09:49:35 the request.
09:49:37 As you can see here, already at the time Commission
09:49:40 President von der Leyen described Gazprom's conduct as
09:49:46 blackmail.
09:49:48 Gazprom indeed cut off supplies to buyers who

09:49:52 refused to comply with the payment mechanism. The
09:49:56 cut-offs concerned, for instance, Orlen, Bulgargaz
09:50:02 in April 2022, Gasum, GasTerra, Orsted, Shell Energy
09:50:10 in May/June 2022, and ENGIE in August.
09:50:18 Companies highly dependent on Russian gas, such as
09:50:23 OMV or PPD, had no alternative, as you can see here from
09:50:33 OMV's statement, to accepting -- to complying with the
09:50:41 payment mechanism.
09:50:44 The example of Uniper shows that European gas buyers
09:50:47 could not procure gas from alternative sources at
09:50:51 sustainable cost, which in the case of Uniper led to
09:50:54 Uniper's insolvency and forced administration.
09:51:00 Why? Because the spot market prices were much
09:51:03 higher than those in Gazprom's contract and were
09:51:08 unsustainable for the buyers of Russian gas.
09:51:14 Countries dependent on Russian gas were pushed into
09:51:16 a state of emergency.
09:51:19 In Croatia, an early warning about the emergency
09:51:24 situation on the gas markets was given. This was the
09:51:28 situation in which PPD had to decide in April 2022
09:51:38 whether to sign Gazprom's terms or face the end of gas
09:51:43 supplies and likely insolvency.
09:51:49 I move now to my third introductory point, the legal
09:51:52 point. Sanctions imposed by the European Union.
09:51:57 The purpose of sanctions is to increase the cost of

war for Russia. In broad terms, the sanctions relevant here prohibited transactions related to the management of resources or related to assets of the Central Bank of Russia or of Russian publicly controlled entities, and they prohibited making available directly or indirectly funds or economic resources to sanctioned entities.

In addition, there were prohibitions to circumvent sanctions and to satisfy claims in connection with transactions effected by sanctions.

In the recently published opinion of Advocate General Biondi in the Reibel matter, it is once again confirmed that sanctions are a fundament of European public policy.

It was also confirmed that sanctions are built on the principle that they can have significantly negative consequences for certain economic operators, because that is their purpose.

The widespread agreement in the authorities is that EU sanctions must be interpreted broadly to ensure their effectiveness.

The payment mechanism imposed by Gazprom breached sanctions in several ways which we set out in detail, but already from the overview that I have shown, it is clear that PPD was forced to instruct Gazprombank to sell euros without knowing the buyer, which obviously entails the risk, and in fact the high likelihood, that euros were made available to sanctioned entities, including the CBR.

The European Commission confirmed this in commenting on an application of Croatia's High Commercial Court in the bank guarantee case related to this arbitration as well as the Croatian Government.

The referral was rejected as procedurally inadmissible, but that does not change the weight of the Commission's and the Croatian Government's observations.

It is worth mentioning that in our case, regardless of the decision on all other issues, sanctions prohibit any award in favour of Gazprom.

As Advocate General Biondi pointed out in Reibel, the no claims provision prohibits an award of any claims if a transaction or its performance has been affected by sanctions.

So the claim itself need not be covered by other sanctions provisions, it does not matter whether the satisfaction of the claims would entail the infringement of other sanctions provisions, and we submit this is dispositive of all of Gazprom's counterclaims.

No award can be made in favour of Gazprom.

After having highlighted these points, which we submit are of fundamental importance for the decision of

09:56:07 the case, I will now give an overview of our legal
09:56:12 submission and its structure.
09:56:17 The legal consequences of the facts of the case are,
09:56:22 first, PPD was not obliged to comply with decree 172 or
09:56:29 decree 254 due to the application of sanctions, due to
09:56:34 article 102 TFEU, PPD did not consent to the variation
09:56:42 of the contract and did not accept to offer -- the offer
09:56:47 to vary the contract.
09:56:50 Even if PPD had consented to the variation, this
09:56:56 consent is invalid because the variation was avoided
09:57:02 with ex tunc effect as it was procured under duress.
09:57:07 Gazprom was not entitled to rely on decree 172 as
09:57:12 a force majeure event. Gazprom's letter of 1 April
09:57:17 threatening the suspension of deliveries was therefore
09:57:20 an unlawful threat.
09:57:22 PPD has not waived the right to avoid the purported
09:57:27 variation.
09:57:29 Of course, the variations, if they were -- if you
09:57:34 find they were validly agreed, are also invalid due to
09:57:39 the application of sanctions and due to
09:57:42 article 102 TFEU.
09:57:45 Second, as a consequence of the above, PPD was
09:57:50 entitled to pay in euros and refuse payment in roubles.
09:57:54 Third, because PPD had not breached the contract,
09:58:00 Gazprom was not entitled to suspend performance

in November 2022.
Fourth, PPD validly avoided the contract by its letter dated 8 March 2023.
Gazprom had committed a fundamental breach of contract by conditioning its contractual obligation to deliver gas to the modification of the contract in its favour, and because it refused to accept payment in euros and suspended gas supplies.
Fifth, as a consequence of Gazprom's breach of contract and the avoidance of the contract, PPD is entitled to recover the incurred losses resulting from the failure to supply gas to PPD.
Sixth, and independently of the above, Gazprom is liable for damages caused by its unlawful market manipulation, which constituted a breach of REMIT, article 102 TFEU, a breach of the requirement to observe good faith, and a duty of care and loyalty in contractual relations, as well as a breach of the requirement not to cause damages contrary to good morals.
Seventh, PPD has with its claims validly declared set-off against Gazprom's claim to payment of gas delivered in September and October 2022.
Eighth and finally, Gazprom is not entitled to the counterclaim because PPD has not committed a fundamental

09:59:55 breach of contract. Because all of Gazprom's
10:00:00 counterclaims fail due to sanctions, Gazprom is not
10:00:04 entitled to payment for the September and October 2022
10:00:11 gas deliveries due to PPD's set-off. Gazprom is not
10:00:16 entitled to unjust enrichment. Gazprom is not entitled
10:00:20 to the MAQ counterclaim and Gazprom is not entitled to
10:00:27 lost volume seller damage.
10:00:38 I will now move to PPD's claim for suspended gas
10:00:42 deliveries.
10:00:46 First, contrary to Gazprom's submissions, the
10:00:52 amendments of the contract requested by Gazprom required
10:00:57 PPD's consent.
10:01:02 The contract stipulated payment in euros. When
10:01:06 Gazprom demanded payment in roubles under the payment
10:01:11 mechanism, PPD was not obliged to comply with this by
10:01:18 **virtue of article 54 CISG. Article 54 provides:**
10:01:27 "The buyer's obligation to pay the price includes
10:01:29 taking such steps and complying with such formalities as
10:01:34 may be required under the contract or any laws and
10:01:39 regulations to enable payment to be made."
10:01:41 There is widespread agreement in legal writing that
10:01:48 the CISG does not provide the seller with the right to
10:01:53 elect a replacement currency.
10:01:57 A right of the seller to choose the payment currency
10:02:00 was expressly rejected when drafting the CISG, as the

10:02:06 drafting history shows.
10:02:09 As Prof Perner notes, there may be a right to elect
10:02:17 a replacement currency where it has become impossible to
10:02:23 the buyer to pay in the agreed currency. The reason for
10:02:28 this is that the buyer should not be able to rely on
10:02:34 foreign exchange controls of his own country to refuse
10:02:39 payment, but that is not the case here.
10:02:42 Even Prof Klicka admits that if a right of the
10:02:48 seller to elect a replacement currency is accepted, the
10:02:52 chosen replacement currency must be suitable and must
10:02:55 not burden the buyer inappropriately.
10:02:59 Therefore, the obligation of the buyer to comply
10:03:03 with steps and formalities to effect payment does not
10:03:07 grant the seller a right to choose a replacement
10:03:11 currency.
10:03:12 If such right is accepted, then the replacement
10:03:15 currency must not burden the buyer inappropriately.
10:03:20 However, as the record shows, the payment mechanism
10:03:26 introduced a new currency into the contract, imposed
10:03:31 significant costs and further very substantial risks on
10:03:38 PPD.
10:03:38 This therefore does not fall under steps and
10:03:43 formalities according to article 54 CISG, and PPD did
10:03:49 not have to comply with the payment mechanism.
10:03:54 Gazprom not only imposed a change of currency, but

10:03:58 also a complex and intransparent payment mechanism
10:04:03 involving considerable costs and risks.
10:04:08 The decrees imposed financial costs on PPD as
10:04:14 payment had to be made three to eight days earlier than
10:04:17 under article 9.1 of the contract.
10:04:20 This caused significant additional costs as Mr Way
10:04:26 confirmed in his report.
10:04:28 The mechanism imposed by Gazprom was subject to
10:04:34 payment delays due to compliance investigations caused
10:04:40 by the numerous interposed banks and entities, which in
10:04:45 turn resulted in late payments and cut-offs by Gazprom.
10:04:50 The decrees further imposed burdensome processes
10:04:54 without any electronic access to PPD's Gazprombank
10:04:58 account. PPD was in the dark about what was happening
10:05:01 with its payments which, as you know, were very
10:05:05 significant sums.
10:05:08 The imposed processes were burdensome, as the
10:05:13 correspondence on the record shows.
10:05:17 Particularly relevant for sanctions, the payment
10:05:25 mechanism meant PPD did not have control over the
10:05:30 identity of the buyer of euros. This in itself
10:05:35 precludes reliance on article 54 CISG because there
10:05:39 cannot be an implied duty to expose oneself to
10:05:44 a sanctions risk.
10:05:46 And finally, the decrees exposed PPD to the Russian

10:05:51 legal system for dispute resolution, adding additional
10:05:55 risks to PPD's position.
10:05:57 The sums at issue were very significant and it was
10:06:01 therefore certainly not a formality which PPD could have
10:06:08 been asked to comply under the CISG.
10:06:15 The decrees vested the Russian administration with
10:06:20 significant authority to decide on the fulfilment of
10:06:24 PPD's payment obligations under the payment mechanism
10:06:28 which interfered with the contract and which again is
10:06:32 not a formality.
10:06:34 Therefore, the contention that PPD was obliged to
10:06:38 accept the imposed payment mechanism pursuant to
10:06:40 article 54 CISG fails.
10:06:48 Even Prof Klicka seems to recognise this when he
10:06:53 suggests that PPD's non-acceptance of the payment
10:07:02 mechanism would be "an action against good faith, which
10:07:07 results in rendering the respective rejection of the
10:07:11 request to amend unlawful under the Contract".
10:07:14 This contention evidently has no legal basis,
10:07:18 because it is contrary to the fundamental principles of
10:07:25 party autonomy and freedom of contract.
10:07:30 There is simply no basis for a rule that the party
10:07:34 must comply with contract amendments requested by the
10:07:37 other party pursuant to unspecified, I quote again,
10:07:43 "values incorporated in the contractual provisions [and]

10:07:47 various provisions of the CISG".
10:07:49 The CISG exhaustively sets out the requirements for
10:07:54 valid contract modification. If article 54 is
10:07:58 inapplicable, any modification of the contract requires
10:08:03 the agreement of the parties.
10:08:05 The inescapable conclusion is that PPD's consent to
10:08:09 the payment mechanism was required under the CISG, which
10:08:13 was not validly given.
10:08:20 Gazprom alternatively tries to argue that PPD only
10:08:24 needed to consent to material changes to the contract in
10:08:28 accordance with article 19 to CISG by analogy.
10:08:35 However, article 29 CISG states in abundantly clear
10:08:44 terms that any contract modification requires the
10:08:47 agreement of the parties.
10:08:51 There is no doubt in the case law and in the legal
10:08:53 commentaries that after the conclusion of a contract,
10:08:59 modifications are governed by article 29 CISG alone and
10:09:04 not by article 19.
10:09:06 Therefore, agreement to any modification was needed.
10:09:12 I move now to the application of these principles to
10:09:15 the facts.
10:09:18 PPD had signed the 1 April letter, but there was no
10:09:23 agreement to allow Gazprom to change the payment
10:09:26 mechanism unilaterally at its discretion in the future.
10:09:31 However, this is what happened.

10:09:36 The CBR's official clarification of 29 April 2022
10:09:43 sought to further amend the risk allocation set out in
10:09:47 the 1 April letter in case the bank failed to make the
10:09:52 payment.
10:09:56 Decree 254 introduced the NCC, another party, to the
10:10:00 payment mechanism, which was evidently not part of, part
10:10:08 and parcel of the initial offer to modify the contract,
10:10:10 as Gazprom submits.
10:10:15 Gazprom's own witnesses confirm that Gazprom did not
10:10:19 seek consent to apply decree 254 and PPD did not consent
10:10:25 to any further modifications.
10:10:29 Gazprom simply notified PPD of changes, which can
10:10:34 have no contractual effect.
10:10:37 There were no offers, and therefore nothing could be
10:10:42 accepted.
10:10:44 Therefore, in conclusion, PPD never consented to the
10:10:48 modified payment mechanism set out in Gazprom's letter
10:10:51 of 5 May 2022.
10:10:58 Gazprom alternatively says that PPD impliedly
10:11:05 consented to the change of the payment mechanism by its
10:11:09 conduct in accordance with article 18 CISG. This fails
10:11:15 because silence or continued performance of the contract
10:11:20 cannot in the absence of a of clear indications to the
10:11:25 contrary, be interpreted as consent to modification of
10:11:29 the contract.

10:11:30 This applies with particular force after the start
10:11:34 of the performance of the contract as Prof Schroeter
10:11:39 confirms. There are no such clear indications of
10:11:44 consent on the record, rather there are clear statements
10:11:48 of disagreement.
10:11:52 As a last resort Gazprom says that it relied on
10:11:57 PPD's conduct and that this reliance would be protected.
10:12:01 However, under article 29(2) of the CISG, the protection
10:12:08 of reliance is limited and ends when a contrary
10:12:13 information is given.
10:12:15 The fact show that PPD never gave rise to legitimate
10:12:23 trust on Gazprom's side. With letter 26 May 2022, PPD
10:12:29 expressly stated that it did not agree to any
10:12:33 contractual amendment. PPD never made any payment under
10:12:39 the payment mechanism set out by decree 172.
10:12:46 Equally, no payments were made under the payment
10:12:50 mechanism before PPD's letter of 26 May 2022, in which
10:12:57 PPD made clear that it did not agree to any amendment of
10:13:02 the contract.
10:13:04 Any reliance of Gazprom under article 29(2) had been
10:13:09 expressly destroyed by PPD with its letter of
10:13:13 26 May 2022, even if one assumes there were such
10:13:20 a reliance.
10:13:21 In conclusion, PPD has not validly consented to the
10:13:26 amendment payment mechanism and Gazprom also cannot

10:13:30 invoke protection of reliance.
10:13:42 I move to the next point, duress.
10:13:49 Even if it is found that PPD had consented to the
10:13:52 payment mechanism of the 1 April letter, and no consent
10:13:59 was needed for any subsequent change to the payment
10:14:02 mechanism, this consent is invalid because it was given
10:14:08 under duress.
10:14:11 In accordance with section 870 of the Austrian Civil
10:14:15 Code, if a threatened party was not free to form its
10:14:20 will out of fear that the threatened harm would occur,
10:14:26 the threatened party can avoid the contract with
10:14:30 retroactive effect.
10:14:31 Section 870 protects the free will of the party who
10:14:37 was forced to agree to a contract under duress.
10:14:43 The legal prerequisites to avoid a contract in
10:14:46 accordance with section 870 are, first, an
10:14:51 unjust/unlawful threat; second, well-founded fear, and
10:15:01 third, a causal link between the threat and the
10:15:06 agreement to the contract or the contract amendment.
10:15:10 I will now discuss these elements.
10:15:14 In its 1 April letter, Gazprom clearly made a threat
10:15:19 because it announced PPD would not receive gas under the
10:15:23 contract unless it consented to the amended payment
10:15:27 mechanism.
10:15:28 As Prof Perner notes, this was not an amicable

10:15:32 communication, this was a written ultimatum.
10:15:38 In legal terms, a threat is the announcement of
10:15:42 a severely negative consequence should the counterparty
10:15:51 not act accordingly that is agreed to the contract or
10:15:55 the contract amendment.
10:15:57 A threat does not have to be made explicitly, it can
10:16:00 be hidden or implied.
10:16:04 Here we have an explicit threat. Gazprom explicitly
10:16:11 announced a severely negative consequence, the cessation
10:16:14 of gas supplies, on which PPD heavily depended, should
10:16:20 PPD not agree to the amendment of the contract.
10:16:25 The intention of the threatening party to make
10:16:30 a threat is not a prerequisite for the avoidance of the
10:16:36 contract. Section 870 does not even require the
10:16:40 threatened party's awareness of wrongdoing, contrary to
10:16:44 what Gazprom wrongly alleges.
10:16:49 **Gazprom in essence says:** we just informed you about
10:16:55 governmental regulations in Russia that are binding on
10:16:58 us.
10:17:00 However, as you have seen already from the facts
10:17:04 summarised in the introduction, Gazprom is not an
10:17:07 ordinary corporation that was simply subject to
10:17:10 government regulation. It was complicit with the
10:17:14 Russian State and collaborated with it precisely with
10:17:20 the purpose of interfering with gas contracts.

10:17:24 As Mr Miller said, "Our product, our rules", and
10:17:28 with "our", he clearly means Gazprom and Russia.
10:17:33 The 1 April letter was therefore not only a threat,
10:17:38 but it was an unlawful threat that was not justified by
10:17:43 bona fide government regulations.
10:17:49 There is a general principle that state entities
10:17:51 cannot rely on the separate legal entity from the state
10:17:55 to the detriment of its contract partners, which was
10:18:00 formulated by Prof Bockstiegel and which is therefore
10:18:04 called the Bockstiegel test. According to this test
10:18:10 there is the presumption that a state will not have its
10:18:14 executive organs act to the detriment of its own
10:18:18 institutions, including state enterprises. Therefore,
10:18:22 administrative acts of state are in principle not
10:18:26 considered force majeure and therefore in the context of
10:18:31 duress they are not considered as an excuse for making
10:18:39 a threat.
10:18:42 This presumption is not applied if it can be seen
10:18:46 prima facie or can be proved by the state enterprise
10:18:50 that the administrative act was caused by general
10:18:53 considerations not connected with this contract or this
10:18:58 sort of contract.
10:19:00 The primary presumption is applicable again if the
10:19:03 private party proves that in its specific case, general
10:19:09 considerations did not apply.

10:19:21 Decree 172 was not the general law, but an
10:19:26 administrative act of state that specifically targeted
10:19:32 a particular class of contracts.
10:19:35 It specifically aimed to interfere with the
10:19:38 contractual relationships of Gazprom with its contract
10:19:42 partners in unfriendly countries.
10:19:46 It applied to Gazprom alone, which had the expert
10:19:50 monopoly, and targeted a specific subsection of
10:19:54 Gazprom's contract portfolio.
10:19:58 Decree 172 aimed to amend the gas supply contracts
10:20:05 to the detriment of Gazprom's contract partners, and to
10:20:08 benefit the strategic interest of the Russian State and
10:20:13 of Gazprom.
10:20:20 The amendments of the contracts were to be achieved
10:20:22 without negotiation, without any concession on Gazprom's
10:20:27 part, as also the documents produced by Gazprom show.
10:20:35 Following the basic presumption, as an
10:20:38 administrative act of state cannot be considered force
10:20:44 majeure, Gazprom has the burden to prove the contrary,
10:20:49 to show that decree 172 was caused by general
10:20:56 considerations not connected with the contract or this
10:20:59 sort of contract.
10:21:00 But Gazprom cannot prove this. As Gazprom's public
10:21:05 statements and the record shows, Gazprom was not opposed
10:21:11 to the interference with contracts, but it was complicit

with it.
Therefore, government regulation cannot justify the threat made by Gazprom.
There is clear authority in Austrian law that the threat of a breach of contract amounts to unlawful means and is therefore unlawful.
With its letter dated 1 April, Gazprom conditioned the performance of its delivery obligations on the acceptance of amended payment terms. This was, in line with the jurisprudence and the legal commentaries, an unlawful threat in the sense of section 870.
The second element of duress is well-founded fear.
It is recognised that a threat with breach of contract triggers reasonable fear if the threatened party is urgently dependent on the performance of an existing contract.
On the facts, there can be no doubt that PPD was urgently dependent on Gazprom's gas and that its fear of the consequences of not signing the letter were real and well founded.
As the testimony of Mr Vujnovac and Ms Measic shows, they reasonably feared that the end of gas supplies from Gazprom would have catastrophic consequences.
Finally, section 870 requires a causal link between the threat and the conclusion of the contract amendment.

Only the perspective of the threatened party is relevant, it must be examined whether the threatened party would also have concluded the contract amendment in this specific form without the threat. Contributory causation is sufficient.

On the facts it is clear that Gazprom's threat was the cause of the conclusion of the contract amendment in the sense of section 870.

Had it not been for Gazprom's threat, PPD would not have countersigned Gazprom 1 April letter in this specific form on 4 April 2022.

This was -- the threat was the only cause. PPD had no reason whatsoever to conclude a contract amendment that brought no benefits but only disadvantages.

The conclusion is that the countersignature of the 1 April letter was made under duress and was therefore validly avoided.

Gazprom says that if there was duress, PPD waived its rights to challenge the purported variation through its subsequent conduct.

The applicable standard for an implied waiver is particularly strict under Austrian law. A waiver can only be assumed if there is conduct that leaves no reasonable doubt with respect to the intention to waive a right, which will rarely be given.

10:25:09 The case law of the Supreme Court confirms that
10:25:13 extreme caution is required when it comes to implied
10:25:18 declarations of intent in the context of waivers.
10:25:24 In addition, as Prof Perner stresses, there can be
10:25:33 no waiver as long as the situation of duress continues.
10:25:39 PPD's fears could at the earliest have ended when it
10:25:44 was possible for it to receive replacement supplies of
10:25:48 gas and this was available only in November 2022, when
10:25:53 PPD clearly expressed not to be bound by the purported
10:25:58 contract amendment.
10:26:00 There is therefore no basis for Gazprom's assertion
10:26:04 that PPD had waived its right to challenge the purported
10:26:08 variation.
10:26:18 I will now deal with Gazprom's reliance on force
10:26:21 majeure.
10:26:25 Under article 6 CISG, the parties are free to
10:26:31 supplement, replace or even discard provisions of the
10:26:38 CISG. Therefore, the parties were able to fully or
10:26:45 partially derogate from article 79 CISG. Accordingly,
10:26:52 with article 11 of the contract, the parties derogated
10:26:56 from the CISG and agreed on a detailed code to
10:27:02 extensively regulate force majeure events, including the
10:27:05 steps required to invoke a force majeure event, which
10:27:12 replaced the regime of the CISG.
10:27:16 Under article 11.4 and 11.5 of the contract, Gazprom

10:27:21 was obliged to immediately notify PPD upon the
10:27:24 occurrence of a force majeure event and to provide
10:27:28 a confirmation of the occurrence and the duration of the
10:27:32 force majeure event by the chamber of commence and
10:27:35 industry of the Russian Federation.
10:27:39 As Prof Perner confirms, with this, the parties have
10:27:43 agreed upon formalities which must be complied with and
10:27:49 they have validly derogated from the regime of the CISG.
10:27:55 Gazprom claims that article 79 CISG should
10:28:01 nevertheless apply as a default rule. However, as
10:28:06 Prof Perner notes, this submission is impossible; it is
10:28:13 impossible to conceive a reason why the terms of the
10:28:18 contract should simply be disregarded, because that's
10:28:24 what Gazprom's position amounts to.
10:28:30 On the facts, there is no doubt that Gazprom did not
10:28:33 comply with the procedures set out in article 11 of the
10:28:36 contract, Gazprom did not make a force majeure
10:28:44 notification.
10:28:45 The letters of 1 April, 31 October and
10:28:47 3 November 2022 were not force majeure notifications.
10:28:57 Also, Gazprom's own witnesses did not understand
10:29:01 Gazprom's 1 April letter to be a force majeure notice as
10:29:07 required by the contract.
10:29:11 A certificate of the Chamber of Commerce & Industry
10:29:14 of the Russian Federation dated 2 December 2024 was only

10:29:19 submitted two and a half years later in the course of
10:29:24 this arbitration which is evidently not timely.
10:29:29 The consequence of Gazprom's non-compliance with the
10:29:32 prerequisites of article 11 of the contract is that the
10:29:36 invocation of force majeure must fail.
10:29:40 In any event, as I have outlined before and I'm not
10:29:45 going to repeat it here, there was no force majeure
10:29:50 event because Gazprom has promoted the government
10:29:54 regulation it now claims was force majeure.
10:30:00 The contractual definition of force majeure is not
10:30:06 met, and also under the Bockstiegel test the reliance on
10:30:11 force majeure fails.
10:30:14 In addition to this, the party affected by force
10:30:17 majeure must do all in its powers to avoid the effect of
10:30:22 the force majeure event and to ensure contractual
10:30:26 performance, as the contract confirms. Gazprom did not
10:30:32 do this.
10:30:34 There was a possibility to seek an exemption from
10:30:38 the effects of decree 172. Gazprom could at least have
10:30:44 filed application with Russian Government bodies to
10:30:47 obtain an exemption. Gazprom could also have delivered
10:30:52 gas via its subsidiaries in the EU. Gazprom did not do
10:30:59 this.
10:31:01 Therefore, Gazprom did not comply with its duty to
10:31:05 do all in its power to carry out its obligations

10:31:08 required under the contract, and the reliance on force
10:31:13 majeure also fails for this reason.
10:31:21 This concludes my part of the opening statement.
10:31:25 Mr Holland will now continue our presentation on the
10:31:31 issue of sanctions.
10:31:38 Opening submissions by Mr Holland
10:31:51 **MR HOLLAND:** Members of the tribunal, respectfully, we
10:31:53 continue our submissions.
10:31:55 There will be a natural break in our submissions in
10:31:58 about 50 minutes, but there would be an alternative in
10:32:02 about 30 minutes, if you would like to indicate if you
10:32:06 wish to take an earlier break.
10:32:10 This, first, is PPD's submission that the purported
10:32:14 variation to the contract was null and void under
10:32:19 Austrian law for breaching EU sanctions.
10:32:24 We will address the relevant provisions and how
10:32:28 they're to be interpreted, the payment mechanism itself
10:32:32 and the violations of EU sanctions that were requested
10:32:36 of the gas buyers by the payment mechanism.
10:32:41 So first, as we heard before, the way that sanctions
10:32:45 are implemented and interpreted depends on their
10:32:50 objective, and on screen is the CJEU decision from one
10:32:57 month ago affirming this principle of interpretation.
10:33:02 That decision echoes the European Commission's
10:33:05 explanation of the broad objectives of the Russia

10:33:11 sanctions. It was to reduce the financial resources
10:33:16 available to the Russian State in the context of its war
10:33:21 with Ukraine.
10:33:24 The broad objective was confirmed in September 2025
10:33:27 for regulation 269, that's the top half of the screen,
10:33:32 to impose sanctions and increase pressure to put an end
10:33:37 to military action. And then just three weeks ago, for
10:33:43 regulation 833, which is at the bottom, the same
10:33:48 **objective is confirmed:** to increase the costs of the war
10:33:54 and to promote peace.
10:33:56 So next, the language and interpretation of the
10:34:01 sanction provisions themselves.
10:34:03 So you heard before that EU authorities interpret
10:34:08 sanctions broadly, and that's because they have
10:34:13 important public policy objectives.
10:34:15 If you look at it from the point of view of the EU,
10:34:19 a limited interpretation would allow loopholes to open
10:34:24 up.
10:34:24 All this is relevant to your task in applying these
10:34:29 provisions to give them effect.
10:34:33 Looking at the relevant provisions, there are three
10:34:36 types. And to show how they are interpreted, we have
10:34:43 put on these slides the cases commenting on the language
10:34:46 that they use, and where there is no case on the
10:34:50 specific language of the regulation that we're using, we

10:34:53 use language that's identical in another sanction, and
10:34:58 that is the approach that the CJEU takes.
10:35:03 So the first prohibition relates to sanctioned
10:35:06 entities and there are two separate restrictions and
10:35:09 both are on screen together. Looking at the language of
10:35:14 article 2(2) first, we highlight the language it uses on
10:35:21 the right and then comment on it on the left.
10:35:24 So first, you must have made available funds or
10:35:28 economic resources. This has been held to have a broad
10:35:32 meaning and it covers anything which allows a sanctioned
10:35:36 person to have access directly or indirectly to an
10:35:41 economic resource.
10:35:43 Second, those words "directly or indirectly"
10:35:47 indicate that you cannot make funds available through an
10:35:51 intermediary. You cannot use a middleman.
10:35:56 The CJEU has explained that as long as it's possible
10:36:01 for the funds to be passed on to a sanctioned entity,
10:36:05 then this is a violation.
10:36:07 Confirming that, third, there is a violation if
10:36:12 funds may or is likely to benefit a sanctioned party.
10:36:20 Let's move regulation. So this is the next one,
10:36:23 it's the broad interpretation of article 5aa(1), and
10:36:28 then first, transaction, that is to be interpreted
10:36:32 broadly and regulation 269 has a definition of
10:36:37 "transaction", and that's relevant therefore to both

10:36:41 this and regulation 833.
10:36:45 Three points on that definition.
10:36:48 So it includes a transaction in any form whatsoever,
10:36:53 the transaction could be a chain of one or more
10:36:58 transactions and these can involve different parties or
10:37:03 points in the chain.
10:37:06 So to finish this one, it applies both directly or
10:37:09 indirectly as before, so a breach can again be via an
10:37:15 intermediary.
10:37:19 The second form of prohibition relates to the CBR,
10:37:24 the Central Bank of Russia, and it was crucial to the
10:37:28 Russian war effort, and this sanction prohibits
10:37:32 transactions related to the management of the assets and
10:37:36 reserves of the CBR.
10:37:39 So breaking it down, again, transaction has the same
10:37:42 meaning as before. Second, reserves are a type of asset
10:37:48 and they include foreign exchange, which is one of the
10:37:51 most important reserves. And third, management. That
10:37:57 includes increasing or preserving assets or reserves.
10:38:05 The third and final form of prohibition relied on
10:38:10 relates to circumvention provisions, and they are
10:38:14 applicable alongside the prohibitions we have already
10:38:18 looked at, and circumvention of a sanction is broader
10:38:24 than a violation of it.
10:38:28 On the slides you get this from the words, "avoid

10:38:33 the constituent elements of an infringement".
10:38:36 So by necessity, here you have not met the elements
10:38:42 needed for a direct violation and infringement, but you
10:38:47 have, by avoiding these elements, by not doing them,
10:38:52 circumvented the provision. You have frustrated the
10:38:57 sanction and caused it to fail, despite not violating it
10:39:03 directly.
10:39:04 So this is much wider in scope than the violation
10:39:08 itself and this is also important in your task of
10:39:12 applying these known circumvention prohibitions to give
10:39:15 them effect.
10:39:17 Finally, circumvention also requires an element of
10:39:22 knowledge and intent by the EU party.
10:39:28 Next, the operation of the payment mechanism. So
10:39:31 claimant, you have seen this before, but claimant has
10:39:33 created this graphic as an illustration of this. From
10:39:38 the left, in dark blue, PPD first pays to its euro "K"
10:39:45 account at Gazprombank, which is in light blue also on
10:39:49 the left.
10:39:51 Now, Gazprombank was, as a matter of banking
10:39:54 practice, PPD's agent, and we will cover that role
10:39:58 shortly. And on this graphic, where you see a step
10:40:03 taken by Gazprombank as agent for PPD as principal, they
10:40:10 are in small black boxes.
10:40:12 So the next step is that on behalf of PPD,

10:40:17 Gazprombank sends PPD's euros to the NCC, and that's in
10:40:22 the centre bottom circle.
10:40:26 The NCC gathered PPD's euros and the Russian buyer's
10:40:33 roubles and then it transacts the exchange from euros at
10:40:39 the bottom to roubles shown just above. That
10:40:45 conversion, the currency conversion happens on MOEX, the
10:40:50 Moscow exchange.
10:40:54 Looking to the right, the euros then go to the buyer
10:40:58 of euros and the roubles, looking up, go to PPD's rouble
10:41:05 "K" account, that's the second box from the top, and
10:41:10 then to Gazprombank, the Gazprom account at Gazprombank,
10:41:19 and Gazprom is shown in dark blue at the top.
10:41:23 So two points about how the payment mechanism
10:41:26 operated. First, the gas buyer was involved as
10:41:30 a participant throughout the entire procedure and that's
10:41:34 clear from the 1 April letter and decree 172; you
10:41:40 received the roubles in exchange for the euros that you
10:41:44 gave at the start of the transaction and you pay Gazprom
10:41:48 in roubles, right at the end of the transaction. So it
10:41:53 matters to you how you got hold of the roubles and what
10:41:58 happened to your euros.
10:42:00 You cannot just pay into your euro "K" account, the
10:42:05 first step, and not care what happens next. It's not
10:42:10 like a fire-and-forget process. You are being asked to
10:42:14 trigger the entire sequence.

10:42:17 So second, Gazprom has consistently confirmed that
10:42:22 Gazprombank acted for and on behalf of PPD. And that's
10:42:27 right, because Gazprombank's letter to PPD, which was
10:42:31 attached to the 1 April 2022 letter, required
10:42:36 pre-authorisation instructions from the gas buyer of the
10:42:41 whole procedure. The entire process took place because
10:42:46 the gas buyer asked for it to happen. The gas buyer was
10:42:50 the principal and Gazprombank was the agent in the
10:42:55 payment process.
10:42:56 So performance of every step was based on the gas
10:43:02 buyer's orders.
10:43:03 If all this seems very complex to those here, which
10:43:08 it is, then we may approach this the way that
10:43:12 international bankers are trained to.
10:43:15 PPD says that to an international banker, this
10:43:19 complex payment mechanism triggers red flags on an
10:43:23 industrial scale.
10:43:26 On the state of the expert and other evidence, PPD
10:43:31 will present two experts to you. One, Mr Boublik, who
10:43:38 had that red flag opinion above, was the former COO of
10:43:44 the largest private sector bank in Russia, Alfa-Bank.
10:43:47 And the other is Mr Papadia, who was a central banker at
10:43:52 the European Central Bank.
10:43:56 Gazprom advances no banking evidence, only more
10:44:01 legal submissions which we address as counsel.

10:44:08 Moving on, the payment mechanism breached each of
10:44:13 the prohibitions that we introduced earlier and we take
10:44:16 each of those three groups in turn.
10:44:19 First, on the prohibition of funds directly or
10:44:23 indirectly made available to sanctioned entities under
10:44:28 article 2(2) of regulation 269, three authorities really
10:44:35 help to show the risks that the gas buyer faced.
10:44:40 The first case is Mollendorf and in that the CJEU
10:44:46 held that the prohibition to make funds available
10:44:51 applies to any mode of making available an economic
10:44:55 resource and also any act which flows from the execution
10:45:01 of a contract.
10:45:04 **So you look at how the euros flowed onwards:** does
10:45:09 your payment let euros flow to sanctioned entities?
10:45:15 Now, in Mollendorf, the money was to flow from an
10:45:20 escrow agent to a sanctioned party. So the escrow agent
10:45:25 was between the buyer and the sanctioned party and was
10:45:31 going to pass the money on.
10:45:35 Sanctions stopped that deal and the payment going
10:45:39 through and it didn't matter who was in the middle.
10:45:44 So having Gazprombank or the NCC as an intermediary
10:45:49 should not shield you in any way. Remember, the words
10:45:53 were "directly or indirectly".
10:45:57 Now, Mollendorf was about the Taliban sanctions and
10:46:01 not the Russian sanctions, although the words "made

10:46:05 available" were the same.
10:46:08 But in September last year it was confirmed by
10:46:12 Advocate General Norkus in the case Ciekuri, so this is
10:46:14 relevant to the Russian sanctions. In this case it was
10:46:19 **said:** you need to look at whether a sanctioned entity
10:46:22 could access the resources.
10:46:26 **So a bit like the flow of funds before, you ask:** who
10:46:30 can access the funds? Am I placing them where they are
10:46:37 available? Again, regardless of the status of any
10:46:40 middleman.
10:46:43 In the final case, which was on the Libyan
10:46:45 sanctions, in SH v TG, the party was to pay
10:46:51 a non-sanctioned bank to maintain a bank guarantee, so
10:46:55 the payment was for -- it was a fee for the bank to keep
10:47:01 the guarantee in place. But the end beneficiary of the
10:47:05 guarantee was sanctioned. It was held in that case that
10:47:09 that payment was not a problem and the funds were not
10:47:14 going to be passed to the sanctioned entity; they were
10:47:17 not to be passed on at all. They were a payment to the
10:47:21 bank for a service, which was setting up the guarantee,
10:47:26 so there was no flow to the sanctioned entity. There
10:47:29 was no access of funds and nothing was made available.
10:47:35 **So for the payment mechanism, you ask:** was it
10:47:39 possible for euros to be passed on? And the answer is
10:47:43 that they were sent to the NCC, which then needed, it

10:47:50 had an obligation under its own rules, to pass them on
10:47:53 to the Russian buyer, and Mr Boublik confirms that the
10:47:58 NCC must strictly segregate the euros that it was
10:48:04 collating away from its own property.
10:48:08 So it must not keep these for its own use. The NCC
10:48:13 cannot be an end user of the euros and nor does the NCC
10:48:20 buy the euros. It doesn't pay anything and it just
10:48:25 keeps the collateral and it passes it on.
10:48:29 Remember, to breach article 2(2), you just need to
10:48:33 show that it must be possible for those funds to be
10:48:36 passed on. They do not need to be passed on to
10:48:40 a sanctioned entity in order to violate sanctions.
10:48:44 So these cases give a wide interpretation to "made
10:48:47 available", which guides the tribunal's approach.
10:48:53 Now, next, because of the flow of the euros, you
10:48:55 must undertake due diligence on who gets them and there
10:48:58 were three people who could in theory have been doing
10:49:01 sanctions checks on the Russian buyer of the euros.
10:49:04 The first was the gas buyer itself or its bank, but
10:49:09 Gazprom concedes multiple times that they cannot check
10:49:12 who is buying the euros. They deliberately made it
10:49:15 impossible to conduct the normal sanctions screens.
10:49:21 So the second party is Gazprombank. Maybe they
10:49:24 could do that under the irrevocable order that they
10:49:29 asked for. But, no, Gazprombank is not doing any

10:49:33 sanctions checks either, as Gazprom accepts, on the
10:49:36 final recipient of the euros.
10:49:40 In theory at least, the third checker would be the
10:49:43 NCC who was doing the exchange on the Moscow exchange.
10:49:48 But by the same submission, Gazprom accepts that the NCC
10:49:53 is not doing any sanctions checks either.
10:49:57 This would only not be a problem if Gazprom could
10:50:04 prove that there were no sanctioned entities that were
10:50:07 trading on MOEX, but it does not even try to do so
10:50:12 because the opposite is true.
10:50:16 This is because the CBR openly says that there were
10:50:20 sanctioned parties such as designated banks buying on
10:50:25 MOEX. It says buyers, especially those under the
10:50:31 sanctions, were the parties who engaged in foreign
10:50:35 exchange purchases on the market.
10:50:39 This is from the CBR's own report into the
10:50:43 anti-crisis, or we say anti-sanctions measures that it
10:50:48 took.
10:50:49 Crucially, even in a market where information is
10:50:53 being intentionally suppressed, VTB Bank, which has been
10:50:58 a sanctioned entity since April 2022, openly admitted in
10:51:05 its 2022 annual report that sanctions had caused a drop
10:51:12 in foreign exchange liquidity, requiring VTB Bank to
10:51:18 purchase foreign exchange from the open market. And
10:51:23 MOEX is the largest such market in Russia and Mr Boublik

10:51:29 says that sanctioned entities are the largest FX traders
10:51:36 on MOEX.
10:51:43 The operation of MOEX and the NCC in fact made
10:51:45 things worse, because they use something called
10:51:48 multilateral netting, and that gathers and sends all the
10:51:54 euros to multiple unknown buyers of the euros.
10:52:01 So your millions of euros each month gets sent all
10:52:05 over. It was much more likely that big batches of them
10:52:11 were being sent to any of the sanctioned entities who
10:52:14 were seeking them and this was all by design.
10:52:20 So the gas buyer presses "send" on the euros, the
10:52:24 procedure operates, the euros go off, absolutely
10:52:28 unchecked, and sanctioned entities dominate the market
10:52:31 that they are sold on.
10:52:34 So we say in breach of article 2(2) the euros were
10:52:38 made available to those entities, and also in breach of
10:52:42 article 5aa(1), this was a transaction with them.
10:52:49 Now, for the separate violation related to that
10:52:54 prohibition, by way of circumvention, you need to look
10:52:58 at whether the activity has the object or effect of
10:53:06 circumventing sanctions.
10:53:10 So first, the activity, the conduct, that's the gas
10:53:13 buyer's continued payment under the payment mechanism.
10:53:15 Second, the effect of the payment mechanism was to
10:53:21 frustrate sanctions.

10:53:23 So maybe you have friends. Maybe they have euros.
10:53:27 Maybe they're in banks. Maybe they're in the EU. Then
10:53:31 suddenly they're frozen. So that's a problem.
10:53:35 Now, Gazprom was not sanctioned. So you make it
10:53:43 look like Gazprom are still getting the euros, but
10:53:47 they're not. So you leave them where your friends can
10:53:52 get them and then you don't have a problem again.
10:53:58 Remember that Gazprom was not sanctioned. The idea
10:54:03 that the payment mechanism was facilitating
10:54:07 non-prohibited payments is a nonsense. Something
10:54:13 powerfully deceptive was going on.
10:54:19 Worse still, that was the effect, but you must also
10:54:22 look at the object, and the object, the purpose of these
10:54:27 decrees, was to get around sanctions.
10:54:31 So on screen from Gazprom's statement of defence is
10:54:35 an open admission that leaves no doubt on this. In the
10:54:40 first paragraph of the quote, Gazprom tell us that
10:54:44 sanctions are imposed. Next, in the second paragraph in
10:54:50 response to sanctions, unfriendly countries are listed.
10:54:53 And then finally, in this context, ie the context of the
10:54:58 sanctions, decree 172 was issued.
10:55:02 President Putin said the same thing, and that is the
10:55:04 reference on the end of this slide.
10:55:06 So whether you find that there has been a direct
10:55:09 violation or a circumvention, the payment mechanism

10:55:14 violates sanctions.
10:55:18 The second form of the prohibition relates to the
10:55:21 management of the reserves and assets of the CBR and
10:55:26 this violation is helped by a diagram, again this is
10:55:30 claimant's diagram.
10:55:33 The first slide shows sources of euros on the left,
10:55:38 and users or people needing euros on the right, plus
10:55:45 a chart showing financial stability.
10:55:50 So on the first slide, before the war and sanction,
10:55:54 Russian companies, MOEX trading members, there on the
10:55:57 middle right, were always able to go to MOEX to sell
10:56:05 roubles and buy euros that they would need.
10:56:09 If there were not enough euros, which would lead to
10:56:13 a rouble devaluation, then the CBR intervened, and
10:56:19 that's shown on the top left. It could sell the euros
10:56:23 which it held in the EU and take roubles, that's shown
10:56:27 to the top right, and that maintained rouble stability
10:56:33 because there was a balance between supply and demand.
10:56:38 So the next slide shows the changed position after
10:56:42 the CBR's euro reserves in Europe were frozen by
10:56:46 sanctions, the CBR can't use them anymore to balance
10:56:50 supply and demand, and that led to a very well-reported
10:56:57 rouble devaluation.
10:56:58 The CBR called it a panic in the financial market
10:57:03 and the CBR was forced to use its finite, its limited

10:57:07 euro reserves in Russia to intervene, because it no
10:57:11 longer had any other euros to use.
10:57:15 But at the bottom you'll see that gas buyers at this
10:57:18 point are still undisturbed by Russia's problems; they
10:57:23 were still happy, they were still paying Gazprom in
10:57:26 euros under their contracts.
10:57:28 But next, the payment mechanism told all of the gas
10:57:33 buyers to sell all of their euros on MOEX and start
10:57:37 getting involved in the Russian economy, and there were
10:57:41 two impacts of this.
10:57:42 First, the CBR is a MOEX member. It particularly
10:57:49 needed to buy euros on MOEX in exchange for roubles,
10:57:53 which it's doing at the top right.
10:57:55 So this is now doing the same as with sanctioned
10:57:58 entities earlier. The payment mechanism is providing
10:58:02 a pool of extra euros, an opportunity for it to buy
10:58:07 euros, and it could do that cheaply because the euros
10:58:10 were flooding in from all gas buyers at the end of each
10:58:13 month and whenever there's an excess available, they
10:58:17 would be cheaper, they weren't scarce.
10:58:19 So buying them would increase the reserves of the
10:58:24 CBR.
10:58:26 Second, by forcing gas buyer euros onto MOEX, there
10:58:31 was no panic. Euro demand was satisfied. There were
10:58:35 lots of euros.

10:58:37 So the CBR knew what euro payments were made and
10:58:43 they knew what buyers needed them, due to controls in
10:58:48 reporting within Russia. So it could co-ordinate and
10:58:52 balance supply and demand, buying and selling, and that
10:58:55 reduced instability.
10:58:59 So for both of those last two, the CBR did not need
10:59:04 to put its euros in, so it was able to preserve its
10:59:09 limited stocks of euros.
10:59:13 Mr Boublik and Mr Papadia confirm that both an
10:59:17 increase to and a preservation of foreign currency in
10:59:23 banking equates to management, and their opinions are on
10:59:26 this slide.
10:59:27 The EU Council has confirmed the objective of this
10:59:37 sanction and made it clear that it's not restricted only
10:59:41 to the CBR's frozen assets in the EU.
10:59:47 So the EC FAQs have no geographic limit, they use
10:59:52 a broad interpretation and you must not restrict its
10:59:56 scope. So euros within and outside the EU should fall
11:00:02 within the prohibition.
11:00:04 Also, the wording of article 5a(4), which talks of
11:00:11 assets and reserves of the CBR, means that it applies to
11:00:16 those assets and reserves which the CBR already holds
11:00:20 and those it might obtain.
11:00:23 The payment mechanism allow both buying and
11:00:27 preserving, and the suggestion that you are banned from

11:00:31 dealing with the CBR's existing reserves, but allowed to
11:00:36 help it get new reserves, would make the sanction
11:00:39 pointless.
11:00:42 Finally, the separate violation related to the CBR,
11:00:47 the circumvention of the restriction above. So PPD's
11:00:51 submissions on this are as before. The logic is the
11:00:55 same. The objective of EU sanctions was to reduce the
11:01:01 financial resources available to the Russian State and
11:01:05 that was done by removing the CBR's access to euro
11:01:09 reserves.
11:01:12 It was to limit the CBR's ability to intervene in
11:01:16 foreign exchange market, to smooth the market.
11:01:19 The payment mechanism circumvented that objective
11:01:23 because it allowed the CBR to support the rouble and
11:01:28 support the war.
11:01:29 So even again, if there is no breach of the
11:01:32 violation of the prohibition, there is a breach by
11:01:36 circumvention of the prohibition.
11:01:41 That concludes the analysis of the breaches of the
11:01:43 relevant sanctions.
11:01:47 PPD submits the payment mechanism violated one, more
11:01:50 or all of those restrictions, and in terms of
11:01:55 consequences, any obligation requiring a party to act in
11:02:01 a way that breaks the law is a breach of good morals
11:02:05 under the law governing the contract and its

11:02:08 modification, and that's Austrian law.
11:02:12 So by way of section 879 ACC, the tribunal is
11:02:17 required under mandatory public policy, Eco Swiss law,
11:02:24 to find that any modification requiring the payment
11:02:27 mechanism is null and void.
11:02:40 That concludes our submissions on sanctions.
11:02:43 **PRESIDENT:** Thank you. Thank you very much.
11:02:45 We will now take a 20-minute break and we will
11:02:48 resume at 22 of the hour, 11.22.
11:02:56 (11.02 am)
11:02:59 (Short break)
11:03:00 (11.24 am)
11:24:28 **PRESIDENT:** So we're back on record.
11:24:32 I suggest it's a good moment to confirm who is in
11:24:37 attendance via video conferencing, and I will now invite
11:24:42 the respondent to indicate who will be joining today for
11:24:48 the rest of the day through the videolink this hearing.
11:24:52 **MR TALANOV:** Thank you. Prof Hildebrand, the expert on
11:24:56 anti-trust issues, is joining online. Thank you.
11:25:02 **PRESIDENT:** Thank you. Claimant?
11:25:04 **MR HAUGENEDER:** From our side nobody is joining online.
11:25:10 Before, I should have mentioned that also Mr Riechmann,
11:25:15 Mr Van Huystee and Ms Baum from Frontier are in
11:25:18 attendance personally.
11:25:21 **PRESIDENT:** Can you confirm, I understand Dr Hildebrand is

11:25:25 connecting from Germany?

11:25:26 **MR TALANOV:** That is correct.

11:25:28 **PRESIDENT:** Where are Mr Riechmann and Ms Baum?

11:25:40 **MR HAUGENEDER:** They are here.

11:25:41 **PRESIDENT:** Okay, but they're in attendance?

11:25:44 **MR HAUGENEDER:** Yes, they're in attendance.

11:25:45 **PRESIDENT:** Okay, I get it now. I apologise. I did not
11:25:48 understand.
11:25:52 We are going to continue with the presentation and
11:25:54 we have planned the presentation to end at 1.20. So you
11:26:08 have the floor now.

11:26:10 **MR HOLLAND:** Thank you.
11:26:11 Members of the tribunal, thank you. On timing,
11:26:13 there will be another natural break in about one and
11:26:18 a half hours and if it would be convenient to take
11:26:22 a short break then for the transcriber, I hope the
11:26:27 tribunal or they will indicate.
11:26:31 But for now, PPD next claims that the imposition of
11:26:37 new and unfair commercial terms in Gazprom's 1 April and
11:26:42 5 May 2022 letters, to change the payment mechanism
11:26:48 under the threat of the end of gas supplies, was void as
11:26:54 it violated article 102 TFEU.
11:26:59 PPD's submissions on this are as follows.
11:27:02 First, that Gazprom was dominant in the relevant
11:27:04 market.

11:27:05 Second, that the terms that Gazprom imposed were
11:27:09 unfair trading terms and that they cannot be considered
11:27:14 to be normal market practice.
11:27:17 Third, that Gazprom cannot apply the state
11:27:21 compulsion doctrine.
11:27:24 So first, to find that Gazprom was dominant, for PPD
11:27:29 you will be hearing from Dr Riechmann, and he is
11:27:32 a competition economist specialising in gas and energy
11:27:36 markets.
11:27:37 And some points for you to have in your mind as you
11:27:42 consider the competing expert evidence.
11:27:46 Now, first, there is a rulebook for you, and Gazprom
11:27:52 agrees that this is the European Commission's Market
11:27:54 Definition Notice, or MDN. The parties agree that
11:28:00 following the MDN, there are two steps in the dominance
11:28:04 assessment.
11:28:05 The first is the establishment of the relevant
11:28:08 product and geographic market, and the second is the
11:28:11 assessment of the market position of Gazprom within that
11:28:15 market.
11:28:16 Starting with product market, the only relevant
11:28:19 disagreement concerns whether LNG is part of the
11:28:25 relevant product market after 2021, and the appropriate
11:28:31 comparison used by the European Commission looks at the
11:28:35 interchangeability of products.

11:28:39 Dr Riechmann concludes that during 2021, it was not
11:28:44 always cost-economic to switch from PNG, pipeline
11:28:49 natural gas, to LNG, liquefied natural gas.
11:28:53 The correct way to look at that is through the SSNIP
11:28:55 test. When prices were in the shaded area on the slide,
11:29:00 LNG was more than the 5 or 10 per cent more expensive
11:29:06 than pipe gas, which is the standard set in that SSNIP
11:29:10 test.
11:29:12 Then in 2022, the gas crisis happened and gas prices
11:29:17 rose to more than 400 per cent higher than was normal.
11:29:23 The MDN says that the SSNIP test will be unreliable
11:29:29 outside of normal market conditions.
11:29:31 So what a gas buyer might buy in a crisis is not
11:29:36 reliable evidence of its choice to switch between
11:29:39 products.
11:29:41 Because of this, Dr Riechmann's product market
11:29:44 definition leaves this LNG issue open, and it's common
11:29:49 for the European Commission to leave things open, which
11:29:52 means undecided, and he does this because if you agree
11:29:58 with him on the geographic market, then nothing turns on
11:30:04 this LNG issue.
11:30:06 So moving, then, to the geographic market, this
11:30:11 should be an integrated Croatia and Hungary market, and
11:30:16 what you are looking for between them is homogeneity.
11:30:21 The test is on screen now, and it's set out in the MDN,

11:30:26 and Gazprom agrees with this test.
11:30:31 So you need to look at whether the conditions for
11:30:36 competition in Croatia are sufficiently homogenous to
11:30:42 the nextdoor market in Hungary.
11:30:45 Are the two markets similar enough to be considered
11:30:49 integrated for gas? Can cross-border deals be done?
11:30:55 You don't need perfect harmony, just sufficient
11:30:59 homogeneity.
11:31:01 The MDN sets out five categories of evidence to
11:31:06 assess. These may be relevant, but you don't need to
11:31:10 answer all of them in toto. Each is, if you like,
11:31:14 a plus factor when you look at them together.
11:31:17 So you must carefully check for evidence and data in
11:31:22 both markets to see what barriers or opportunities there
11:31:26 are. And what Gazprom hopes that it will be able to
11:31:31 show you, in order for it to be correct, and what you'll
11:31:35 be looking for in the evidence, are things that make
11:31:39 Croatia and Hungary distinct, like all of these features
11:31:45 on screen.
11:31:48 Gazprom will not be able to show you that any of
11:31:50 these features on screen exist as a barrier to
11:31:54 integration, because the opposite is true.
11:31:58 They all speak in favour of integration. That's
11:32:03 because rational operators can buy in Hungary if Croatia
11:32:08 is more expensive and the other way around. That's

11:32:12 because these two countries are homogenous markets.
11:32:18 Then there is an odd thing. So I said just now in
11:32:22 relation to the product market that Prof Hildebrand for
11:32:28 Gazprom wants to include LNG. That's ships arriving in
11:32:34 Croatia. But she then says that this LNG when it
11:32:40 arrives in Croatia is just travelling, transiting from
11:32:44 Croatia to Hungary, and she does not account for it as
11:32:48 gas supply in Croatia.
11:32:50 No way, we say. You should either exclude this LNG
11:32:58 arriving in Croatia because it's too expensive, or you
11:33:02 should take account of it consistently with the fact
11:33:05 that it is in Croatia. You have to do this, because you
11:33:08 can't test whether Croatia and Hungary are homogenous
11:33:14 without doing so.
11:33:15 This gas is moving freely today from Croatia to
11:33:19 Hungary, and that's powerful evidence that they are the
11:33:26 same market.
11:33:28 Next, prices. Prof Hildebrand compares PPD's sales
11:33:36 prices in Hungary and Croatia. But we are doing an
11:33:43 assessment of Gazprom's dominance. So we need to look
11:33:47 at Gazprom's prices, at its level in the market.
11:33:52 Price will not help you of course if you are looking
11:33:56 one step down the contract chain, and it would have been
11:34:00 better for Gazprom to compare its downstream wholesale
11:34:05 prices because it has them for both Hungary and Croatia,

11:34:09 and that was not done.
11:34:12 Once you adjust PPD's prices to account for the
11:34:16 different commercial terms that were offered in its
11:34:20 contracts, they are closely homogenous anyway, if you
11:34:24 look at the left-hand side of this graph, but until the
11:34:30 difference in commercial terms get all skewed by the gas
11:34:35 crisis, which happens further to the right.
11:34:40 Now, Prof Hildebrand has also last week compared
11:34:43 prices from a survey in Croatia to Hungarian
11:34:49 CEEGEX-traded prices, and yet again and obviously,
11:34:53 comparing a survey of average prices with traded actual
11:34:58 spot prices is comparing apples and oranges and they are
11:35:03 bound to be different.
11:35:06 Before leaving geographic market, you will also hear
11:35:09 more about the Gazprom decision.
11:35:12 This was a finding of Gazprom's dominance in Hungary
11:35:18 and several other CEE countries, but not Croatia,
11:35:21 because Croatia had not at that time joined the EU.
11:35:28 The European Commission noted three other factors
11:35:33 that it considered to be of relevance, and they overlap
11:35:38 a bit with the five before in the MDN, but they are
11:35:42 specific to gas markets.
11:35:45 So Dr Riechmann has noted all of these too, but he
11:35:50 concludes that they no longer apply because Croatia and
11:35:55 Hungary are now much better connected.

11:35:58 I mean, when it joined the EU, for example, Croatia
11:36:02 immediately was more homogenous with Hungary than the
11:36:07 period under study in the decision.
11:36:12 So when you have made your decision about pipeline
11:36:16 natural gas plus LNG or not, and then either Croatia
11:36:20 plus Hungary or just Croatia, you can then assess
11:36:26 Gazprom's market position within that relevant market.
11:36:32 You can refer to Gazprom's position through its market
11:36:35 shares, but also the competitive constraints on it.
11:36:42 These include two things. Firstly, was Gazprom an
11:36:45 unavoidable trading partner, and secondly, could it act
11:36:50 independently of its customers?
11:36:52 So there's three indicators. First, market shares.
11:37:01 **On this, the question first is:** what gas is Gazprom's
11:37:05 gas? So you need to see what share of gas is Gazprom's
11:37:09 in the market.
11:37:13 Gazprom is the monopoly seller of Russian PNG. So
11:37:17 if the gas through -- if the gas comes from Russia, it's
11:37:25 via Gazprom, whether it's direct or indirect, and so
11:37:28 it's quite easy to account for. Much easier than other
11:37:33 products. And it's also quite intuitive.
11:37:34 And Gazprom, because it's a monopoly, can structure
11:37:41 the contract as it chooses and it can sell gas through
11:37:46 intermediaries by an indirect sale, who can then sell on
11:37:52 that gas into the relevant market.

11:37:55 So with Gazprom and gas markets to not account for
11:38:00 these indirect sales will under-represent and
11:38:05 under-report what Gazprom's share truly is.
11:38:10 This need to take into account indirect sales is
11:38:14 spelt out in the Gazprom decision and also the BEH Gas
11:38:20 decision which was in Bulgaria, it was another gas
11:38:23 market in the CEE. It reconfirmed that yet again.
11:38:28 Prof Hildebrand acknowledges that Gazprom's indirect
11:38:33 sales via traders, hub, and intermediaries may fall
11:38:39 within the scope of assessment of Gazprom's dominance.
11:38:44 But then another odd thing happens. Prof Hildebrand
11:38:50 applies selected and we say invented criteria to
11:38:57 Gazprom's indirect sales to artificially whittle them
11:39:02 down. And this is important, because the effect of that
11:39:06 step is so limiting to the indirect sales that basically
11:39:13 you would only be looking at Gazprom's direct sales.
11:39:17 As pointed out by Dr Riechmann, all -- its small
11:39:21 text, but all of those red types of very common indirect
11:39:28 sale of Gazprom's gas would just be ignored.
11:39:31 On that basis, Gazprom would never be dominant, it
11:39:34 would just engineer its contracts in one of these ways.
11:39:42 So if you were to agree with PPD on that point, and
11:39:46 not apply those filters, then that would be enough to
11:39:51 reach a conclusion that Gazprom was dominant.
11:39:56 Now, it's normal to take annual data, and for 2022,

11:40:00 for April 2022, when Gazprom's market share by the way
11:40:04 was dropping anyway because it was cutting everybody
11:40:07 off, Dr Riechmann finds 54 per cent, if you see the top
11:40:13 row, for 2022. And even if LNG is included for 2022,
11:40:18 it's 45 per cent.
11:40:21 The parties agree that a market share above
11:40:26 50 per cent triggers a presumption of dominance and also
11:40:31 that at 40 per cent you are at the danger zone where
11:40:35 dominance is likely to be found, but with some
11:40:40 additional evidence.
11:40:43 The evidence does establish dominance because the
11:40:45 **second indicator of dominance is:** was Gazprom an
11:40:51 unavoidable trading partner?
11:40:55 You test this by taking away all of Gazprom's gas
11:40:58 from the relevant market. Dr Riechmann conducted this
11:41:02 analysis for Croatia and Hungary and he found that
11:41:06 demand for gas in Croatia and Hungary could not be met
11:41:11 fully without Gazprom's gas, nor if you look in the
11:41:16 wider import zone, which is all the countries that could
11:41:22 feed gas to Croatia and Hungary.
11:41:26 So there wasn't enough gas to meet demand and by
11:41:30 definition, Gazprom was an unavoidable trading partner.
11:41:35 You could not do without Gazprom's gas. You would run
11:41:39 out.
11:41:43 The third and final indicator of dominance is that

11:41:47 PPD could not constrain Gazprom's actions.
11:41:51 Now, when Gazprom reduced gas supplies to Europe,
11:41:58 the whole market reacted. Nobody could push back.
11:42:03 Everybody was affected. Huge gas giants like Uniper
11:42:10 failed.
11:42:11 So in those two years, 2021 and 2022, Gazprom had
11:42:16 huge leverage. It's not credible that everybody in the
11:42:21 gas industry was wrong about this. And only a dominant
11:42:26 firm would be capable of imposing those disadvantageous
11:42:32 and uncommercial payment terms in April 2022.
11:42:36 If Gazprom was not dominant, everybody, including
11:42:40 PPD, would have just refused to accept those amendments
11:42:44 and found gas elsewhere.
11:42:47 So on the basis of all that evidence, those three
11:42:50 indicators, Dr Riechmann finds that Gazprom was dominant
11:42:54 in the relevant market in 2022.
11:43:00 But if you were to find a Croatia-only market, there
11:43:06 would be one more step for you to take, and looking on
11:43:10 screen for the column 2022, at the bottom are three rows
11:43:16 with market shares contended for just in Croatia by
11:43:20 Prof Hildebrand.
11:43:23 You might see straight away that Gazprom's 2022
11:43:26 market share is only, at most, 13 per cent. And that's
11:43:31 a fraction of the contract's annual contracted quantity,
11:43:36 and the lowest share is zero. That's strikingly low,

11:43:44 because Dr Riechmann is calculating 44 per cent at the
11:43:48 top.
11:43:49 Now, there are two reasons for that wide difference.
11:43:51 The first is that Prof Hildebrand excludes Gazprom's
11:43:58 direct sales to PPD under the contract itself from the
11:44:03 dominance analysis in Croatia.
11:44:09 The contract was the largest gas supply contract in
11:44:11 Croatia and under it, Gazprom's title to the gas was
11:44:16 held onto, right up to the delivery point in Croatia.
11:44:21 So you cannot ignore that the contract involved gas
11:44:26 sent by Gazprom to Croatia.
11:44:31 Gazprom's error arises from the impact of the GTA
11:44:36 and the swap agreements.
11:44:39 This error is even worse than the idea of ignoring
11:44:42 indirect sales that you saw earlier, because this is now
11:44:47 ignoring a direct sale.
11:44:51 This is all because PPD was in charge of helping
11:44:57 Gazprom with its duty to deliver gas under the contract
11:45:01 from Hungary to Croatia, to the delivery point in
11:45:04 Croatia.
11:45:08 So the argument is just not sustainable.
11:45:11 Anyway, even if you were to see that Gazprom's PNG
11:45:17 was accountable in Hungary, not Croatia, which is wrong,
11:45:23 for a swap under the swap agreements, you need something
11:45:26 to swap it with. You need something to swap the

contract's gas with. And it was swapped with LNG that was in Croatia. Hungary is landlocked.

So whether you start with the contract's gas in Croatia as we say, or if you swap it in either of the two ways on the slide at the moment, on all the approaches, it's right to allocate all of the contract's volumes to Croatia, where they're delivered, and to Gazprom, who supplied them.

There's one more reason for those very low Croatia market shares before. The second reason is that in Prof Hildebrand's first or primary market share analysis, there is inflation of the total size of the Croatian market, to completely unrealistic levels.

This is done by adding trading volumes.

They're not part of the relevant market. You can trade a molecule of gas countless times before it reaches a user. Introducing trading volumes introduces double counting in the actual gas that's there. That succeeds, of course, by raising the total market size, it succeeds in lowering Gazprom's share in it.

If you look at the table on the top far right-hand side, the total size at the top right is an outlier against the other amounts, including Prof Hildebrand's other calculation.

So when you correct Gazprom's share and the total

11:47:19 market size, you get to that 44 per cent again.
11:47:23 That remains above the danger level for a finding of
11:47:27 dominance and you apply once again those two further
11:47:31 tests, and we repeat our position on unavoidable trading
11:47:36 partner and conduct.
11:47:38 So, even if you did look in a Croatia-only market,
11:47:42 which we don't agree with, Dr Riechmann holds that
11:47:46 Gazprom is dominant nevertheless.
11:47:51 The second part of PPD's submission is that Gazprom,
11:47:54 as a dominant undertaking, had a special responsibility
11:47:58 under European law not to allow its conduct to impair
11:48:03 competition.
11:48:05 There are three conditions for an unfair term that
11:48:10 constitutes an abuse of dominance under article
11:48:13 102(a) TFEU. They're on the slide. They were confirmed
11:48:21 by the European Commission in Apple streaming.
11:48:24 So the first condition, Gazprom imposed the payment
11:48:27 mechanism on PPD, and we just established that on our
11:48:33 submissions on duress.
11:48:36 On the second condition, the terms of Gazprom's
11:48:40 1 April letter were unfavourable and detrimental to PPD.
11:48:45 You heard that as well.
11:48:48 But on screen are each of the detrimental terms.
11:48:51 You know, not least the threat to be cut off with gas,
11:48:54 banking arrangements.

11:48:57 And just maybe taking a step back, none of this is
11:49:00 normal. It's not normal in the gas industry in the
11:49:04 middle of a war to be asked to pay money into the
11:49:07 economy of another country.
11:49:09 It's obviously against the interests of a commercial
11:49:13 trading partner that just wants to buy gas for delivery
11:49:17 in its home state.
11:49:20 So next, on the third and final condition, the terms
11:49:26 imposed by Gazprom to implement decree 172 were not
11:49:32 objectively necessary, the third part of the test.
11:49:37 So we saw decree 172s 172 and 254 before. Now, they
11:49:43 don't mention, when you read them, anywhere in their
11:49:48 text at all, how Gazprom should implement those decrees,
11:49:56 what the decrees said.
11:49:58 On this slide are some of the steps which the
11:50:01 decrees could have necessitated. They're steps that
11:50:07 they could have prohibited Gazprom, by law, from doing,
11:50:11 but they absolutely did not. They didn't add any
11:50:15 implementation rules for Gazprom on how it was to
11:50:20 proceed.
11:50:23 Gazprom's implementation steps therefore have no
11:50:28 basis in the words of decree 172 and they were not
11:50:31 necessary.
11:50:34 When Gazprom says in its defence submission that its
11:50:39 1 April 2022 letter corresponded exactly to decree 172,

11:50:45 that is not correct.
11:50:48 Also, as shown on the slide, there were no
11:50:51 efficiencies or benefits produced to buyers or consumers
11:50:58 using Gazprom's gas that would excuse the term from
11:51:02 being imposed.
11:51:04 The opposite was the case.
11:51:07 Gazprom unnecessarily over-implemented decree 172.
11:51:12 It was not necessary for a legitimate purpose and
11:51:18 Gazprom ignored the other options that it has.
11:51:23 So the term was unfair and meets all three tests
11:51:28 under article 102.
11:51:33 Moving on to the third and final part of this
11:51:35 submission, Gazprom can't rely either on the doctrine of
11:51:39 state compulsion. This is a narrow doctrine that would
11:51:45 abrogate it of all its responsibilities under
11:51:49 competition law.
11:51:51 Gazprom accepts, and this is on screen, it's
11:51:54 a reference from its last submission, that it only
11:51:58 applies where a state leaves a company without any
11:52:04 possibility to act in a competitive way.
11:52:09 That test is from the leading case, the CJEU's
11:52:13 decision in Ladbroke Racing. The test is put in
11:52:19 similarly absolute terms by the CJEU in Irish Sugar.
11:52:26 That's at the bottom. There were two points made in
11:52:29 that bottom extract from the last case that are worth

11:52:34 noting. First, it makes clear that the burden to prove
11:52:40 state compulsion is on Gazprom, and second, that Gazprom
11:52:45 must show that it was deprived of all independent choice
11:52:50 in its commercial policy.
11:52:54 Gazprom fails on both. First, it has not met its
11:52:58 burden. Gazprom is subject to EU competition law. It's
11:53:03 been investigated many times.
11:53:05 And in 2022, in PGNiG, a Polish gas company in
11:53:09 commission, the general court held specifically in
11:53:14 relation to the state compulsion defence that Gazprom is
11:53:18 now maintaining, and specifically applicable to
11:53:23 Gazprom's own actual conduct and its own actual
11:53:25 ownership and control structure, that, first, due to the
11:53:32 restrictive nature of the defence, a factual and legal
11:53:40 analysis must take place of the autonomy of Gazprom.
11:53:45 Second, what actual evidence is there of the
11:53:49 interventions of Russia in Gazprom's decisions?
11:53:54 Here, there is no evidence, other than the words of
11:53:58 decree 172 itself and the way it was drawn up, which
11:54:04 could satisfy Gazprom's burden.
11:54:06 And secondly and anyway, decree 172 did not take
11:54:11 away all of Gazprom's independent choice.
11:54:16 Due to the decree's silence on implementation, which
11:54:20 we just saw before, Gazprom did have freedom and
11:54:26 autonomy in its implementation and it chose what to

11:54:31 write on 1 April. It chose the most hostile and most
11:54:38 extreme option to it.
11:54:41 As explained earlier, in relation to duress and
11:54:44 force majeure, it was acting in complicity with the
11:54:49 Russian State and it was leaning on the power of the
11:54:53 state through the overlap between the management and the
11:54:58 government. It was trying to secure a benefit to
11:55:00 itself. It wanted to secure this outcome for itself and
11:55:07 for the state. It wasn't compelled in any way.
11:55:13 So there is nothing to allow the tribunal to find
11:55:17 the state compulsion doctrine can be applied.
11:55:21 In conclusion, the imposition of the unfair trading
11:55:26 terms was a breach of article 102 and so the terms in
11:55:30 the 1 April and the 5 May letters can't form a valid
11:55:36 contractual amendment, which is null and void again
11:55:39 under section 879(1) of the Austrian Civil Code, because
11:55:45 it was procured by abusive behaviour of the dominant
11:55:50 party, and to repeat myself again for my last
11:55:53 submission, that obligation as well to avoid any such
11:56:00 amendment extends to the tribunal under Eco Swiss.
11:56:06 That concludes PPD's submissions on the purported
11:56:09 variation being void.
11:56:16 Opening submissions by Mr Haugeneder
11:56:27 **MR HAUGENEDER:** Members of the tribunal, I will now
11:56:30 briefly continue PPD's presentation on the claim based

11:56:34 on market manipulation.
11:56:37 I will start by showing that PPD's claim falls
11:56:43 within the scope of the arbitration agreement.
11:56:49 It is PPD's submission that Gazprom manipulated the
11:56:55 TTF month-ahead price, the index determining the price
11:56:59 under the contract, through capacity withholding and
11:57:05 other actions.
11:57:07 By these actions, Gazprom committed torts as well as
11:57:12 breached the contract.
11:57:17 The claim is based on Gazprom's breach of REMIT,
11:57:25 article 102 TFEU, the contractual duty to perform
11:57:31 contracts in good faith, and the breach of the
11:57:35 obligation not to cause harm in breach of good morals.
11:57:41 So you have here contractual as well as
11:57:45 non-contractual causes of action for the same conduct.
11:57:49 Gazprom claims that the tribunal does not have
11:57:53 jurisdiction because claims for breach of REMIT and
11:57:57 article 102 TFEU would fall outside the scope of the
11:58:03 arbitration agreement because they would not have
11:58:08 a sufficiently close connection to the contract.
11:58:11 This allegation fails.
11:58:14 The starting point is that the scope of the
11:58:18 arbitration agreement requires interpretation under the
11:58:22 applicable Austrian law. Relevant for the
11:58:26 interpretation of arbitration agreements is the text,

11:58:31 the intention of the parties and the understanding of
11:58:36 the agreement in accordance with the practice of honest
11:58:42 dealings.
11:58:44 There is clear and uncontroversial case law from the
11:58:48 Austrian Supreme Court case that arbitration agreements
11:58:52 must be interpreted broadly, because this corresponds to
11:58:57 the parties' intention to exclude the jurisdiction of
11:59:01 the state courts and to avoid split jurisdiction.
11:59:09 Split jurisdiction would, however, occur if you
11:59:13 follow Gazprom's submissions, because you would have
11:59:20 contractual jurisdiction for contractual causes of
11:59:22 action, state court jurisdiction for non-contractual
11:59:27 causes of action.
11:59:28 We submit there's no basis for that.
11:59:31 When in doubt, an interpretation that favours the
11:59:34 application of the arbitration agreement must be given
11:59:39 preference, as the Austrian Supreme Court held.
11:59:43 In our case, there is no doubt whatsoever that the
11:59:47 arbitration agreement is exceptionally broad, covering,
11:59:50 **I quote:**
11:59:50 "All controversy, claims, disputes and other matters
11:59:56 arising out of or relating to contractual liability,
12:00:00 tortious liability, and/or to this Contract ..."
12:00:07 This is not an ICC model clause, but a tailor-made
12:00:09 clause intended to capture the broadest possible scope

of the disputes between the parties. It expressly covers tortious liability relating to the contract or not.

Neither in the arbitration agreement, nor in the Austrian law, is there a requirement of foreseeability, functional connection or strong, significant, close, sufficiently close connection with the contract, as Gazprom postulates.

In its leading case on competition law, the Austrian Supreme Court set aside an award because the tribunal did not hear a tort claim over damages based on article 102 TFEU.

This case involved a narrow clause: "any dispute arising ... under this Capacity Contract". So not related to. The clause was narrow, but the Supreme Court still found that the claim for abuse of a dominant position was functionally closely linked to the contract and was therefore covered by the arbitration agreement.

The Austrian Supreme Court confirmed in this context that this interpretation corresponded to the Apple sales case of the CJEU.

There is no doubt in the Austrian arbitration law that non-contractual claims may fall under a legal relationship that is submitted to arbitration, and that is what has happened here; in our case, the submission

to arbitration is exceptionally broad.
Looking at this legal relationship, under the contract the price of gas was calculated by reference to the TTF index. We submit that Gazprom, through actions which constitute torts, as well as breaches of contractual duties, abusively inflated the TTF index.
The invoked manipulation of the contractual price index is evidently closely connected to the contract.
We claim Gazprom manipulated the contract price; what closer connection to the contract can there be?
Therefore, without a doubt this claim is covered by the arbitration agreement.
I will now very briefly address the issue of arbitrability of Gazprom's submission that the claim under REMIT is not arbitrable.
Under the Austrian arbitration law, any pecuniary claim is arbitrable. I quote section 582 of the **Austrian Civil Procedure Code:**
"Any pecuniary claim within the jurisdiction of the courts of law may be made the subject of an arbitration agreement."
The notion of pecuniary claim is understood broadly by the case law and the legal commentary.
PPD's claim, based on the private enforcement of REMIT, is a claim for money. It is therefore

12:04:03 a pecuniary claim. There cannot be any serious
12:04:06 suggestion that the claim is not arbitrable.
12:04:11 Even if it is assumed that a decision of the NRA is
12:04:19 required before an award of damages, as Gazprom submits,
12:04:23 this pertains to the tribunal's substantive decision of
12:04:28 the merits of PPD's claim and not to arbitrability.
12:04:35 With that, I hand again back to Mr Holland who will
12:04:40 set out Gazprom's liability for market manipulation.
12:04:48 Further opening submissions by Mr Holland
12:04:59 **MR HOLLAND:** To establish that Gazprom's conduct was
12:05:03 actionable by PPD and led to its loss, we address,
12:05:07 first, a recap on Gazprom's market manipulation conduct.
12:05:13 Next, PPD's four claims, set out at points (ii) to (v)
12:05:20 on the slides. Then the governing law and the standard
12:05:22 of proof for causation. And then how Gazprom's conduct
12:05:27 resulted in PPD's loss.
12:05:32 So earlier you heard the steps that Gazprom took in
12:05:36 2021 and the beginning of 2022, and without repeating,
12:05:41 it created an artificial scarcity of gas.
12:05:46 Addressing now PPD's first claim, again, it's
12:05:50 a breach of article 102(a) of the TFEU and you will
12:05:55 remember the three elements of that claim are on screen.
12:06:01 We say they're met.
12:06:02 Firstly, Gazprom was dominant in the market of
12:06:05 Croatia and Hungary where the actions impacted on PPD.

12:06:09 And then from that position of dominance, Gazprom
12:06:15 directly or indirectly imposed unfair selling prices and
12:06:23 unfair trading conditions.
12:06:26 If either of those is made out, Gazprom has breached
12:06:31 article 102.
12:06:35 So in the first element, PPD repeats its submissions
12:06:39 on dominance, and the test, the first indicator is
12:06:46 market shares. We're now back on the slide. In the top
12:06:50 table is the relevant market, Croatia and Hungary. This
12:06:55 time we now look at 2021, which was when Gazprom's
12:07:01 pattern of conduct changed.
12:07:05 Gazprom was over 50 per cent, it was at 58 per cent
12:07:09 or 51 per cent, no matter how you look at LNG. So
12:07:15 dominance is presumed in 2021, which is the period where
12:07:21 most of the steps were taken.
12:07:24 Then for 2022, you saw before it was 54 and 45,
12:07:31 a very high level.
12:07:34 Underneath the market shares for the Croatia-only
12:07:37 market that Gazprom argues for, that's the bottom table,
12:07:43 it's 49 per cent for 2021 and 44 per cent for 2022.
12:07:51 So you look again at the second indicator of
12:07:54 dominance, that unavoidable trading partner, and
12:08:00 Dr Riechmann's analysis of that, which we discussed
12:08:03 before, analysed Gazprom's market power within the
12:08:09 import zone.

12:08:11 I mention that before, but let me explain it a bit
12:08:14 more now.
12:08:15 That included the Netherlands, and that's where TTF
12:08:22 is based. That confirmed Gazprom's market power as an
12:08:28 unavoidable trading partner within the import zone, so
12:08:33 including Croatia and Hungary, and the details are on
12:08:37 the slides.
12:08:39 Then finally, Gazprom had no effective competitive
12:08:43 restraint. We simply repeat what I addressed to you
12:08:48 before.
12:08:51 Moving on to the second element of this first claim,
12:08:58 Gazprom imposed unfair selling prices, including
12:09:02 excessive pricing.
12:09:06 In United Brands, as well as subsequent decisions,
12:09:10 the CJEU set out a two-step test for this abuse. The
12:09:19 **first step asks:** is the price excessive in relation to
12:09:22 the economic value of the product?
12:09:28 Now, gas had been selling for years across Europe at
12:09:33 about 15 euros per megawatt hour. So that must be the
12:09:39 upper limit of the supply cost of a producer like
12:09:45 Gazprom. That's shown at the -- in the chart, that's
12:09:48 the price chart between 2019 and 2020.
12:09:54 And in July 2021, the forward price, that's the
12:10:00 price the market expects, for the remainder of 2021 and
12:10:05 2022, was well below 50 euros.

12:10:10 That appeared fair. But then in 2022, prices
12:10:16 reached 150 euros, and those prices cannot bear any
12:10:22 reasonable relationship to Gazprom's costs of
12:10:25 production. Gazprom hasn't suggested that its costs
12:10:30 rose, and so this test is met.
12:10:35 But there was a second step, which then asks whether
12:10:38 the price was unfair in itself when compared to fair
12:10:44 prices.
12:10:46 The price was unfair in itself and we make two
12:10:51 points.
12:10:53 First, Mr Michael Fulwood is one of the principal
12:10:59 designers of the World Gas Model or WGM. That is used
12:11:06 by market participants. Nigaz Ekonomika(?), a Gazprom
12:11:13 company, had a licence previously, as did national
12:11:16 governments and other gas companies; it's
12:11:19 a sophisticated price model.
12:11:24 The modelling created a factual scenario using
12:11:27 actual supply and demand inputs and observed behaviours
12:11:32 in 2021 and 2022 and then it compared it with
12:11:38 a counterfactual of what the impact would have been
12:11:45 without Gazprom's conduct.
12:11:48 The result was that prices were 43 per cent higher
12:11:53 than they would have been if Gazprom did not withhold
12:11:57 gas over that period.
12:12:06 But second, actual TTF prices were significantly

12:12:08 higher than the price the market had reasonably
12:12:12 expected, which we say is a fair benchmark. And again,
12:12:17 taking July 2021 just before this happened, the blue
12:12:21 line, right down at the bottom, that was what the market
12:12:27 expected, and the actual TTF price is in red. You can
12:12:31 see it's significantly higher than the market
12:12:34 expectation.
12:12:36 So in fact, Mr Fulwood's 43 per cent higher
12:12:42 calculation could be considered to be conservative. But
12:12:46 in both cases the manipulated price was unfair.
12:12:53 Then the alternative.
12:12:56 In the alternative, Gazprom imposed unfair trading
12:13:00 conditions. We saw this before. This was the one from
12:13:05 earlier. So you get again the three-step test from
12:13:09 Apple streaming.
12:13:12 To the right here, so as not to repeat ourselves,
12:13:16 PPD applies the facts of this abuse to the test, with
12:13:22 the conclusion that the trading conditions were unfair.
12:13:29 Before leaving article 102, all these abuses took
12:13:34 place in the relevant market. The manipulation of gas
12:13:42 prices was an abuse by Gazprom of its dominant position
12:13:46 in Croatia and Hungary, where it had a special
12:13:50 responsibility not to do so.
12:13:53 Gazprom's conduct caused very high Hungarian gas
12:13:58 prices. If you see the blue line in this figure on the

12:14:04 slide, they were rising because TTF prices rise. That's
12:14:09 the red line.
12:14:12 TTF governed the contract price. So this connection
12:14:18 operated as a tool that enabled Gazprom to impair
12:14:25 effective competition in Croatia and Hungary where it
12:14:29 was dominant.
12:14:31 It didn't need to be dominant at TTF. Just like
12:14:38 Apple can make a chip in California that abuses its
12:14:43 dominance in Croatia and Hungary.
12:14:45 So all of these conditions are satisfied and
12:14:50 article 102 was breached.
12:14:57 Moving to PPD's claim for breach of REMIT. REMIT is
12:15:01 an EU-wide regulation for deterring market manipulation
12:15:06 in the EU wholesale energy markets, and the parties
12:15:10 agree that REMIT operates without prejudice to
12:15:14 article 102 and regardless whether Gazprom is dominant
12:15:20 for the purpose of article 102.
12:15:25 The operative provision in REMIT is article 5. It
12:15:31 prohibits engagement in market manipulation.
12:15:35 We address two issues.
12:15:38 First, article 5 creates a private law cause of
12:15:43 action and, secondly, that Gazprom's actions engage the
12:15:46 definition of market manipulation referred to in
12:15:52 article 5.
12:15:55 On the first issue, whilst it is true that REMIT

12:15:58 gives national regulators -- they're called NRAs, as we
12:16:03 heard before -- powers to impose fines, Prof Koller
12:16:06 emphasises that the enforcement of public law
12:16:15 remedies does not exclude private damages actions.
12:16:19 There is nothing in REMIT to suggest that a prior
12:16:24 decision is a prerequisite or that an NRA has the only
12:16:29 say whether a breach has occurred. In fact, article --
12:16:34 recital 31 keeps the courts and tribunals involved. And
12:16:40 damages of course are separate to fines.
12:16:47 PPD has a right to a private law cause of action for
12:16:51 three reasons.
12:16:54 First, REMIT is directly applicable in all EU Member
12:16:59 States and all the actions here were within the EU.
12:17:05 So both Professors Perner and Koller say that the EU
12:17:11 principle of effectiveness requires that anyone who has
12:17:15 suffered loss through a breach of REMIT is able to claim
12:17:20 damages.
12:17:22 Second, this is also intuitive when you look at the
12:17:26 text and the preambles of REMIT because it's aiming to
12:17:30 protect market participants' interests.
12:17:34 So relying on that, in order to ensure
12:17:36 effectiveness, Prof Perner says that market participants
12:17:42 can enforce market manipulation provisions by private
12:17:47 damages claims. And the other way to look at this is
12:17:52 that there is a common public interest in prohibiting

12:17:56 both market manipulation and competition law abuses, so
12:18:02 both should allow damages claims.
12:18:08 Finally, also on this principle of effectiveness of
12:18:11 the regulation, private law enforcement acts as
12:18:16 a supplement to the action of the authorities. This was
12:18:20 founds in the Munoz case. All of this is in line with
12:18:26 the market abuse regulation, which is REMIT's twin and
12:18:32 which the EU tries to keep in alignment. That covers
12:18:37 financial services. So the same logic should apply to
12:18:42 REMIT.
12:18:44 The Austrian securities law regime does give
12:18:49 a private right of action for market manipulation, as
12:18:53 does well-developed competition law regime, and some
12:19:00 relevant case law is on the next few slides.
12:19:07 So PPD had a private law right of action, and on the
12:19:12 second issue, Gazprom's actions engaged the definition
12:19:18 of market manipulation, which is prohibited by
12:19:23 article 5.
12:19:26 On screen now is article 2(2)(a) of REMIT, which
12:19:31 contains the start of the definition of market
12:19:35 manipulation, and it begins by prohibiting entering into
12:19:40 any transaction or issuing any order to trade in
12:19:45 wholesale energy products.
12:19:47 Now, wholesale energy products includes gas
12:19:50 contracts.

12:19:52 But the words "transaction" and "order to trade" are
12:19:56 not defined in REMIT or even in the MAR, the market
12:20:01 abuse regulation.
12:20:03 But the MAR treats transactions as the execution of
12:20:05 a trade, a transaction is the execution of a trade, and
12:20:09 an order is an instruction to trade, even if it doesn't
12:20:14 go ahead.
12:20:16 Gazprom did transact under contracts, it was
12:20:20 entering contracts when it decided what gas to sell and
12:20:24 store.
12:20:28 So next, looking at the three defined market
12:20:31 manipulation events in 2(2)(a) of REMIT. I must say,
12:20:38 whenever I read them I find they overlap quite a lot.
12:20:40 But on the three, which are on the right-hand side, and
12:20:44 our view is on the left, first, Gazprom withheld
12:20:50 available gas which it sent, following a clear pattern
12:20:54 for years, and that withholding gave signals of false or
12:20:59 misleading scarcity of supply and demand. It had the
12:21:03 gas, but it wasn't there.
12:21:05 Second, for the second part, Gazprom secured the TTF
12:21:10 price at an artificial level without legitimate reason
12:21:14 or accepted market practice.
12:21:17 And third, Gazprom employed a fictitious device
12:21:21 which was likely to give false signals.
12:21:24 That's because Gazprom was telling the market how it

12:21:28 was meeting the high demand whilst actually reducing
12:21:33 supplies to the EU.
12:21:34 On the slide now is just an example. Other ones are
12:21:40 founds elsewhere.
12:21:44 And on this, none of Gazprom's three witnesses
12:21:48 defend its motives and they don't give any legitimate
12:21:53 reasons for this, and the submissions made on its
12:21:58 innocence on this point are some of its least convincing
12:22:02 of all.
12:22:05 So, because of this, PPD is also claiming a breach
12:22:08 of part B of the definition of market manipulation and
12:22:13 that deals directly with media and market announcements,
12:22:18 at the bottom of the slide.
12:22:23 In fact, the REMIT guidance on the current slide has
12:22:25 a name for what Gazprom did, and they call it
12:22:25 "manipulative capacity withholding". That's the
12:22:25 violation; it's the label for the violation.
12:22:42 Moving to PPD's third claim, which is for Gazprom's
12:22:45 violation of ancillary duties of good faith and
12:22:48 cooperation and Austrian duties of care and loyalty, to
12:22:51 maintain the timetable, our submissions in brief are on
12:22:56 these bullets on screen and we will address you on those
12:22:59 in closing. And the same applies for PPD's fourth claim
12:23:05 on the violation of good morals. But all the facts and
12:23:09 the principles that we've discussed and will discuss

12:23:12 will apply to those.
12:23:17 So we move on to the governing law of these tortious
12:23:22 claims and as you heard, the parties expressly selected
12:23:27 Austrian substantive law, and two points support the
12:23:31 view that that choice is applied directly, rather than
12:23:37 through Austrian conflict rules.
12:23:40 The first reason for this is the principle of party
12:23:44 autonomy in international arbitration.
12:23:49 So the parties chose the conflict rules for
12:23:52 determining the applicable law, article 21 of the ICC
12:23:56 Rules, which means that Austrian law applies without
12:24:01 engaging its conflict of law rules.
12:24:04 That includes Rome II and section 603 ZPO
12:24:11 specifically allows Austrian substantive law to be
12:24:16 applied directly, not via Austrian conflict rules.
12:24:21 Prof Koller says that the Rome II regulation does
12:24:27 not override the parties' choice of Austrian law.
12:24:32 That's since Rome II is part of the conflict of law
12:24:38 rules, so it cannot be directly applied in international
12:24:42 arbitration.
12:24:44 Prominent commentators, including Born, agree. Born
12:24:48 says that Rome II does not have any mandatory effect in
12:24:53 international arbitration or any greater effect than
12:24:58 national conflict rules. And Prof Koller likewise
12:25:03 states that Rome II does not qualify as European public

12:25:08 policy.
12:25:11 Our second point here is that the EU principle of
12:25:15 equivalence and effectiveness must apply. Rome II aims
12:25:21 to avoid circumvention of the law of the affected
12:25:26 market. And there can be no circumvention here.
12:25:31 Remember what Rome II is trying to do.
12:25:33 Austrian law is not a less stringent liability
12:25:39 regime. Of course it's a more stringent liability
12:25:45 regime, it allows a more effective remedy, because it
12:25:50 only calls prima facie evidence of causation.
12:25:59 On this lower standard of proof requirement, it
12:26:03 applies under Austrian law to claims under article 102
12:26:08 by way of legal ruling and the principles on screen.
12:26:15 Foreseeability of loss is also presumed, in the
12:26:17 middle of this slide.
12:26:22 All of this applies also to REMIT because it's
12:26:26 a protective law as supported by both Prof Perner and
12:26:30 Koller. The professors also note that REMIT provisions
12:26:37 on market manipulation were modeled on the MAR, which is
12:26:41 also a protective law too.
12:26:44 So the effect of all of this is that once PPD
12:26:50 establishes only prima facie causation, the burden to
12:26:55 show that it has not acted culpably is then passed to
12:27:00 Gazprom.
12:27:03 PPD next makes two points on causation. So, first,

under article 102, Gazprom's conduct does not have to be the only reason for the price increases that cause PPD's loss.

A counterfactual analysis will isolate the wrongful conduct and counterfactuals need not be perfect to prove causation. They just need to get to a plausible outcome.

The European Commission's draft article 102 guidelines confirm that approach and it has been recently applied in Google Shopping, and we saw earlier how Fulwood 1 established that counterfactual following the European Commission's principles and found the 43 per cent -- prices were 43 per cent higher than they would have been.

On this, our second point is that Gazprom's defence of the perfect storm of other factors is, in reality, just the economic and legal context in which Gazprom's conduct should be assessed.

PPD accepts that because of those other factors, there was already not much gas around. They call that a tight market. If you think about it, any further reduction, even a small one, tips the market. And so Gazprom's actions on top made the situation worse.

You cannot just discount the actions of the largest seller. That's really not the way that complex markets

12:28:55 work.
12:28:58 Other independent views point the finger at Gazprom
12:29:02 and they are summarised on the next slides, and so
12:29:06 Gazprom caused the prices to rise.
12:29:09 And lastly, we discuss how those excessive prices
12:29:14 which were caused by Gazprom in turn caused PPD's loss.
12:29:22 So, Petrokemija is a fertiliser producer. It was
12:29:26 PPD's largest customer and it closed down. Gas is the
12:29:31 main thing you use when you're making fertiliser and it
12:29:34 became uneconomic with high gas prices.
12:29:38 This was also happening in Russia and would have
12:29:40 been foreseeable to a seller like Gazprom.
12:29:44 It's not right to say that Petrokemija stopped
12:29:49 making fertiliser and then stopped taking gas.
12:29:54 Petrokemija's annual report at the time makes absolutely
12:29:57 clear that the high price of gas caused it to close
12:30:02 down, not the other way around.
12:30:03 It closed down because once the price under its
12:30:07 contract with PPD was at a sustained price over about
12:30:12 100 euros per megawatt hour consistently -- and that's
12:30:16 the months in red in the table -- it couldn't stay open.
12:30:22 Now, if prices had not been 43 per cent too high,
12:30:27 Petrokemija would have paid PPD 77 euros on average,
12:30:32 instead of 110 euros on average.
12:30:37 So that's what caused Petrokemija to stop buying gas

12:30:41 from PPD. That's caused the loss.
12:30:45 Next, PPD also sold gas to GPZ, which then sold gas
12:30:50 on to households in Croatia, and for households there is
12:30:56 a regulated price like a price cap.
12:31:01 Price caps were imposed, you might remember, by
12:31:04 governments right across Europe, and the cap would have
12:31:07 been foreseeable to Gazprom to happen whenever prices
12:31:10 were really high. And because the gas price rose
12:31:14 towards the end of 2021, the price cap stayed low. It
12:31:20 was a protection to citizens.
12:31:23 It became far lower than the price that GPZ was
12:31:27 paying to PPD, which meant that GPZ started trading at
12:31:33 a heavy loss and couldn't pay the amounts due.
12:31:36 So that loss now sits with PPD.
12:31:41 PPD did try to cut off GPZ. It was a credit risk
12:31:48 because of its debts. But during a crisis meeting, at
12:31:51 the top level, the Croatian Minister of Economy stepped
12:31:55 in and he said citizens must not be left without gas.
12:32:00 So PPD couldn't stop delivering. It was completely out
12:32:03 of PPD's hands.
12:32:05 None of this would have happened if prices were not
12:32:08 inflated.
12:32:09 PPD is chasing this debt and a part-payment was made
12:32:12 in February, but 174 million euros have still not been
12:32:18 paid today. If there's no further payment from GPZ by

12:32:25 the close of evidence, then PPD seeks a declaratory
12:32:30 award for the liability of that amount.
12:32:33 We will update the tribunal if there are any further
12:32:38 payments right up to the close of evidence.
12:32:41 Finally, unlike the other two PPD customers, HEP
12:32:45 bought from PPD at a fixed annual price. So that price
12:32:50 didn't rise and that exposed PPD when TTF prices rose.
12:32:57 PPD couldn't pass on the higher prices as it had done
12:33:01 with Petrokemija. It had to implement a financial hedge
12:33:05 to protect itself.
12:33:07 By financial hedge, I mean you lock in the buy price
12:33:13 that you're paying by buying a derivative from
12:33:17 a counterparty or a bank, and that stops the buy price
12:33:20 rising higher than the sell price. It's price
12:33:24 protection.
12:33:27 PPD tried to hedge. All its large fixed price HEP
12:33:33 contracts were hedged and prior to late 2021 PPD had no
12:33:38 issues doing this.
12:33:41 But the high price and volatility meant that it
12:33:44 couldn't find a counterparty. So significant volumes
12:33:49 had no price protection and PPD bought gas at high
12:33:55 prices, but was locked into its contracts.
12:33:58 So as a direct consequence of the high prices, it
12:34:03 suffered a loss.
12:34:09 To conclude on this submission, PPD has established

12:34:11 that Gazprom caused the TTF price rise and the other hub
12:34:14 prices to rise and the contract price to rise, and also
12:34:18 that Gazprom's market conduct caused PPD's losses and
12:34:22 the on-sale of gas to customers.
12:34:26 It's then Gazprom's burden to disprove the causal
12:34:30 link and it has supplied no gas model, its witnesses are
12:34:35 silent, and it has failed to do so.
12:34:39 That concludes our submissions on these market
12:34:41 manipulation claims.
12:34:48 I now turn next to the quantum of PPD's claims.
12:34:53 That concludes our liability submissions.
12:34:56 I'll deal with this as follows. First, the legal
12:34:58 principles and contractual framework. Next, replacement
12:35:03 gas losses that fall into two parts. Next, other losses
12:35:10 associated with a failure to supply, and this really is
12:35:13 the transportation loss. And next, market manipulation
12:35:16 losses, the quantum of those themselves.
12:35:20 I'll also cover discounting and interest, but before
12:35:23 starting, Gazprom's counterclaim will be the subject of
12:35:28 a different presentation.
12:35:31 Now, as you heard, there has been a recent
12:35:33 development, PPD received that part-payment from GPZ,
12:35:37 and there's also been a recalculation of PPD's loss.
12:35:42 That will reduce PPD's total claim and we seek
12:35:46 permission to update our request for relief, and for

convenience, we will set that out in the slides at the very end of these presentations.

Returning to the claim which PPD has made and the legal principles. So it's agreed that Austrian law and the CISG govern the parties' entitlement to damages and quantum.

The claims are made under article 74, 75 and 76 CISG, but I emphasise article 74, because that applies to all of PPD's claims.

That permits claims for damages based on the difference between the price of an original contract and the replacement contract, and the applicable standard of proof is reasonable certainty.

So the first issue is, what is a replacement transaction under article 74.

Gazprom breached the contract on 1 April 202 by threatening to suspend gas deliveries, and a further breach on 1 November 2022 by not supplying gas.

If you have a long-term contract which is not likely to be performed, should you sit on your hands and wait to suffer a loss, or should you instead take precautions or try to mitigate that loss. And a rational commercial party would do the latter and CISG Advisory Council Opinion 6 fully affirms this. And Gazprom specifically acknowledges AC6's application.

12:37:53 So it's common ground that a party can enter into
12:37:57 replacement transactions from the moment of breach,
12:37:59 either as a precaution or as mitigation or both.
12:38:08 That is what PPD did. PPD's witnesses say that it
12:38:11 was only after the 1 April breach that it sought out
12:38:16 replacement gas, and that takes time to organise as
12:38:21 there was a severe shortage of gas at the time.
12:38:24 So Gazprom is wrong to try and assert, without any
12:38:27 authority, a different test to breach as the trigger for
12:38:32 replacement contracts, and it's also wrong to ask you to
12:38:37 disregard all of PPD's losses until avoidance on
12:38:42 8 March.
12:38:46 So that now leads me to the first of five points on
12:38:49 the applicable damages framework, and the first issue is
12:38:51 that the contract assesses loss based on a daily
12:38:57 shortfall.
12:38:58 The parties agree that the contract is an instalment
12:39:01 contract and it operates daily; there are consequences
12:39:04 each day.
12:39:06 It's also confirmed by a clause you might have seen
12:39:09 as you read the contract that both parties accept and
12:39:13 agree it's not applicable. That's article 12 on
12:39:16 seller's deficiencies. It's not applicable, both
12:39:19 parties say, when gas has stopped flowing, but it does
12:39:22 stress the daily nature of deliveries.

12:39:27 It also doesn't contain, nor does the rest of the
12:39:31 contract, any exclusion of indirect losses.
12:39:38 So article 12 reflects how the gas industry works.
12:39:43 You buy to sell on each day based on the price that day.
12:39:48 Both experts agree to that.
12:39:53 Second, it follows that gas that was replaced is
12:39:57 assessed on a daily basis. So if the replacement gas
12:40:01 was more expensive than the contract price, you
12:40:05 calculate the loss for that day.
12:40:09 But if the replacement gas was cheaper than the
12:40:11 contract price, you do not hand over gains on that day.
12:40:16 **That's confirmed by leading commentators:** the party
12:40:20 in breach should not benefit from its wrong. Gazprom
12:40:25 actually does not deny that principle, at the bottom of
12:40:27 the slide, and that's because gas is a trading
12:40:31 commodity. So how do you apply this agreed principle in
12:40:35 a commodities market?
12:40:38 Now, PPD needed this commodity, the gas under the
12:40:44 contract, because its customers needed it. The annual
12:40:49 amount of gas that PPD had to buy from Gazprom under the
12:40:55 contract was driven by how much its customers needed.
12:40:59 And if it didn't buy gas from Gazprom, it had to pay for
12:41:03 it anyway.
12:41:05 After the contract ended, PPD still needed to buy
12:41:09 this gas. It had no choice. PPD had to replace the

12:41:15 contract and that is where it made a loss.
12:41:22 As a commodities trader, PPD also had the option to
12:41:27 either buy extra gas when it could make a profit, or
12:41:31 take less gas in a day when the contract was less
12:41:35 profitable.
12:41:36 So in either scenario, PPD's actions were driven by
12:41:42 profit. It would only do this trading when it could
12:41:47 make a gain.
12:41:48 You have to assume rational commercial behaviour, so
12:41:53 there would never be any losses with these traded
12:41:57 volumes.
12:41:59 So if we find any gains after 1 November 2022, these
12:42:05 were the result of PPD's profitable trading. There is
12:42:10 no way that these should be handed over to Gazprom.
12:42:16 Mr Way, who is a gas market expert, sees this
12:42:19 approach all the time.
12:42:23 This brings me to the third principle, which is
12:42:26 relevant to the volumes of gas on which PPD's losses are
12:42:30 based each day.
12:42:33 There was a daily flexibility for PPD. It could
12:42:38 take gas up to the daily contract quantity, but it
12:42:42 didn't have to.
12:42:43 Both parties agree that flexibility is a benefit
12:42:48 conferred on PPD and both parties rely on the same
12:42:53 passage from Saidov. PPD's witnesses say that full

12:42:58 flexibility would have been used had the contract
12:43:01 continued. So PPD's loss should be based on the annual
12:43:06 **sum of these DCQs. That's called the ACQ.**
12:43:15 **So fourth, on days when PPD failed to replace gas up**
12:43:19 **to the DCQ, it lost the opportunity as a trader that it**
12:43:23 **had to use the flexibility and make an additional profit**
12:43:27 **in that market.**
12:43:28 **That loss is neither speculative, nor a loss of the**
12:43:32 **chance, because Gazprom was obliged to make available**
12:43:34 **the DCQ in each day. PPD has shown that market prices**
12:43:41 **are known and that its losses can be calculated on those**
12:43:45 **days with reasonable certainty.**
12:43:49 **The final issue of principle: known data should be**
12:43:55 **used when available. That approach is undisputed and**
12:43:59 **it's what PPD has done.**
12:44:03 **So with these five principles, PPD establishes its**
12:44:06 **damages. First, those that are based on its actual**
12:44:09 **costs.**
12:44:11 **So a gas company tracks all of the contracts and**
12:44:15 **cost data that it has, it has to know its trading**
12:44:18 **position. So PPD records this in its ETRM system and**
12:44:24 **a data room was set up to collate all this data, and it**
12:44:29 **was checked by Mr Gilbey and his forensic accounting**
12:44:33 **team. Once all the costs were reconciled, they all**
12:44:38 **match up against audited financial statements.**

12:44:43 Second, Mr Gilbey also went on to check those
12:44:47 entries against the actual underlying invoices and
12:44:51 contracts, point by point, and in person. And remember
12:44:57 PPD did not need to take that approach. It could have
12:45:00 used an anticipated market price, and particularly as
12:45:05 Gazprom seems to be allergic to all data when it comes
12:45:09 to its counterclaim, which is not supported by any costs
12:45:13 or sales data at all.
12:45:19 Gazprom was invited to review the data room. It
12:45:24 declined that invitation. But once the data was
12:45:26 checked, you then apply legal principles to the data in
12:45:31 order to assemble your loss.
12:45:33 So, first, we only included contracts after 1 April.
12:45:38 That was permitted by CISG 74. Second, only those that
12:45:44 were for delivery after 1 November were included. Next,
12:45:51 we excluded related party transactions.
12:45:56 PPD's ETRM system only records the costs of PPD and
12:46:02 not those of the group. So there's no chance that group
12:46:06 costs are being loaded up on top.
12:46:10 PPD excluded deals within its group because they
12:46:14 just can't be considered to be arm's-length
12:46:16 transactions, because those transactions are not market
12:46:21 tested.
12:46:24 Gazprom had agreed, in the middle of this slide,
12:46:26 with that approach, but it is then -- or has become

12:46:30 inconsistent in application at the bottom, because
12:46:34 elsewhere it says you might look at intragroup
12:46:38 contracts, but that would not be safe at all, it's not
12:46:43 industry practice.
12:46:44 If these were added, they would not be PPD's costs,
12:46:44 they would be another company's costs, and you actually
12:46:52 normally spend huge effort to try to make sure that
12:46:56 these costs are fully excluded.
12:47:01 Also, the record in this arbitration records
12:47:05 a network of services and other relationships that could
12:47:09 affect prices between affiliates.
12:47:12 What we're looking for here is market prices only.
12:47:17 PPD's affiliates, such as a company called PPD Global,
12:47:20 are also trading companies. Gas companies typically
12:47:27 purchase gas based on their own portfolio and it's
12:47:32 separate. So it's quite impossible to trace the price
12:47:37 that PPD Global paid for any chunk of gas that it then
12:47:41 sold to PPD. It's all mixed up and you would have to
12:47:46 speculate what it paid.
12:47:48 So once all those steps are applied, PPD's damages
12:47:52 related to the cost of replacement transactions was
12:47:56 calculated.
12:47:59 Next, PPD's future loss. So after the period of
12:48:04 data ends, which was in August 2024, damages are then
12:48:09 claimed to the end of contract, and PPD had entered into

12:48:13 a long-term LNG contract which covers about one-third of
12:48:17 the replacement gas.
12:48:21 PPD claims the incremental cost under that contract
12:48:27 in its loss.
12:48:29 The LNG contract is based on TTF FM prices, which is
12:48:34 just like the contract. That base TTF price under the
12:48:39 LNG contract would over time rise and fall exactly the
12:48:43 same as the contract.
12:48:46 So you'd then just account for the difference in
12:48:48 what's called the constant, and that's a little value
12:48:52 which you either add or take away from TTF, and the
12:48:57 difference, they're in different units of measurement,
12:49:00 but when you work that out, the difference between them
12:49:02 is 1.62 euro per megawatt hour.
12:49:06 No assumptions are needed for that loss. It's just
12:49:09 simple maths.
12:49:12 Then to place the LNG on a like-for-like basis with
12:49:16 the gas under the contract, you then adjust the
12:49:20 additional costs of buying LNG compared to gas. And
12:49:25 Gazprom doesn't dispute that approach.
12:49:29 Next, there are no other long-term replacement
12:49:33 contracts to replace the remaining two-thirds of the
12:49:37 contract volumes.
12:49:39 Gazprom does challenge this. It has reviewed
12:49:41 Mr Gilbey's historical dataset. It's trying to find

12:49:46 other long-term contracts, but it can't find any. All
12:49:50 it's found is a framework agreement and some repeat
12:49:53 purchases, but there are no other long-term contracts,
12:49:57 as Mrs Measic has confirmed.
12:50:02 So PPD and Gazprom agree that PPD has to find the
12:50:07 market price of a replacement contract and that that has
12:50:12 to have the same characteristics as the contract.
12:50:17 So, unlike historical damages, there's no need to
12:50:20 look backwards for historical data. What you're now
12:50:23 doing is looking at what the contract offered.
12:50:28 Gazprom says you should look backwards. It says you
12:50:31 should look backwards at the pattern of gas purchases
12:50:34 after November 2022 to try and benchmark the
12:50:38 characteristics, and that is wrong, wrong for two
12:50:42 reasons.
12:50:43 First, they were only short-term emergency
12:50:46 replacement contracts, so they're not going to reflect
12:50:50 the market price of a long-term contract.
12:50:53 Second, the market was in absolute turmoil at this
12:50:58 time. Gazprom's approach wouldn't replicate the
12:51:01 contract, it would replicate the crisis. We have to
12:51:06 look at how we can replicate the key characteristics of
12:51:10 the contract.
12:51:12 So the best way to replicate, to get like for like,
12:51:15 is to buy a TTF price.

12:51:21 That perfectly matches the price under the contract
12:51:24 and then you have to add your constant, we just saw that
12:51:27 with the LNG contract, and this is, by the way,
12:51:31 a constant is perfectly standard. It covers a wide mix
12:51:34 of things like transportation costs, entry fees,
12:51:38 a profit for the seller, but you can't just take
12:51:41 a constant from one contract and kind of copy it across.
12:51:45 It really depends on the dynamics of the deal.
12:51:48 So we have to build our constant. TTF is in the
12:51:53 Netherlands. The cost of transporting gas from the
12:51:55 Netherlands to the delivery point reflects a location
12:52:00 differential. You have to get it there from the
12:52:03 Netherlands. So that's added, based on transportation
12:52:11 cost data, public data.
12:52:14 Now, you can't buy TTF at any other place in the
12:52:19 world other than the Netherlands without paying
12:52:24 something as a location differential to get it there
12:52:28 from the Netherlands.
12:52:32 So Gazprom are wrong to want PPD to buy a TTF price
12:52:37 at a hub in Austria called CEGH, with no proper constant
12:52:44 to get it there. The replacement cost on that basis
12:52:47 would be much too low. You can't buy at CEGH prices,
12:52:52 not TTF prices, without moving away from the
12:52:56 like-for-like approach under the contract. If you did
12:52:59 that, you're not replicating TTF under the contract very

12:53:04 well at all. You would be giving PPD the risk that CEGH
12:53:10 and TTF over time would swing away from each other.
12:53:17 Still and finally building this constant, we saw
12:53:19 that the contract offered daily flexibility, so you add
12:53:24 an additional storage cost. That's to replace the
12:53:28 flexibility in the contract.
12:53:31 When you add up those things, that completes the
12:53:34 constant.
12:53:37 Add that to TTF and you compare the price that PPD
12:53:41 would have had to pay for the replacement gas against
12:53:44 the contract price.
12:53:46 By that approach, PPD has discharged its burden of
12:53:50 proof.
12:53:53 **PRESIDENT:** Sir, before we move to the last three items
12:53:57 under the quantum, maybe we could take a break, because
12:54:02 we have been 90 minutes into the presentation. I know
12:54:08 you may have wanted to finish quantum of PPD's claims,
12:54:13 but maybe it would be a good time to stop.
12:54:17 **MR HOLLAND:** We fully sympathise and we will take a short
12:54:20 break.
12:54:20 **PRESIDENT:** Let's take a 10-minute break.
12:54:25 You're still contemplating finishing at 1.20, right?
12:54:30 **MR HOLLAND:** We'll confer and check and come back.
12:54:33 **PRESIDENT:** Very good. See you in 10 minutes.
12:54:40 (12.54 pm)

12:54:45 (Short break)

12:54:46 (1.06 pm)

13:06:27 **PRESIDENT:** We're back on record. According to the
13:06:30 tribunal's calculations, the claimant has used
13:06:33 172 minutes. We're going to go over the time break
13:06:41 which was scheduled at 1.20, to allow the claimant to
13:06:46 complete its presentation.
13:06:48 We just conferred with lead counsel, the tribunal,
13:06:53 a few minutes ago. The respondent is instructed before
13:06:57 the end of the presentation to provide the demonstrative
13:07:05 exhibits which were identified by the tribunal earlier
13:07:09 today as demonstrative exhibits, as RD, and to be
13:07:16 submitted and put on the e-bundle. The claimant's
13:07:23 counsel has indicated that it was not materially
13:07:27 possible to review these demonstrative exhibits before
13:07:33 the presentation that is going to start this afternoon,
13:07:38 so for the respondent.
13:07:41 So the claimant is directed to provide any objection
13:07:46 it may have on the accuracy of the reference and any
13:07:50 objection it may have on the demonstrative exhibit
13:07:53 before the closing statements, which are scheduled at
13:07:56 the end of this week.
13:07:59 With that in mind, we continue with the presentation
13:08:01 on quantum.

13:08:03 **MR HOLLAND:** Next I turn to PPD's loss of transportation

fees. We address three questions. The first is why
these losses arise from the end of gas supply under the
contract.
The answer is that Gazprom had to get the gas to PPD
in Croatia and in not doing so, PPD loses whatever the
gas gives it, including the transportation fees.
Loss of those transportation fees was an inherent
value under the contract. It was lost as a consequence
at the end of supply.
That's because on the facts, PPD had the only
long-term contract with delivery to Croatia. Everybody
else was trying to get gas out of Croatia and out into
Hungary, and that was a feature of the contract, the
delivery point, and that let PPD enter profitable swap
agreements to meet its transportation duty to Gazprom.
So all of the elements of it arise under the
contract, and Prof Koller agrees that the claim does not
arise under the GTA because the loss flows from the
failure to supply gas via the contract.
So second, why did Gazprom have to keep using
transport whilst the contract was running? It admits it
can't get gas to PPD under the contract without help.
PPD's route, on the screen in green, is also the
cheapest. So it would make no sense to stop using it
and to use the much longer route, in red.

13:09:50 So although PPD accepts that Gazprom could have
13:09:54 decided not to use the transport service, with
13:09:58 reasonable certainty it never would.
13:10:01 Finally, on causation, PPD says that the contract
13:10:06 breach caused the loss of transportation. But Gazprom
13:10:10 says that the loss of transportation caused the end of
13:10:14 the contract.
13:10:15 Now, this is easy. The first step under the system
13:10:20 was that each day of the contract, Gazprom had to make
13:10:26 available gas at the delivery point. So before that, it
13:10:30 needed to ask PPD to transport the gas to the delivery
13:10:35 point.
13:10:36 The cause of no nomination of transport fees was the
13:10:41 breach of contract and Mr Mazilov states that PPD was in
13:10:47 total control of the volumes transported on each day and
13:10:52 that is because of that flexibility under the contract.
13:10:59 We would move now to PPD's claim for market
13:11:02 manipulation, but we've described those claims earlier
13:11:07 and we intend to cover the quantum of those claims in
13:11:11 closing, and that therefore just leaves discounting and
13:11:15 interest.
13:11:19 Gazprom in this case uses an assessment date for
13:11:21 damages of the date of avoidance, as it says. But on
13:11:28 this slide, Gazprom is using that as one way to not look
13:11:34 past that date. It's a way to not ask what it did with

13:11:40 the contract's gas, the steps it took to mitigate, and
13:11:44 that's entirely unhelpful.
13:11:47 So PPD does not want to do that. It wants to take
13:11:51 into account known data and as such, PPD uses the date
13:11:57 of the award, not the date of the breach. And that
13:11:59 means that less interest is claimed because you only
13:12:03 claim it when each chunk arrives, but there is no
13:12:06 discounting.
13:12:07 We'll explain in closing how, if we had used the
13:12:11 date of breach, the rate you would use for discounting
13:12:16 is, in all circumstances, lower than the rate you would
13:12:20 use to go forward again.
13:12:22 So you most likely would increase the claim, had the
13:12:25 date of breach been used.
13:12:29 So after set-off, which we will address in the
13:12:31 counterclaim, interest is added again. There's no
13:12:35 dispute on the calculated interest and PPD accepts that
13:12:39 the tort rate, which is lower, would be applied to PPD's
13:12:43 market manipulation claims.
13:12:46 So that concludes our submissions on the loss of
13:12:50 PPD's claims and Ms Petkute will now address the
13:12:54 tribunal on Gazprom's counterclaim.
13:13:00 Opening submissions by Ms Petkute
13:13:12 **MS PETKUTE:** Madam president, members of the tribunal, it
13:13:15 is a privilege to stand before you today to present

13:13:18 PPD's position on Gazprom's counterclaims.
13:13:22 Gazprom seeks over 5.4 billion euros from PPD. That
13:13:28 is what respondent asks you to award.
13:13:31 This is a counterclaim for which Gazprom failed to
13:13:34 meet its burden of proof. This is a counterclaim by the
13:13:38 breaching party.
13:13:40 In the next 20 minutes I will address three points
13:13:43 related to liability on the counterclaims.
13:13:47 First, it is Gazprom, not PPD, that committed
13:13:52 a fundamental breach of the contract.
13:13:55 Second, I will explain why EU sanctions laws bar any
13:14:00 award in Gazprom's favour.
13:14:01 And third, I will turn to specific heads of
13:14:06 Gazprom's counterclaims to address liability.
13:14:10 Let me begin.
13:14:13 **Gazprom's counterclaim rests on one key assertion:**
13:14:17 that PPD fundamentally breached the contract.
13:14:21 As you can see on the screen, fundamental breach is
13:14:24 defined in article 25 CISG. It is a precondition for
13:14:29 avoidance of the contract. It is also a precondition to
13:14:33 claim damages up to the end of the contract term, that
13:14:38 is end of 2027.
13:14:41 In Gazprom's view, it validly avoided the contract
13:14:44 and for that reason it is entitled to damages up to that
13:14:48 period.

13:14:49 The opposite is true.
13:14:52 On 1 April 2022, Gazprom sent a letter that was not
13:14:57 a mere request. It was an ultimatum. The message was
13:15:02 **clear:** accept a new payment mechanism or there would be
13:15:06 no more gas.
13:15:09 Article 9.1 of the contract is unambiguous. Payment
13:15:14 was to be made in euros, no unilateral modification and
13:15:19 certainty no MOEX, no NCC, no instructions from Russian
13:15:24 Central Bank. Yet, Gazprom demanded precisely those
13:15:29 things.
13:15:31 Gazprom fundamentally breached the contract in two
13:15:34 **ways:** first, by subjecting its primary contractual
13:15:39 obligation to supply gas upon conditions not contained
13:15:44 in the contract, and second, by suspending supply of gas
13:15:49 to PPD from 1 November 2022.
13:15:54 As we got subjecting primary contractual obligations
13:15:58 to supply gas upon conditions not contained in the
13:16:01 contract, the tribunal will have observed that Gazprom
13:16:07 required to pay via the mechanism after the decree 172
13:16:13 was issued on April 1, after the decree 254 was issued
13:16:18 in May, and after the decree 992 was issued in December.
13:16:25 The authors are unanimous in their conclusions.
13:16:28 A seller who conditions delivery on non-contractual
13:16:34 terms commits a fundamental breach of the contract.
13:16:38 You see several authorities on this slides. I will

13:16:41 **quote only one, Magnus:**
13:16:43 "It is ... a fundamental breach if the seller
13:16:46 requests, as condition for delivery, that the buyer
13:16:50 first fulfils further conditions ... which had not been
13:16:53 agreed upon in the original contract."
13:16:56 This is the first leg of Gazprom's fundamental
13:17:00 breach.
13:17:02 The second one is failure to supply from 1 November.
13:17:07 On this slide you also see authorities supporting that
13:17:10 this is a fundamental breach.
13:17:13 On 8 March, PPD formally avoided the contract for
13:17:18 these two reasons. On the slide you see PPD's notice of
13:17:22 avoidance.
13:17:23 PPD noted, "you have refused to accept payment in
13:17:27 Euros" and you "ceased supply of Natural Gas". By that
13:17:32 time, 17 weeks had passed without any gas deliveries
13:17:37 from Gazprom. This was a valid exercise of article 49
13:17:42 of CISG, a right confirmed upon PPD by virtue of
13:17:48 Gazprom's own fundamental breach of the contract.
13:17:53 Gazprom invokes article 71 CISG which governs
13:17:58 anticipatory breach and claims a right to suspend gas
13:18:03 deliveries because of PPD's alleged failure to pay on
13:18:08 31 October.
13:18:10 Gazprom has to rely on anticipatory breach because
13:18:14 alleged failure to pay on 31 October was for the gas

13:18:19 delivered in the past in September, but Gazprom
13:18:22 suspended supply for further periods.
13:18:26 This assertion fails for several reasons.
13:18:30 PPD did not refuse to perform its obligations under
13:18:34 the contract. PPD insisted on paying in euros. Lawful
13:18:40 insistence on contractual compliance cannot constitute
13:18:44 **an anticipatory breach. Prof Perner explains:**
13:18:49 "If a party lawfully refuses to effect performance
13:18:52 under a contract, the counterparty can never invoke
13:18:56 Art 71 CISG and suspend its own performance."
13:19:01 Article 80 further supports PPD's position. It
13:19:06 **provides:**
13:19:07 "a party may not rely on a failure of the other
13:19:10 party to perform, to the extent that such failure was
13:19:14 caused by the first party's [breach] or omission."
13:19:17 Gazprom asserts that even if PPD's non-payment via
13:19:23 the mechanism is justified by circumstances beyond the
13:19:27 party's control, Gazprom still had a right to suspend
13:19:31 performance.
13:19:32 This argument must be rejected. PPD was not
13:19:36 affected by any impediment to performance within the
13:19:40 meaning of article 71. PPD always had the ability to
13:19:44 pay in euros.
13:19:46 The very same author upon which Gazprom relies
13:19:49 clarifies that article 80 here comes into play.

13:19:54 Article 80 must also be taken into account when
13:19:58 assessing the breach of duty. Suspension is not
13:20:01 permissible if the creditor is responsible for the
13:20:05 debtor's breach.
13:20:07 Issuance of decree 992 does not change this
13:20:11 conclusion. What decree 992 did, it allowed payments of
13:20:21 debt by foreign buyer in euros. However, it continued
13:20:25 to condition the obligation of supply upon payments to
13:20:30 mechanism.
13:20:31 Therefore, Gazprom after decree 992 continued to be
13:20:36 in fundamental breach of the contract.
13:20:39 In any event, the claim defect of decree 992 is
13:20:44 moot, as Gazprom has no claim for gas supplies
13:20:47 in September and October because of PPD's valid set-off.
13:20:54 Gazprom therefore has no right to avoid the contract
13:20:58 because PPD was not in fundamental breach; Gazprom was.
13:21:03 Moreover, Gazprom failed to comply with formal
13:21:06 requirements and issue a notice of avoidance. It
13:21:09 purports that it did so with the answer to the request
13:21:13 for arbitration in May.
13:21:16 However, while it is required that parties' intent
13:21:21 is clear to avoid the contract, you cannot find such
13:21:25 intent in the answer.
13:21:28 In its opening presentation Gazprom submits that it
13:21:31 could choose whether to exercise avoidance right under

13:21:34 article 25. This is exactly the point. Gazprom might
13:21:39 choose of course the remedies it wishes to invoke;
13:21:41 however, the intent to avoid the contract must be clear.
13:21:47 The consequences of Gazprom's fundamental breach are
13:21:50 significant. It had no right to suspend performance
13:21:53 in November and no right to avoid the contract.
13:21:58 Accordingly, Gazprom is not entitled to the
13:22:00 counterclaim it now pursues.
13:22:05 Even if the tribunal were to find, contrary to PPD's
13:22:09 submission, that PPD was in breach, Gazprom's
13:22:13 counterclaim would still fail because of EU sanctions
13:22:16 regulations.
13:22:18 Here PPD invokes article 11 of Council Regulation
13:22:22 833 and article 10 of Council Regulation 269.
13:22:28 **Article 11 of Council Regulation is explicit:**
13:22:33 "No claims in connection with any contract ... the
13:22:36 performance of which has been affected, directly or
13:22:40 indirectly, in whole or in part, by the measures imposed
13:22:44 under this regulation ... shall be satisfied, if they
13:22:47 **are made by:**
13:22:48 "(b) any other Russian person, entity or body.
13:22:52 "2. In any proceedings for the enforcement of
13:22:54 a claim, the onus [the burden] of proving that
13:22:58 satisfying the claim is ... on [a party who is] seeking
13:23:01 the enforcement..."

13:23:03 There is of course no dispute that Gazprom is
13:23:07 a Russian entity, nor can there be any serious dispute
13:23:11 that the performance of the contract was affected by EU
13:23:15 sanctions.
13:23:17 The consequences in this article are also clear. No
13:23:22 claim shall be satisfied.
13:23:26 Just a few weeks ago, and my colleagues discussed
13:23:29 that briefly, Advocate General Biondi opined exactly on
13:23:33 **this article, on article 11 of regulation 833. It said:**
13:23:40 "... the arbitration bodies ... are not only bound
13:23:43 by EU law but also, at their level, are the guarantors
13:23:47 [of] EU law ..."
13:23:49 It also found that article 11 must be interpreted as
13:23:54 being part of EU public policy.
13:23:57 Advocate General noted the broad scope of the
13:24:05 wording "directly or indirectly", literal analysis,
13:24:08 contextually interpreted the provision, and noted that
13:24:15 the regulation includes no circumvention provision, and
13:24:20 also mentioned the purpose of this regulation, which my
13:24:23 colleagues already addressed.
13:24:26 But I would like to particularly draw your attention
13:24:29 to the second paragraph on the slide.
13:24:33 Critically, article 11 is automatic, it's
13:24:38 autonomous, it is irrelevant whether satisfying the
13:24:41 claim would itself entail a prohibited measure. Let me

13:24:45 **quote:**
13:24:47 "... where the claim relates to a contract or
13:24:49 a transaction the performance of which has been affected
13:24:54 by the measures laid down by that regulation, the
13:24:58 non-satisfaction of that claim is automatic,
13:25:01 irrespective of whether satisfying the claim would
13:25:05 entail infringement of the other measures provided for
13:25:09 in that regulation ..."
13:25:14 It is very important, members of the tribunal. Just
13:25:16 consider the situation in the Reibel case. What was
13:25:19 sanctioned there? It was the good itself, it was the
13:25:24 metal parts which were considered to be of dual use for
13:25:27 helicopters. This good was sanctioned, it could not be
13:25:32 delivered, but the advance payment was made.
13:25:37 While the tribunal found that the advance payment
13:25:41 should be repaid because the good was not delivered
13:25:43 because of the sanctions, Advocate General says that
13:25:47 article 11 still captures that advance payment, although
13:25:53 what's sanctioned is the good, of course, not the
13:25:58 advance payment.
13:25:59 That is how broad article 11 should be interpreted.
13:26:06 Gazprom contends on slide 189 of its opening
13:26:09 submissions that the debt for September and October 2022
13:26:16 could be paid directly to GPE into euro account, because
13:26:19 of that decree 992, and therefore it fails outside

13:26:24 article 11.
13:26:26 But this ignores the scope of the sanctions as just
13:26:30 addressed.
13:26:31 It is sufficient that the contract performance is
13:26:35 affected by sanctions and then article 11 provides that
13:26:40 no claims can be satisfied.
13:26:45 On the consequences of the application of
13:26:49 article 11, Advocate General noted that the body who
13:26:54 **receives the claim:**
13:26:54 "... is obliged not to satisfy it. Not satisfying
13:26:58 a claim means ... that a favourable response must not be
13:27:02 given to it."
13:27:06 There can be no doubt that the performance of this
13:27:08 contract was affected by the measures imposed under
13:27:12 regulation 833.
13:27:14 Here you see a quote by the European Commission who
13:27:18 observed that transactions resulting in the Central Bank
13:27:21 of Russia gaining control over funds could be considered
13:27:26 prohibited transactions, and that prohibitions in the
13:27:29 sanctions should be interpreted broadly.
13:27:35 Also, I now quote the view of the Ministry of the
13:27:41 Foreign and European Affairs of Croatia, responsible for
13:27:45 implementing and enforcing sanctions in the Republic of
13:27:48 **Croatia:**
13:27:48 "The procedure for converting the paid funds is

13:27:53 entirely within the jurisdiction of the bodies of the
13:27:55 Russian Federation and is related to the management of
13:27:59 the funds and reserves of the Central Bank of
13:28:01 Russia ..."
13:28:04 Prof Klicka further openly asserts that the very
13:28:10 issuance of the decrees was because of EU sanctions.
13:28:18 **This is what Prof Klicka says:**
13:28:20 "While EU sanctions at the respective time did not
13:28:23 make it impossible for GPE to continue to accept
13:28:26 payments in accordance with Clause 9.2 of the Contract,
13:28:29 they triggered in effect the introduction of decree 172,
13:28:34 which was issued by the Russian state in the context of
13:28:38 the EU measures enacted against Russia ..."
13:28:43 Therefore, contract performance was definitely
13:28:46 affected by the EU sanctions. The decrees were issued
13:28:50 in response to EU sanctions. It opened up the mechanism
13:28:56 under which sanctioned parties could acquire PPD's
13:29:00 euros. Also the contract was avoided and no payment was
13:29:05 made because of the risks of sanctions.
13:29:08 Now I turn to article 10 of Council Regulation 269.
13:29:12 Even if PPD was mistaken and no sanctions apply,
13:29:20 **this provision releases from liability:**
13:29:25 "The freezing of funds and economic resources or the
13:29:28 refusal to make funds or economic resources available,
13:29:31 carried out in good faith ... shall not give rise to

13:29:36 liability of any kind ... unless it is proved ..."
13:29:41 And the burden is here on Gazprom, that this was
13:29:43 done "as a result of negligence".
13:29:45 PPD was not negligent. Here on this slide you see
13:29:55 various opinions of EU officials confirming their views
13:30:00 that the mechanism fell under sanctions.
13:30:03 PPD did not act negligently when it suspended
13:30:06 payment due to the risk of sanctions. These statements
13:30:11 confirm this.
13:30:13 PPD was not reckless. PPD faced a genuine
13:30:18 regulatory uncertainty and chose compliance with EU law.
13:30:24 For that choice it cannot be liable.
13:30:30 The consequences of application of these two
13:30:32 **sanction regulations:** if article 11 applies, no claims
13:30:39 shall be satisfied, while article 10 provides for the
13:30:44 consequences that no liability for the breach of
13:30:48 contract arises.
13:30:51 I now turn to specific heads of Gazprom's
13:30:54 counterclaims on liability.
13:30:58 Gazprom claims euro 346 million for gas delivered
13:31:03 in September and October 2022. This claim fails because
13:31:09 PPD had declared a valid set-off.
13:31:15 Austrian law, not CISG, applies to the question of
13:31:18 set-off, as the CISG does not cover this issue. On this
13:31:24 slide you can see authorities confirming it.

13:31:28 Under Austrian law, a set-off has the same effect as
13:31:33 the performance of a monetary obligation by payment and
13:31:39 has a retroactive effect.
13:31:42 The effect of the set-off goes back to the time at
13:31:46 which the claims were first capable of being set off
13:31:49 against each other.
13:31:54 Gazprom has no entitlement to payment for these
13:31:57 invoices because PPD declared a valid set-off against
13:32:02 its damages claims. Here you see the chronology, how
13:32:06 the claims developed and how the set-off was announced.
13:32:10 Initially, Gazprom claimed the debt without request
13:32:15 for interest running on that debt. On 9 March 2023 PPD
13:32:20 declared a valid set-off against this claim.
13:32:25 During this arbitration, Gazprom updated its
13:32:29 counterclaim, then also including a claim of penalties.
13:32:33 PPD updated its damages quantification, as well as
13:32:38 introduced its damages claim for market manipulation.
13:32:42 For the avoidance of doubt, PPD declared a material
13:32:46 set-off with its own updated claim for damages against
13:32:52 the payment for gas delivered in September and October.
13:32:56 Under Austrian law, set-off can also be declared
13:33:00 procedurally, conditionally. PPD did that in the
13:33:05 request for relief.
13:33:07 The difference is that of course PPD does not
13:33:10 acknowledge Gazprom's counterclaim. It is conditional,

13:33:14 but such relief is in front of the tribunal.
13:33:19 I now turn to Gazprom's counterclaim on unjust
13:33:23 enrichment.
13:33:27 Gazprom claims 4.5 million in unjust enrichment
13:33:29 under section 1041 of Austrian Civil Code.
13:33:37 What is Gazprom asking? Gazprom says PPD owes
13:33:42 Gazprom the funds which it had to pay for the September
13:33:48 and October deliveries. Then somehow Gazprom submits
13:33:53 that these funds, exactly these funds were used to
13:33:56 purchase LNG by PPD, and it claims the profits received
13:34:03 by PPD from the sold LNG.
13:34:06 This claim has no basis legally under Austrian law
13:34:10 of unjust enrichment.
13:34:12 The section 1041 on which Gazprom relies is
13:34:17 applicable, it is a subsidiary norm which is applicable
13:34:21 where there is no contract. In the case of the absence
13:34:24 of contract, it is based on a basic idea of reverse
13:34:30 unjustified transfers of assets.
13:34:33 Of course, what was transferred here? It was gas.
13:34:37 Was that transfer unjustified? Not, because the
13:34:41 contract is a basis for that transfer.
13:34:44 The legal prerequisites are simply not met.
13:34:48 This section does not apply where the contract
13:34:51 exists. This is that elementary. Unjust enrichment law
13:34:56 is designed to reverse unjustified transfers in

13:35:03 situations precisely where there is no contractual basis
13:35:06 for the benefit received.
13:35:12 The money, the alleged debt which Gazprom alleges
13:35:17 was unjustifiably used, of course was not transferred
13:35:23 unjustifiably. That money was of course PPD's funds.
13:35:34 There is no evidence whatsoever on the case record
13:35:37 that that money or that debt was used to buy LNG.
13:35:42 Prof Perner is very clear on this point.
13:35:47 This is not a factual situation that can engage
13:35:50 section 1041. Section 1041 is subsidiary in nature.
13:35:59 Gazprom cannot pursue unjust enrichment counterclaim
13:36:03 while simultaneously pursuing a contractual claim for
13:36:06 exactly the same debt.
13:36:10 A claim for unjust enrichment can never be brought
13:36:14 in a situation where the creditor has a contractual
13:36:17 claim against the enriched party arguing that.
13:36:23 This is impermissible. The law of contract and CISG
13:36:27 governs what a party must pay for a delivery, and
13:36:32 Gazprom has not established neither contractual nor
13:36:36 basis under the CISG of its claim.
13:36:40 Now I turn to the minimal annual quantities
13:36:44 counterclaim of Gazprom.
13:36:47 Gazprom claims 44 million for the 2022 minimum
13:36:52 annual quantity shortfall. This claim misunderstands
13:36:58 the nature of the minimum annual quantities.

13:37:03 This counterclaim has also undergone
13:37:05 a transformation. It began at over 343 million and has
13:37:11 now shrunk to more than sevenfold, to euro 44 million.
13:37:19 According to Gazprom's experts Fidem, MAQ is
13:37:23 a prepayment for future make-up gas.
13:37:27 The commercial premise of the MAQ clause is that the
13:37:30 seller will continue to supply gas in subsequent years,
13:37:35 allowing the buyer to take the prepaid quantities
13:37:40 without further payment.
13:37:43 You can see that in clause 3.2 of the contract.
13:37:50 3.2(a) establishes annual obligation of PPD. It
13:37:55 defines the quantities of gas that PPD has to take and
13:38:01 if not taken, to pay.
13:38:04 The quantities of gas which are not taken but paid,
13:38:09 they are being prepaid. PPD pays 75 per cent of the
13:38:15 arithmetic average.
13:38:17 But crucially, in point (c), those quantities which
13:38:21 were not delivered but prepaid would be delivered the
13:38:25 next year upon PPD's request, and only the remaining
13:38:30 25 per cent of the price would be paid.
13:38:38 Awarding the MAQ without consideration of PPD's
13:38:42 right to take make-up gas in future would overcompensate
13:38:46 Gazprom. It would ignore that there were no deliveries
13:38:53 from 1 November. This would be contrary to the
13:38:58 fundamental principle under the CISG, that damages

13:39:02 should place a party in the position it would have been,
13:39:04 but for the breach.
13:39:08 MAQ is a prepayment. It cannot -- it is not
13:39:12 a clause which is designed to calculate debt or damages
13:39:17 when the supplies were stopped.
13:39:19 Finally, I will touch upon one point of the lost
13:39:25 profits counterclaim before handing over to my
13:39:26 colleague.
13:39:28 Gazprom claims lost profits from 1 November to
13:39:31 31 December 2027. It assumes that the contract would
13:39:38 have been performed until that date.
13:39:42 This assumption is factually impossible. Although
13:39:45 the contract broke down, there were further decrees
13:39:48 regarding payment mechanism. There was a decree 1003
13:39:52 and finally in June 2024 the mechanism fell down because
13:39:59 US imposed sanctions on the MOEX and national clearing
13:40:02 centre. That mechanism was not anymore functional from
13:40:08 that date, June 2024.
13:40:13 The loss of profits cannot be calculated on the
13:40:16 assumption that the contract would have been performed
13:40:20 to 31 December 2027, which is a date in the future.
13:40:27 There is no causal link between the breach and the
13:40:31 claimed losses.
13:40:34 The remaining aspects of Gazprom's lost profit
13:40:38 counterclaim will be addressed by my colleague, Ben

13:40:40 Holland, like the quantum of the counterclaims. Thank
13:40:45 you.
13:40:46 Further opening submissions by Mr Holland
13:40:53 **PRESIDENT:** Mr Holland, you have the difficult task to do
13:40:57 this presentation on quantum of counterclaim in
13:41:00 six minutes. So if you need any additional time, let us
13:41:04 know now.
13:41:05 **MR HOLLAND:** We will be able to dispose of this
13:41:07 5.5 billion euro counterclaim in 10 minutes, if that
13:41:11 would be acceptable.
13:41:12 **PRESIDENT:** Very good.
13:41:13 **MR HOLLAND:** I think we'll find as well that it is more
13:41:15 exciting than the normal end of a quantum submission,
13:41:18 and that's because although it's common ground that
13:41:23 Gazprom is claiming under article 74 of CISG, Gazprom
13:41:28 says that it is a lost volume seller. And it does this
13:41:32 because a lost volume seller can claim damages that are
13:41:35 not reduced by mitigation. But the law, the facts and
13:41:39 your basic intuition speak with one voice, and Gazprom
13:41:43 is not a lost volume seller.
13:41:45 It's undisputed that the applicable test is that in
13:41:49 Sunrise Foods, and three points on that test.
13:41:53 First, summarising it, Gazprom has shown that it
13:41:56 could have, would have, sold the contract gas to
13:42:00 a subsequent buyer even without the breach and that it

13:42:05 would have done so for profit.
13:42:08 That's the test.
13:42:08 Second, Gazprom accepts the first and the third
13:42:11 elements. That's "could have" and "profit".
13:42:15 But Gazprom ignores -- third point -- the second
13:42:19 element of the test, and that element is crucial because
13:42:23 in Sunrise Foods the court rejected the seller's lost
13:42:28 volume claim due to lack of evidence of that second
13:42:32 independent sale, that it would have been made despite
13:42:37 the contract.
13:42:39 That is crucial, because that limb of the test
13:42:43 ensures that the seller is not overcompensated for its
13:42:46 loss.
13:42:49 On the facts, there is a complete failure of proof
13:42:52 on these points. Gazprom has provided no proof that it
13:42:56 has sufficient resources and capacities that it would
13:43:00 use to supply additional customers, despite admitting
13:43:05 that it's required to do so.
13:43:07 The entirety of the evidence is the bare assertion
13:43:12 that it has vast gas reserves and supply capabilities
13:43:17 that can be treated as unlimited.
13:43:20 But even if Gazprom had infinite gas resources, that
13:43:26 **doesn't dispose of the question:** could Gazprom have
13:43:30 supplied both replacement customers and the contract?
13:43:36 And the practicalities of gas sales say no on both

13:43:41 counts.
13:43:43 First, to sell gas you need to transport it to the
13:43:47 buyer. PPD's expert performs a gas flow analysis and
13:43:53 shows that it was not technically possible. That's
13:43:58 because in November 2022, gas under the contract was
13:44:03 transported through a pipeline into Hungary to Croatia,
13:44:07 and to get the gas into that point, you had to go
13:44:12 through Kiskundorozsm-2, or K2, and it's the connection
13:44:18 point between Hungary and Serbia and it's the only route
13:44:23 which Gazprom is still delivering gas to Europe today.
13:44:29 If you look at this next graph, it shows that it
13:44:32 can't possibly accommodate the contract volumes on top
13:44:38 of what is being supplied.
13:44:40 So, applying Sunrise Foods, Gazprom could not have
13:44:45 supplied contract gas in addition to the actual sales
13:44:50 it's making through the maxed-out K2.
13:44:54 Gazprom presents three witnesses, including
13:44:56 Mr Averkin, who's head of gas supply at the region, and
13:45:00 Mr Mazilov, who's in charge of transportation, and none
13:45:04 of them mention any of this at all.
13:45:07 Second, and separately, the gas purchase analysis
13:45:11 shows that Gazprom has been indirectly selling gas to
13:45:17 PPD since November 2022, and we need to go back to K2,
13:45:23 because two other things were happening there.
13:45:26 First, Gazprom was selling gas to a Bosnian company

13:45:31 at K2 and this gas was sold on to PPD at K2. It was
13:45:38 replacement gas. But the transit system operator
13:45:43 skipped this Bosnian middleman in the delivery protocol.
13:45:48 So on screen you can see that the seller of this gas was
13:45:53 Gazprom and the buyer was PPD.
13:45:56 After analysing the rest of these purchases,
13:46:00 74 per cent of the contract's volumes were being
13:46:04 indirectly sold to PPD by Gazprom and Gazprom could not
13:46:10 have supplied those volumes independent of the contract
13:46:16 because PPD couldn't take those molecules both directly
13:46:21 and indirectly; it did not need double the gas.
13:46:26 That must be why Gazprom is hiding its sales data.
13:46:32 So moving to the second part of my submissions,
13:46:35 because of all of that, Gazprom, like any other seller
13:46:38 seeking damages, has to comply with article 77 and it
13:46:42 acknowledges that duty of mitigation.
13:46:46 So the question is whether and to what extent
13:46:50 Gazprom could have reasonably mitigated its loss, and
13:46:56 I have four points to make.
13:46:58 The first is that each of Gazprom's four sets of
13:47:03 calculations of its loss assume that Gazprom did not
13:47:08 make any mitigation sales at all between November 2022
13:47:12 and December 2027, and that means that all Gazprom's
13:47:16 calculations are invalid if you are not convinced that
13:47:22 not a single molecule of gas has not been resold.

13:47:27 Second, as shown before, it's absolutely false to
13:47:30 say that there were no mitigation sales at all.
13:47:35 It's against ordinary commercial common sense and
13:47:38 it's clear that sales were being made to Hungarian
13:47:43 buyers, and because PPD has shown that Gazprom was
13:47:47 making subsequent mitigation sales of all the volumes,
13:47:52 the only possible loss that Gazprom could claim would be
13:47:56 that it suffered the price difference between the
13:48:00 volumes that it sold in mitigations and the contract
13:48:03 price.
13:48:04 But Gazprom has offered again no evidence on that
13:48:07 point at all, despite its burden of proof.
13:48:10 Now, Gazprom's experts do say otherwise, but they
13:48:13 have been given no sales data, they have been given no
13:48:16 contracts at all, so their evidence must be given next
13:48:20 to no weight.
13:48:21 Third, Gazprom is then forced to raise the truly
13:48:26 unworldly argument that this 3.6-billion-euro
13:48:33 counterclaim rests on the proposition that these volumes
13:48:38 of gas do exist, they have on Gazprom's calculations
13:48:43 been produced, but they then are all lost and they
13:48:49 cannot be sold ever.
13:48:54 Fourth, where does that leave us? Well, PPD need
13:48:57 only show, and it has shown, that reasonable mitigation
13:49:02 steps are possible.

13:49:04 If so, it's Gazprom's duty to prove the quantum of
13:49:08 its counterclaim after reasonable mitigation.
13:49:13 The experts can't help you because they've got no
13:49:15 further data that they could use to quantify this loss.
13:49:18 And of course that's right, because there was no loss,
13:49:22 because PPD has shown that Gazprom sales have already
13:49:27 been mitigated. So Gazprom can get no lost profit
13:49:33 damages.
13:49:35 Next, if the MAQ clause is applicable, which we
13:49:40 explained before it wasn't, but if it was, no payment
13:49:45 **still due, you compare two things:** first, the MAQ amount
13:49:51 under article 3 of the contract, and second, PPD's
13:49:56 offtake of gas in 2022.
13:49:59 So first, gas not made available due to any reason
13:50:04 counts towards the D parameter. That reduces it and
13:50:07 there are 58 days that needs reducing because of the
13:50:13 D parameter.
13:50:14 Now, 38 of those are in dispute. They're in dispute
13:50:18 because Gazprom told PPD that no gas would be available.
13:50:23 So PPD didn't nominate for it. But those days should
13:50:28 also count towards the D parameter when you look at its
13:50:32 language because under article 3.1, the duty to make gas
13:50:37 available each day applies regardless whether the buyer
13:50:42 is nominating.
13:50:43 If you didn't take that point of view, you would be

13:50:46 asking PPD to keep demanding gas day by day for gas that
13:50:52 it knew that would not be available.
13:50:55 Now, coming to the other side of the equation, PPD's
13:51:00 offtake, that should be based on the amount of gas that
13:51:04 PPD was required to take.
13:51:08 Gazprom is only guaranteed to sell that required
13:51:10 amount to PPD. We heard before that PPD does have an
13:51:15 option to take more gas on each day. But that option
13:51:19 was for the benefit of PPD and it can't be assumed or
13:51:23 forced to do something that was its sole option.
13:51:28 When you apply the two, the offtake was higher than
13:51:32 **the MAQ. So no minimum payment arises.**
13:51:38 **We have one point on late penalties there.**
13:51:43 **Gazprom is claiming both interest and penalties, and**
13:51:48 **as explained in our written submissions, that's not**
13:51:51 **correct. The contract is silent on whether you can**
13:51:53 **claim both simultaneously.**
13:51:56 **We say that it just has to be interpreted based on**
13:52:00 **a reasonable view, that a reasonable person would not**
13:52:04 **expect a daily penalty to be in addition to a daily rate**
13:52:12 **of interest. Both amounts fulfil exactly the same**
13:52:17 **commercial purpose and it would be unreasonable to apply**
13:52:22 **both.**
13:52:22 **To emphasise its double counting, Gazprom also say**
13:52:26 **that interest accrues on the penalties.**

13:52:30 That concludes PPD's submissions on the
13:52:34 counterclaim, but we sought earlier to update PPD's
13:52:38 request for relief. We will set that out on these final
13:52:45 slides.
13:52:49 Members of the tribunal, colleagues, that brings
13:52:52 PPD's opening presentation to an end.
13:52:56 PPD respectfully asks that the tribunal grant the
13:52:59 relief sought.
13:53:01 **PRESIDENT:** Thank you very much, Mr Holland. That
13:53:03 concludes the presentation for the claimant.
13:53:11 Thank you very much, we will now take a lunch break.
13:53:15 We will add, we will carefully calculate the extra
13:53:19 time, add it to the benefit of the respondent this
13:53:21 afternoon.
13:53:23 What is the preference of the respondent? Should we
13:53:25 keep the original timetable, which means we have
13:53:27 30 minutes to start or should we give extra time,
13:53:33 lunchtime? We have time. The members of the tribunal
13:53:38 are available.
13:53:40 What would you like to do? Do you want to keep
13:53:44 a one-hour break or would you like to start earlier?
13:53:47 **MR TALANOV:** We are fine in keeping one-hour break if the
13:53:49 other party and the tribunal agrees to that.
13:53:52 **PRESIDENT:** So we will commence again at 2.53. Thank you.
13:54:00 (1.54 pm)

13:54:03 (Lunch break)
13:54:04 (2.54 pm)
14:54:14 **PRESIDENT:** Just for the record, the claimant has used
14:54:17 217 minutes this morning. So you're allocated as well
14:54:21 217 minutes.
14:54:23 Opening submissions by Mr Talanov
14:54:25 **MR TALANOV:** Thank you so much.
14:54:25 Dear members of the tribunal, my pleasure and honour
14:54:28 to be representing the respondent in this matter GPE,
14:54:30 Gazprom Export, in these proceedings before the
14:54:36 honourable tribunal, before the learned counsel of the
14:54:39 claimant.
14:54:41 The difficulty of speaking after lunch is well
14:54:43 known, clearly, because everyone is quite fighting the
14:54:48 urge for a small post-lunch nap.
14:54:52 Well, I will do my best to ensure that the tribunal
14:54:55 as well as the other party does not necessarily succumb
14:54:59 to this temptation, but don't hold it against me because
14:55:02 we will necessarily talk of some of the very complex
14:55:05 details, which we unfortunately have to discuss so that
14:55:08 to understand the substance of the position of the
14:55:11 respondent.
14:55:13 As you well recall, this case is about taking the
14:55:17 gas and not paying for it.
14:55:19 There is no controversy to that fact. This is not

14:55:24 disputed. The gas for two months has been taken,
14:55:27 consumed and never paid for. Clinical, admitted fact.
14:55:31 And the claimant receives the gas, but fails to pay for
14:55:34 it in time. Well, actually, failed to pay for it ever.
14:55:40 However, just now, before the break, we heard
14:55:43 a different story of the difficulties and hardships by
14:55:46 the claimant. And this is nothing but a song about how
14:55:49 a party wants to take back their own words.
14:55:53 In April 2022, as you already well know, PPD,
14:55:58 without a single question, without any request for
14:56:01 clarification, within one business day, agrees to
14:56:06 introduce minor -- and I emphasise minor -- amendments,
14:56:10 changes to the contract, to keep making a fortune,
14:56:14 re-selling the Russian gas.
14:56:16 **They send a clear signal to the respondent:** we
14:56:19 continue the contract under the new terms.
14:56:22 However, as now already demonstrated by ample
14:56:26 evidence on the record, and actually even explained by
14:56:30 PPD themselves, already in the previous months,
14:56:34 in March 2022, PPD decided to start getting rid of the
14:56:40 long-term contract with the respondent.
14:56:43 Why so?
14:56:45 This is also pretty clear. We all remember the
14:56:47 times of the March 2022. And maybe potentially even
14:56:53 understandable from the business perspective, PPD

14:56:55 thought it may be politically reasonable to disconnect
14:56:59 itself from the GPE in the long run.
14:57:03 In March 2022, prior to any contract modifications
14:57:07 and any of the events that we mainly discussed before
14:57:10 the lunch break, PPD already books some capacities at
14:57:14 the Krk LNG terminal. They extend the LNG contract
14:57:19 in June, with the first LNG supplies effective
14:57:23 in November.
14:57:24 In 2022, PPD were rather late with LNG, as compared
14:57:28 to other market players, as they now admit, and their
14:57:31 witnesses say the capacities were not immediately
14:57:33 available and the booking had to be done in advance, so
14:57:36 they want to keep using GPE as long as PPD deems
14:57:41 convenient.
14:57:43 Clearly, nothing about LNG and all these plans ever
14:57:46 said to GPE, not a word.
14:57:50 Over May-October 2022, the long-term contract
14:57:54 between GPE and PPD is performed under the modified
14:57:58 payment mechanism. Gas duly supplied. Transfers made.
14:58:02 Nominations made. "K" type accounts opened. Despite
14:58:08 all the widely known difficulties and minor hitches that
14:58:12 all of us witnessed in those days.
14:58:14 Assess this cumulatively. Contract amendment signed
14:58:19 by PPD without any question, nearly overnight. Special
14:58:25 type "K" account opened. Five money transfers under the

14:58:30 amended regime effectively made by PPD.
14:58:34 All of this works as long as it is convenient to PPD
14:58:37 only.
14:58:39 GPE in July even agrees to further modifications to
14:58:43 the contract to the benefit of PPD as requested by them.
14:58:47 The so-called amendment 10.
14:58:50 All of this is convenient only until the moment that
14:58:53 replacement LNG supplies become fully available.
14:58:57 Then GPE will be conveniently kicked out and the
14:59:01 contract, as you well know, abandoned.
14:59:04 As now clear, they know already in June that they
14:59:08 are going to fully replace GPE gas in November with LNG,
14:59:13 but they are radio silent with the respondent.
14:59:16 Instead, PPD selects to stop paying for gas in
14:59:19 September and October, perfectly understanding that
14:59:25 their further supplies will be seized -- not even by the
14:59:28 respondent, that's the trick -- by the Russian customs,
14:59:33 given the clear failure and the refusal by PPD to pay.
14:59:37 And that's what happened.
14:59:39 So they keep getting the gas from GPE until end
14:59:42 of October and then on 4 November already LNG starts
14:59:47 coming. What a fortunate coincidence.
14:59:50 But even worse, as we now see from the evidence on
14:59:53 the record, the Russian gas has been effectively sold to
14:59:57 the consumers and the funds obtained have been then sent

to secure the LNG supplies. So it was GPE actually paying for that launch.

This is already unbelievable convenience and coincidence.

When the respondent asks PPD in October, what is wrong? What is the problem with the payment? We value our contract. What is the answer received? So, what we would expect. Anything about duress, we heard so much about duress today. Amendments to contract that are not in force. Anything about sanctions? You bet. Not a word of this. Nothing.

All these concepts will appear much later when the case that you have just heard gets engineered.

What does PPD say? We will see this later, further on, but just for starters, the CEO by PPD, Mr Vujnovac, **says:**

"Due to the recent development in Croatian political establishment, there is a lack of political and public support towards cooperation with the Russian companies."

Fine. Be it as it may.

Then:

"All our past payments were approved by the Ministry of Foreign Affairs."

October, end of October 2026:

"All our past payments were approved by the Ministry

15:01:25 of Foreign Affairs."
15:01:26 So they were absolutely fine sanctions wise.
15:01:29 This is a contemporaneous document.
15:01:32 But now the political landscape changed. Even if we
15:01:36 trust that happened, fine, what would you expect
15:01:38 a diligent businessman to do? The landscape changed.
15:01:42 Fine. Cooperation is no longer possible as we expected.
15:01:46 **Fine. A diligent businessman would say:** well, we will
15:01:50 pay for what was supplied, but now we would like to
15:01:53 terminate the contract. Let's discuss the termination
15:01:57 terms.
15:01:58 That would be fair and diligent. No problem.
15:02:02 Ever said? Never.
15:02:04 No duress, no sanctions, no dominance, no
15:02:08 fundamental breach on the side of GPE, nothing. The
15:02:11 **only thing said is, and I quote:**
15:02:14 "We are not in a position to fulfil our payment
15:02:17 obligation now. We will come back as soon as we have
15:02:22 more information on the topic."
15:02:23 **Well:** we will come back, these are difficult times,
15:02:27 wait for us, we're handling the political side of the
15:02:29 story domestically. No worries.
15:02:34 Note one more revealing thing. This very letter,
15:02:38 and I will show you that letter down the presentation,
15:02:43 was the letter that PPD sent to the respondent, and this

15:02:47 letter did not get submitted to this arbitration by the
15:02:52 claimant. It did not. Yet again, because it is
15:02:58 inconvenient.
15:03:00 The contract could be terminated in any case, with
15:03:04 whatever dominant company, based on any applicable law
15:03:07 on a number of reasons and primarily upon agreement
15:03:11 between the parties. And Gazprom has such experience.
15:03:14 But if you settle amicably, you need to pay back
15:03:18 what has been consumed and you need to resolve the issue
15:03:22 with the long-term contract penalties.
15:03:25 This is not in the interests of the PPD because when
15:03:28 the time is so conveniently against the Russian gas
15:03:30 supplies, why would you do that?
15:03:33 When does GPE hear for the first time in any clear
15:03:37 terms about fundamental breaches, duress, use of
15:03:40 dominance, non-existence of the contractual
15:03:43 modification? December 2022. When GPE is no longer
15:03:49 needed, the contract from a great commercial benefit now
15:03:51 turns into a burden for PPD, given they need now to pay
15:03:54 for LNG and the Russian gas is now toxic.
15:03:58 Time to get rid of the partner you no longer need.
15:04:03 In March 2023, this arbitration starts. PPD demands
15:04:09 damages at the amount of around 300 million losses as
15:04:15 a result of the alleged breaches under the contract by
15:04:19 the respondent.

15:04:21 Keep in mind that the price for the gas that was
15:04:24 supplied, consumed and never paid for is around that,
15:04:29 350 million. Again, convenient calculations for the
15:04:34 very nicely framed set-off.
15:04:38 Well, fine. These losses shall be assessed and
15:04:42 confirmed and determined to be real or not by the
15:04:45 tribunal and as you will see, even the financial experts
15:04:49 based on the claimant's own calculations arrived to the
15:04:52 conclusion that no such losses were suffered.
15:04:54 But PPD never expected the respondent to show up in
15:05:00 the arbitration. And they just submit the claim,
15:05:05 willing to win it, absent the other party.
15:05:09 GPE unexpectedly appears, submits serious
15:05:13 counterclaim, never anticipated, for all the contractual
15:05:16 losses as a supplier and what happens? Six months after
15:05:20 the start of this arbitration, PPD comes up with the
15:05:25 so-called supplementary claim on the anti-trust issues
15:05:30 and inflated gas prices as if because of the made-up
15:05:35 market manipulation by the respondent.
15:05:38 For the events that happened in 2011, 2022 -- why
15:05:42 was not that in the original request for arbitration?
15:05:45 Convenient memory loss.
15:05:48 Strikingly, in January 2023, before the counterclaim
15:05:51 arrives, PPD's CEO gives an interview that the tribunal
15:05:55 will see later in detail.

15:05:58 In this interview he mentions GPE, boasts of
15:06:03 extraordinary revenues, claims to have made fortune on
15:06:05 the last year sales, totally silent on any market
15:06:09 manipulations and actually boasting to the contrary.
15:06:13 So all the anti-trust claim is invented and
15:06:16 defectively inflated solely with a view to offset the
15:06:21 purely contract-based and very clear-cut counterclaim by
15:06:25 GPE.
15:06:25 Now, plainly, all these public policy issues that we
15:06:31 are hearing about, sanctions, market manipulation,
15:06:35 duress, as I said, they are never contemporaneously
15:06:38 raised. They are never fixed or proven before this
15:06:42 arbitration started.
15:06:44 Sanctions are no issued today as well. The
15:06:47 respondent until today sells gas to Europe. No
15:06:50 sanctions prohibited. Until today, the modified
15:06:55 contracts exist, operate. No one ever had any
15:06:58 liability, neither criminal, nor administrative,
15:07:01 nothing.
15:07:04 All these public policy concerns are just reverse
15:07:07 engineering, so that to impress the tribunal with
15:07:13 imaginary risks and threats.
15:07:16 Then, when the arbitration unveils and PPD
15:07:19 understands that they admitted that will have to be
15:07:22 ultimately paid back, what happens? Mr Pavao Vujnovac,

15:07:26 you will see him tomorrow, deliberately takes steps to
15:07:30 remove PPD from its former wealthy parent company, Enna,
15:07:34 and decreases PPD assets available for debt collection.
15:07:39 The tribunal will recall the details of their story; we
15:07:42 have discussed that a lot during the consideration of
15:07:44 the anti-suit application by the claimant that was
15:07:48 rejected by the tribunal.
15:07:51 So after GPE submits counterclaims, Enna removes PPD
15:07:58 from its group company structure, sells shares to
15:08:03 a shell company called Blue Horizons with next to no
15:08:06 charter capital of 3,000 euros, so that's effectively
15:08:09 the owner of PPD we are looking at.
15:08:12 All other corporate connections broken, all
15:08:15 meaningful assets diluted, again conveniently. Rather
15:08:20 than honouring contractual obligations, the claimant
15:08:23 embarked on a strategy of delay, initiating and
15:08:27 extending these proceedings through repeated procedural
15:08:30 and extra-procedural tactics, and the respondent has
15:08:33 addressed and refuted these in written submissions.
15:08:36 In this opening I will try to focus on the key
15:08:39 points demonstrating why the allegations and
15:08:42 counterdefences of the claimant fail.
15:08:47 As for the key facts of the case, as they were
15:08:49 discussed and as for the presentation, they have it.
15:08:54 To set the record straight on the main actors, the

15:08:57 claimant in this arbitration, PPD, is a well-experienced
15:09:01 gas trading major company with sufficient resources.
15:09:06 Claimant's business focuses on trade, import, sale,
15:09:08 supply of natural gas.
15:09:10 According to data from Croatian Ministry of Energy
15:09:12 agency HERA -- we will mention that abbreviation several
15:09:16 times in the course of the next days -- PPD is the
15:09:19 second major supplier into Croatia with around
15:09:22 25 per cent share of the domestic gas market.
15:09:26 Majority of PPD sales are, however -- and that is
15:09:29 important, majority of PPD sales -- conducted outside
15:09:32 Croatia. So gas supplied by GPE during the lifetime on
15:09:36 the contract was primarily sold outside Croatia.
15:09:40 The main actor on PPD's side is Mr Pavao Vujnovac,
15:09:43 I already mentioned him. The quote on the slide
15:09:47 provides Mr Vujnovac is known as the most powerful
15:09:50 businessman of Croatia, largely infamous, as also now
15:09:57 even more visible from the Saturday application by the
15:10:00 claimant, who is most responsible for the continued
15:10:03 leadership of the ruling political party in Croatia.
15:10:08 As facts on the record tellingly reflect, and this
15:10:12 evidentiary hearing will confirm, this influence, access
15:10:17 to which Mr Vujnovac has, continues to substantially
15:10:22 impact the relations between the parties during the
15:10:25 relevant time periods.

15:10:27 The claimant, being a preeminent national supplier
15:10:29 in Croatia, contracted with respondent in 2017. The
15:10:34 relations between the parties started in 2017.
15:10:38 Now, a lot has been said about the respondent, and
15:10:41 we yet need to reiterate one key point.
15:10:47 You have heard many times today that the respondent
15:10:50 is referred to as "Gazprom". This is totally
15:10:53 misleading. That is not the name of the respondent.
15:10:56 Gazprom is a different company, which is a parent
15:10:58 company of the respondent.
15:11:01 Indeed, there is a well-known company Gazprom,
15:11:04 everyone knows it and it is conveniently useful to use
15:11:08 this brand with certain connotations, but the respondent
15:11:12 here in the room is not Gazprom. It is Gazprom Export.
15:11:17 Therefore, all the relations between the two parties
15:11:21 were relations between Gazprom Export, we will refer to
15:11:24 as GPE, and PPD.
15:11:28 All that is done on purpose so that everything mix
15:11:31 up, father -- mother company, daughter company, the
15:11:35 Russian Federation, all one big ball, totally mixed up
15:11:39 and all taking decisions in one and the same place.
15:11:44 Respondent in this arbitration is a limited
15:11:47 liability company, a private legal entity, and
15:11:51 respondent is not fully owned by -- well, the respondent
15:11:58 GPE is fully owned by public joint stock company

15:12:02 Gazprom, PJSC Gazprom, but that company in its turn is
15:12:07 not fully owned by the Russian State. It is not.
15:12:11 It is only with respect to 40 -- it is with respect
15:12:17 to 50 per cent, 50.23 per cent that -- that's the
15:12:22 overall said indirect shareholding of the Russian
15:12:26 Federation in the company, through three separate
15:12:29 entities. Federal Agency for State Property Management,
15:12:33 that's the governmental body. Then a company called
15:12:37 Rosneftegaz and a company called Rosgazifikatsiya.
15:12:42 Well, as anyone with a knowledge of corporate law
15:12:45 may appreciate, the fact that the overall share of the
15:12:50 Russian Federation is split between three entities also
15:12:53 has certain meaning, and clearly it is not that the
15:13:00 government directly somehow easily gives directions to
15:13:05 Gazprom mother company, because it is the only or the
15:13:10 majority shareholder that can do that without any
15:13:14 problem.
15:13:16 49.77 per cent of the shareholders of the mother
15:13:21 company is free float, private investors.
15:13:27 PPD references to alleged state control in
15:13:30 decisions-making rest on a misconception of corporate
15:13:35 control.
15:13:35 So actually, the fact that GPE's sole shareholder is
15:13:40 itself partially owned by the state cannot transform the
15:13:43 claimant into a state controlled company by default.

15:13:48 The board of directors of the mother company Gazprom
15:13:53 currently has 11 members, six of which have either never
15:13:58 held any governmental positions or have already retired
15:14:01 long time ago. And when I say long, I mean over
15:14:04 20 years.
15:14:06 It is not disputed that the board does really
15:14:09 include certainly public officials. It does. However,
15:14:13 this presence arises solely from the state's
15:14:16 shareholding in the company, and under the company's
15:14:19 governance structure of the mother company Gazprom,
15:14:23 shareholders are entitled to nominate their board
15:14:26 representatives in proportion to their shareholding.
15:14:29 So accordingly, the board officials in question are
15:14:34 acting as shareholder representatives, not as agents
15:14:37 exercising state authority over the company or anything
15:14:40 of the kind. There are some allegations to that extent
15:14:42 that PPD makes that I will get to in a while.
15:14:49 Both companies, Gazprom Export and PJSC Gazprom, are
15:14:53 distinct from the state, independent, and the state's
15:14:56 status as a shareholder does not give the state any
15:15:01 privileges over other shareholders.
15:15:05 Corporate control shall not be confused in any case
15:15:07 with the regulatory powers which state necessarily
15:15:10 exercises over an entity within its jurisdiction, and
15:15:14 especially that is typical of strategic sectors like oil

15:15:19 and gas.
15:15:21 Natural gas is treated as part of state's strategic
15:15:26 sector, strategic interest, in any jurisdiction. There
15:15:31 is no jurisdiction where it is not the case.
15:15:34 Hence, many states seek to have certain influence on
15:15:37 the national oil and gas giants and may use it in
15:15:41 achieving their public policy goals.
15:15:44 On the slide, you may see the examples from the
15:15:46 other countries, where in France, in Norway, in the
15:15:50 United States and in the Republic of Croatia, such
15:15:53 companies that are responsible for gas or oil are really
15:15:58 being carefully scrutinised and in a way checked by the
15:16:06 government with additional -- additional willingness,
15:16:13 let's put it this way.
15:16:16 We all perfectly understand that it is a very
15:16:18 popular and yet populist scarecrow argument to say that
15:16:24 President Putin personally approves each and every
15:16:27 transaction of Gazprom Export, PJSC Gazprom, starting
15:16:30 from the gas price determination to the paperclip
15:16:35 procurement.
15:16:36 This position is especially popular in the European
15:16:39 Parliament that has been cited by the learned counsel
15:16:45 representing PPD.
15:16:48 But the members of the tribunal I guess clearly
15:16:51 understand that the participation through a corporate

15:16:54 structure is for a reason. The mankind knows far easier
15:17:00 ways for the state to dictate their will to the
15:17:03 commercial entities on a daily basis than the structure
15:17:06 on this slide.
15:17:09 That said, this influence of state towards major gas
15:17:11 and oil companies does not deprive this companies of
15:17:15 separate legal personality and does not imply in and of
15:17:20 itself the state's involvement in commercial
15:17:22 decision-making.
15:17:24 There are clear tests developed by ample case law
15:17:27 and none accept any default attribution of state actions
15:17:35 to a commercial entity with a state participation,
15:17:37 beyond a case-by-case analysis. Thus, these arguments
15:17:43 of PPD are frankly of no merit.
15:17:46 Fortunately, modern law does not condone such witch
15:17:50 hunts, even though this rhetoric still finds its way
15:17:53 into legal advocacy as well.
15:17:57 I must admit that we are witnessing quite regularly
15:18:03 also very selective and tendentious reading of the
15:18:08 evidence and statements when it comes to statements made
15:18:11 by Gazprom. My learned friends have cited twice the
15:18:16 phrase said by Mr Miller, "Our gas, our rules".
15:18:21 However, if you were to open that publication and
15:18:24 read the context, you would be puzzled to see that it
15:18:27 had nothing to do with the decree that we were

15:18:29 discussing, with none of the decrees that we were
15:18:31 discussing, and actually related to a totally different
15:18:34 story, the story that all of you know, which is the
15:18:39 Nordstream pipeline.
15:18:44 The claimant's only response -- well, actually, one
15:18:48 more thing.
15:18:49 In the written submissions, the parties have
15:18:50 discussed that all in length and actually it is even
15:18:54 embarrassing to quote the arguments of the claimant
15:18:56 against the applicable corporate law, case law, the
15:18:58 constitutional law of Russia, international practice
15:19:01 positions, but I just could not leave that without some
15:19:04 comment.
15:19:05 The claimant's only argument to all of the Russian
15:19:08 corporate law, structure, procedures, is that Russia is
15:19:13 placed lower in the civil justice ranking made by some
15:19:15 of the private foreign organisations, and therefore all
15:19:18 of the positions of the Russian domestic law,
15:19:21 constitutional court and so on, is not relevant.
15:19:25 Luckily, as will be demonstrated further, courts and
15:19:29 tribunals stand to apply a far more nuanced approach
15:19:32 than this nationality principle proposed by the
15:19:35 claimant.
15:19:37 The contract at hand that we are discussing, that
15:19:40 was concluded in 2017, was indeed a truly lucrative

15:19:47 contract for the claimant. In many respects. Though we
15:19:51 have heard to the contrary.
15:19:54 PPD has voiced its lamentation on the contract at
15:19:57 hand as a heavy burden it had to undertake for the lack
15:20:01 of any alternatives to the terrible and pressing Russian
15:20:07 pipeline gas.
15:20:09 This is yet again playing the victim whenever
15:20:12 convenient.
15:20:13 The truth is that a commercial contract is normally
15:20:16 beneficial to both parties, enabling them to make
15:20:19 profit.
15:20:20 Here, PPD's entire business model was built on the
15:20:24 advantages that it won from the contract, and the
15:20:28 contractual terms were and remain beneficial and
15:20:32 fruitful to PPD, and the tribunal will see how PPD's
15:20:36 witnesses openly confirm that in their witness
15:20:39 statements, that the contract was beneficial to the
15:20:45 company.
15:20:47 What were the points that matter for us?
15:20:50 The price formula. The price formula is a market
15:20:55 index. TTF. TTF means that it was designed as
15:21:00 a competitive market price determined by the supply and
15:21:03 demand at any given moment. By 2017 most of the GPE
15:21:11 contracts were tied to one or another market index, not
15:21:13 necessarily TTF, but around, say, 50 per cent of the

15:21:16 volumes supplied by GPE were sold at TTF prices, and no
15:21:20 one ever complained at this price formula to be somehow
15:21:24 unnecessarily burdensome or oppressive.
15:21:28 It can work for both parties, to the benefit or to
15:21:31 the detriment, depending on the market fluctuations.
15:21:35 The contract ensured stable supplies of quite
15:21:38 considerable volumes. The volumes under the contract
15:21:42 were up to 2 BCM after amendment 4. What is 2 BCM, so
15:21:47 **that you have the image of it:** 1 BCM of gas is enough to
15:21:50 cover the needs of, say, 1.5 million to 2 million
15:21:54 European households for a year.
15:21:56 So 4 million households of a year, that is the
15:22:00 volume of the contract at stake.
15:22:02 And as PPD itself confirms, the contract provided
15:22:07 a basis for growth because only with stable supplies for
15:22:11 predictable price PPD could properly plan and grow its
15:22:15 customers portfolio.
15:22:17 Issue number 3, we did not discuss that in a lot of
15:22:20 detail today, but it has been widely discussed in the
15:22:23 submissions.
15:22:25 Flexibility. It was in PPD's discretion within each
15:22:29 delivery to offtake the volumes equal to the MAQ --
15:22:33 minimum annual quantity -- or exceeding it up to
15:22:39 **the ACQ.**
15:22:41 **In commercial practice, the common value of MAQ is**

15:22:44 usually 80, 90 per cent or above that. Meaning that the
15:22:48 **buyer is usually asked to offtake most of the ACQ.**
15:22:54 **The contract at hand, under article 3.2, provides**
15:22:57 **for 80 per cent value, meaning that PPD had the highest**
15:23:02 **possible flexibility average in the market to maximise**
15:23:05 **its profits, buying less when the price is not**
15:23:08 **beneficial, where the price is peaking, or buying more**
15:23:12 **when the price was lower.**
15:23:14 **Despite any speculations otherwise, as explained in**
15:23:17 **the written submissions of the respondent, this**
15:23:20 **flexibility term is very beneficial to PPD in comparison**
15:23:23 **with the ordinary market practice.**
15:23:26 **Now, here we come to the key point. The deferral of**
15:23:30 **payment.**
15:23:32 **The deferral of payment is classified, labelled by**
15:23:36 **the witnesses of the claimant as foundation of the whole**
15:23:42 **business model in a way. Because in effect, every month**
15:23:49 **PPD gets gas and is not required to pay in advance, is**
15:23:56 **not required to pay in a week, is not required to pay in**
15:23:59 **a month given.**
15:24:02 **Effectively, every month GPE was giving out**
15:24:05 **a short-term loan to PPD for the price of gas supplied**
15:24:08 **in the preceding month, meaning that GPE would complete**
15:24:12 **two monthly supplies by the moment when PPD starts**
15:24:17 **paying for the first one.**

15:24:19 So after the gas was supplied, payment was to be
15:24:22 made by PPD only 60 days later or around 60 days later.
15:24:29 After the modification of the contract terms, and we
15:24:32 agree to that, this term got shorter by two days, needed
15:24:37 for the conversion. So 58 days following the
15:24:40 modification.
15:24:41 This actually is the only real change that happened
15:24:44 after the decree 172.
15:24:47 Many other long-term contracts with European buyers
15:24:51 provided for far more limited payment deadlines, like
15:24:54 15, 10 days of the following months, or even prepayment
15:24:57 for the supplies.
15:24:59 Unfortunately, it was precisely this exceptionally
15:25:02 favourable provision for the claimant that allowed it to
15:25:05 consume two months' worth of gas without ever paying for
15:25:08 it.
15:25:09 Well, with hindsight it is clear that such
15:25:12 a concession should never have been granted to
15:25:14 a counterparty of this kind of good faith as PPD has,
15:25:16 but that is what we have.
15:25:19 PPD could accordingly offer its customers better
15:25:22 terms, grow its customers portfolio, use the timelag
15:25:26 between the collection of payment and the supplies so
15:25:28 that to invest, gain extra revenue from the money and
15:25:33 really make fortune.

15:25:38 The said stable supplies, flexibility, deferral of
15:25:40 payment that PPD enjoyed under the contract, ultimately
15:25:43 put PPD's business on a completely new level, allowing
15:25:46 it to expand internationally.
15:25:49 PPD is a trader. So its growing appetite for cheap
15:25:53 and stable Russian gas naturally resulted from its
15:25:56 growing ambition to expand its operations to other
15:25:58 markets in the region, and what might have been enough
15:26:01 to meet the demand of its Croatian customers was not
15:26:05 enough to enter new markets that PPD wanted to conquer,
15:26:08 such as Hungary and South Eastern Europe.
15:26:13 As already said and as confirmed by the witnesses of
15:26:17 the claimant, the contract was the pillar of PPD's
15:26:19 business model. To this end PPD sought to agree on
15:26:24 excess volumes and it offered to amendment the contract;
15:26:26 it offered to amount the contract and increase supplies
15:26:31 starting from the very first months.
15:26:34 So PPD immediately sought to extend the ACQ twofold,
15:26:39 amendment 1.
15:26:42 Same happened in 2018, 2019, ending up with
15:26:45 **amendment 4, which permanently increased the ACQ. Most**
15:26:49 **of that gas did not ever end up in Croatia. PPD's**
15:26:53 **business expanded largely because of the expansion to**
15:26:57 **the neighbouring countries beyond the Croatian border**
15:27:00 **through the Eastern Europe, with around 70 per cent of**

15:27:04 PPD profits, as we already said, generated outside
15:27:07 Croatia.
15:27:08 Well, PPD is not a local Croatian customer. It is
15:27:13 more of a global trader that it has the ambition to be.
15:27:18 In 2021, PPD stated that the company earns in the
15:27:22 Croatian gas market 35-40 per cent of its income from
15:27:25 sales and 60-65 per cent of income from selling gas to
15:27:29 international markets, well, taking into account the
15:27:32 60-65 revenue share generated outside of Croatia for
15:27:36 2022, when all these events that we discuss today
15:27:40 happened.
15:27:40 The share of revenue generated outside Croatia
15:27:44 increased further to 70 per cent. Meaning that only
15:27:49 30 per cent of PPD's revenues relate to Croatia, or even
15:27:53 20 per cent as Mr Vujnovac asserts.
15:27:56 So PPD, note voluntarily, willingly, on its own
15:28:01 demand and to its own convenience, keeps requesting for
15:28:05 increasing the volumes of gas supplies, which led to
15:28:08 further and further growth and benefit of PPD.
15:28:11 This was agreeable for GPE as long as the PPD duly
15:28:14 paid for the supplies.
15:28:17 The situation changed in 2022.
15:28:21 A lot has been said today about the decree 172 and
15:28:25 we will have to dive into this document in a lot of
15:28:29 detail.

15:28:31 The decree, as you already know, introduced
15:28:33 a special mechanism of payment under contracts for
15:28:35 export of natural gas and it implied that instead of the
15:28:43 initial account envisaged by the contract, both the
15:28:46 buyer and the seller were supposed to open the so-called
15:28:49 special type "K" account with the authorised bank, which
15:28:52 was Gazprombank.
15:28:54 Well, Gazprombank was the bank that the parties used
15:28:57 before the contract, so there was no problem with that.
15:29:00 PPD already knew that bank. They had relations with
15:29:02 them, they paid to that bank without any problems, and
15:29:05 in no moment relevant to the case at hand did
15:29:08 Gazprombank get sanctioned.
15:29:11 The buyer would transfer the funds in euro to this
15:29:19 type "K" account, nominated in foreign currency -- in
15:29:22 our case in euro -- as initially envisaged by the
15:29:25 contract.
15:29:27 The payment then would be converted by Gazprombank
15:29:30 to roubles and automatically credited to GPE account of
15:29:35 the same "K" type.
15:29:38 Moreover, what is important, the decree from day one
15:29:43 authorised the Central Bank of Russia to oversee the
15:29:46 implementation of the decree and to issue
15:29:49 interpretations of the provisions of the decree whenever
15:29:53 the bank deems necessary or wherever something needs

15:29:56 clarification.
15:29:59 In such a clarification, which is here on the slide,
15:30:01 the Central Bank of Russia specifically emphasises that
15:30:05 the buyer shall not bear any risks of this additional
15:30:10 conversion process by the Gazprombank.
15:30:14 **So, what does Central Bank says:** if the buyer timely
15:30:18 and in good faith transfers money to its type "K"
15:30:21 account in a foreign currency, in euro, then the
15:30:27 prohibition of supplies under decree 172 does not apply
15:30:31 even if the payment is not converted to roubles and does
15:30:35 not reach GPE by the payment due date.
15:30:40 So effectively, the claimant payment obligation
15:30:42 under the contract was discharged at this point. No
15:30:46 other action was required. There were no risks. There
15:30:50 was no other transaction that PPD was involved in. When
15:30:55 they credit their account, that's it. Full stop.
15:30:59 Nothing more needed.
15:31:02 The same, to the contrary, cannot be said about the
15:31:05 respondent GPE. Decree 172 imposed a mandatory
15:31:11 requirement restricting GPE's freedom to determine the
15:31:13 mode of performance of its and its counterparty's
15:31:17 obligations; compliance with the statutory requirement
15:31:20 now needs to be additionally overseen; then GPE needs to
15:31:24 make sure that it does not violate these rules, as they
15:31:28 are mandatory for GPE as a Russian company incorporated

15:31:32 in Russia, so that to be able to continue the supplies.
15:31:36 So, based on this clarifications of the Central
15:31:38 Bank, the risks of any failures in the conversion
15:31:42 mechanism lie with the respondent, not with the
15:31:44 claimant.
15:31:46 The claimant's position, that GPE somehow benefited
15:31:47 from this decree, is refuted by the very contents of
15:31:47 this decree and by the way how the scheme works.
15:31:55 Any reasonable assessment of the text of the decree
15:31:57 and the mechanism would clearly show that it was to the
15:32:00 commercial detriment of the GPE and not to the benefit
15:32:03 of the respondent.
15:32:05 Now, we would like to give a more detailed outline
15:32:09 of the payment mechanism to dispel the errors and those
15:32:12 misconcepts that were made by the claimant.
15:32:17 Please bear with me. It's a difficult story, but
15:32:20 I think it would not be that problematic if you have the
15:32:24 experience in understanding how any organised trade
15:32:27 works with any clearing houses, because that is exactly
15:32:30 what happened here.
15:32:32 The entire process of conversion is relatively
15:32:36 simple, though it looks complex on the scheme.
15:32:43 PPD, as I said, transfers euros to its account at
15:32:46 GPB. And it was already clear that it should be the GPB
15:32:57 account in euros and then the process starts.

15:33:03 The procedure is governed by the regulations of the
15:33:07 Moscow Stock Exchange. It's not regulated by the --
15:33:11 I mean, this conversion procedure is not regulated by
15:33:13 the presidential decree, not regulated by the
15:33:16 government. It's regulated by the stock exchange. And
15:33:18 all the steps I'm going to outline further were provided
15:33:23 in this MOEX regulations, the stock exchange
15:33:27 regulations, forex exchange regulations, effective both
15:33:38 in 2022 April, May 2022, and so on.
15:33:44 All these rules are available online. They are
15:33:46 available in English, what is not typical of the Russian
15:33:49 rules and it's not what happens regularly. So all very
15:33:53 transparent.
15:34:00 We have to deal with all this actually because we
15:34:03 need to understand if all these sanctions-related
15:34:07 arguments stand and to see what are the transactions
15:34:11 involved in the conversion and how it operates.
15:34:14 There is no sanctions issue at all here, as future
15:34:17 practice has demonstrated. There is no contemporaneous
15:34:19 evidence to show that any real sanctions concern that
15:34:23 PPD was voiced or even existed, and still we are
15:34:27 compelled to dive in these technicalities.
15:34:29 So, the payment here works as any forex at organised
15:34:33 trades. There is a clearing house. There is netting
15:34:38 and collateral. Nothing special.

15:34:42 PPD managed even today to totally confuse how it
15:34:45 works. Nothing actually complex. The mechanism works
15:34:51 as follows.
15:34:52 When the foreign buyer has the funds on its type "K"
15:34:55 account at Gazprombank, the same bank that parties as
15:35:00 I said use, the money gets in euros. Step 1. Foreign
15:35:10 buyer would transfer the payment and at this point, in
15:35:14 light of the shown clarification by the Central Bank,
15:35:20 the risk of non-payment already passed from PPD. The
15:35:24 payment obligation is effectively discharged.
15:35:28 Such transfer of money to the type "K" account
15:35:31 represents an irrevocable order from the client, PPD, to
15:35:36 the bank, Gazprombank, to carry out the transactions
15:35:40 necessary for the completion of the payment under the
15:35:43 decree, conversion into roubles.
15:35:46 PPD was never either effectively or legally involved
15:35:49 in any transactions starting from this point. So the
15:35:54 only party PPD involved in commercial relations with in
15:35:56 this mechanism is Gazprombank and no one else.
15:36:02 Not sanctioned at any relevant time, as said, and
15:36:04 PPD is now out of the picture.
15:36:07 Then the classical exchange routine works. To be
15:36:12 eligible to participate in any exchange transaction,
15:36:15 Gazprombank has to post collateral with the company
15:36:20 called NCC, the national clearing centre. That is the

15:36:24 clearing house of the stock exchange.
15:36:27 According to the rules of NCC and MOEX, transactions
15:36:31 and MOEX are settled from the provided collateral, which
15:36:33 has to be pre-posted prior to the date of settlement.
15:36:37 So it's an eligibility criteria to get access to the
15:36:43 exchange.
15:36:45 Gazprombank has a euro account with NCC, one euro
15:36:49 account with NCC. NCC in its turn reflect the sums that
15:36:54 it owns in euros in his own correspondent bank account,
15:37:02 which is Commerzbank and Societe Generale. There were
15:37:08 two. I don't know all of the details, which one was
15:37:10 selected, but all euros that were ever involved in any
15:37:14 transaction with NCC would be stored at the account with
15:37:18 the correspondent bank, Commerzbank or Societe Generale.
15:37:23 So the funds are reflected in those accounts and
15:37:26 unlike what we are hearing, it is not like the exchange
15:37:30 of cash, for instance. It's a totally different
15:37:35 mechanism.
15:37:36 So wherever we have the bank willing to do the
15:37:42 exchange, GPB wants to make the exchange, then they need
15:37:47 to have this collateral on their account with NCC. The
15:37:54 collateral pre-posted.
15:37:57 It could not be therefore that this collateral has
15:38:02 PPD euros or anyone else's euros or any of the clients'
15:38:07 euros; that is the bank that participates in exchange

15:38:12 operations with the clearing house.
15:38:14 So for all transactions it will do, it posts the
15:38:17 collateral for the whole day.
15:38:22 GPB, to enter the exchange, needs to maintain
15:38:24 a common collateral euro account, just one account with
15:38:27 the NCC for all the possible transactions within the
15:38:30 day.
15:38:31 In fact, this collateral is not and usually does not
15:38:35 need to be posted daily and prior to any particular
15:38:38 transaction. It is rather a minimum non-reducible
15:38:42 balance that needs to be on the account of GPB as
15:38:46 a bidder, so that to participate in the transactions
15:38:52 with NCC.
15:38:54 If for example on a given day Gazprom has enough
15:38:57 funds in euro on its account at NCC to cover the planned
15:39:01 transaction, it does not need to transfer anything at
15:39:04 all to the collateral. It keeps the funds that it got
15:39:08 from PPD and it may skip the step and proceed to the
15:39:12 trades. Because it is already eligible to the trade.
15:39:15 So there is no PPD funds going anywhere.
15:39:19 Moreover, GPB euro account at NCC is not only for
15:39:23 the collateral itself. It also includes euro received
15:39:27 as a result of trades. So it's one big pot. That's the
15:39:32 account.
15:39:33 The funds in the account constitute a common pooled

15:39:37 balance, they are not individually identifiable. They
15:39:39 are not earmarked or segregated by reference to the
15:39:42 party on whose behalf a particular exchange transaction
15:39:45 may be executed.
15:39:46 Clearly, as in any exchange transaction of this
15:39:49 type, PPD cannot claim any proprietary rights over this
15:39:54 GPB euro account with NCC.
15:39:59 Gazprombank, if it has the collateral, as the next
15:40:02 step may enter organised trading.
15:40:06 It enters into sale and purchase transactions with
15:40:10 NCC. NCC is a clearing house. As at any exchange.
15:40:16 Everyone makes transactions necessarily and solely with
15:40:20 NCC. There is no way to go around it in case of MOEX.
15:40:26 It's a mandatory party to any transaction and, as at
15:40:30 any organised trades, no one can make transactions
15:40:34 directly excluding NCC.
15:40:38 It is crucial to understand that in forex trade
15:40:42 Gazprombank does not actually exchange euros to roubles,
15:40:45 like we do when we go to the exchange office at the
15:40:51 Taksim Square.
15:40:53 At forex trade there are two different and
15:40:56 independent transactions. GPB sells euro to NCC and
15:41:00 then, separately, GPB buys roubles from NCC. And
15:41:05 effectively, when I change euro to liras in the Taksim
15:41:08 Square, I exchange one asset for the other, but in the

15:41:11 organised trades it is not how it works. It's not what
15:41:15 happens.
15:41:16 GPB separately sells 100 euro to NCC and then,
15:41:20 separately -- and then actually what happens is that NCC
15:41:25 records on the account of GPB that euro has been sold.
15:41:30 And then, separately, GPB purchases say 5,000 roubles
15:41:35 from NCC, and NCC reflects this on the GPB rouble
15:41:39 account, say plus 5,000 roubles.
15:41:43 At the end of the day, what happens is called
15:41:45 netting the settlement. And at that moment in time, all
15:41:49 claims of all bidders through the day are settled
15:41:53 between NCC and all of the bidders.
15:41:56 That is the essence of the clearing mechanism. So
15:41:58 if you enter into a transaction directly with another
15:42:01 bidder, you face the risk that a transaction may fail
15:42:05 because they or the party may fail. However, if your
15:42:09 counterparty is a clearing house, that risk is excluded.
15:42:12 A clearing house mitigates the risks by the
15:42:16 mandatory requirement to pre-post collateral at the full
15:42:20 amount of the transaction, so if the bidder does not
15:42:23 post collateral covering its future obligations under
15:42:25 the transaction, it simply cannot be admitted to
15:42:28 participate in the process.
15:42:32 Hence, when PPD states that clearing through NCC
15:42:36 posted additional risk that the clearing mechanism may

15:42:39 potentially fail and, plainly speaking, NCC would be out
15:42:43 of money to perform its obligations -- that is one of
15:42:46 the arguments in the submissions -- then, well, it is to
15:42:49 be, to say mildly, naive, and demonstrates the lack of
15:42:53 understanding how it works, because there is necessarily
15:42:55 a collateral. Without a collateral of GPB funds, own
15:43:01 funds or some other funds they may have in a big pool,
15:43:04 there can be no trade.
15:43:07 Once GPB has the funds back on its account at NCC
15:43:11 after netting, it is now free to withdraw them and
15:43:15 dispose of them as it wishes.
15:43:17 So now, upon instruction of PPD, GPB would
15:43:19 accordingly credit the funds in roubles to the GPE's
15:43:24 account. If GPB on a given day had enough funds in
15:43:28 roubles on account outside of NCC, it could potentially
15:43:31 also skip this step and just credit the requisite amount
15:43:34 to the GPE account without all these necessary or
15:43:39 unnecessary additional hurdles.
15:43:43 A foreign buyer, in our case PPD, is not legally or
15:43:48 factually involved in any of the transactions within the
15:43:51 conversion process following the receipt of funds in
15:43:53 euro on its type "K" account.
15:43:57 The claimant's heightened concern about the
15:43:59 involvement of the NCC is based on fundamentally wrong
15:44:03 assumption that PPD enters into some direct legal

15:44:06 relationship with NCC or with someone else, whoever may be standing behind it. But this is incorrect.

15:44:16 Another concern of the claimant, which surfaced in the recent rejoinder and counterclaim, is that claimant was legally involved in the transaction with NCC as the owner of this funds, and this concept of PPD euros is the one you heard today.

15:44:32 The reality is different. When euro is transferred from PPD, PPD effectively gets a contractual claim. It's not cash, it's claims. So they effectively get a contractual claim towards the bank, Gazprombank, and this is the claim for the sum transferred.

15:44:50 This non-cash funds essentially represent an entry in the bank account of PPD. They cannot be the object of proprietary rights. It's a claim. It's an obligation.

15:45:00 So when I say "Stradivarius violin", I understand what that could mean. But when I hear "PPD's euros", I cannot understand what it means when we talk not of cash, but we talk of proprietary rights, claims.

15:45:15 So GPB in its turn has an agreement with NCC. Actually, neither GPB nor NCC never sanctioned in the relevant timeframe.

15:45:25 So GPB in its agreement with NCC posts collateral. Gazprombank has a claim against NCC for the sum of the

15:45:34 collateral. This relations between GPB and NCC are
15:45:38 totally distinct of PPD, and they have nothing to do
15:45:41 with PPD at all, because there are maybe thousands of
15:45:44 bidders that GPB is taking care of in a given day.
15:45:51 So these relations between GPB and NCC, as on the
15:45:56 slide, are those relations that do not involve PPD or
15:46:00 any other of the numerous clients of GPB at any visible
15:46:03 angle.
15:46:05 This step was preliminary and was a matter of
15:46:09 ensuring Gazprom's eligibility to participate in
15:46:12 organised trade and clearing, and not at all as a matter
15:46:15 of the disposal of any assets owned by Gazprombank's
15:46:20 clients. Hence, PPD did not have any proprietary rights
15:46:23 to what it calls PPD euros and could not be legally
15:46:27 involved in any further transaction carried out by
15:46:29 Gazprombank with third parties.
15:46:31 Those are claims, obligations. Those cannot be
15:46:35 object of any proprietary rights in the scheme how trade
15:46:39 works.
15:46:41 Now, PPD claims that the decree 172 is a radical
15:46:46 change as compared to what the parties agreed upon in
15:46:48 the contract.
15:46:49 Let's check what was actually changed with the
15:46:52 decree.
15:46:54 Well, there are four issues that have been discussed

15:46:57 by the parties. The first two are on the slide.
15:47:01 The moment of the performance of payment does not
15:47:04 change. In accordance with the contract, the
15:47:07 performance of the buyer's obligation to pay is defined
15:47:10 as the moment of transfer of funds, not the receipt of
15:47:13 funds by the seller.
15:47:13 Under decree 172 as interpreted by the Central Bank,
15:47:20 the buyer's obligation is discharged by timely and good
15:47:25 faith transfer of funds to its type "K" account at GPB.
15:47:28 The moment of performance did not shift. The same
15:47:32 moment of performance.
15:47:33 Here, PPD misleads the tribunal and claims that
15:47:36 paragraph 7 of the decree requests the transfer to be
15:47:38 credited in roubles, for the payment under the contract
15:47:41 to be considered made. Well, that is the wrong reading,
15:47:44 not to mention that the Central Bank of Russia
15:47:47 clarifications plainly say to the contrary.
15:47:51 Paragraph 7 that is discussed by the parties in the
15:47:54 submissions was actually reflecting the moment when the
15:48:01 duty to comply with the payment mechanism prescribed by
15:48:04 the decree is deemed fulfilled, and not the contractual
15:48:08 duty to pay is deemed fulfilled.
15:48:10 So this is not about the contractual discharge of
15:48:13 obligations. It is about the discharge of the
15:48:15 obligations to comply with the decree, and it is

15:48:18 addressed to the Russian party obliged, to GPE.
15:48:21 So GPE's obligation to comply with the decree is
15:48:24 only discharged once the funds reach the rouble account,
15:48:27 and until the transfer of roubles reaches GPE, GPE is at
15:48:31 risk of penalties and statutory sanctions, while PPD is
15:48:37 feeling comfortable because the Central Bank explained
15:48:39 everything.
15:48:40 This is clear from the reading of the Russian text
15:48:42 of the decree as well. So the regulator does not care
15:48:45 about the moment of the performance of the contractual
15:48:46 obligations, they couldn't care less.
15:48:49 They are interested in ensuring that the exchange
15:48:51 mechanism is complied with and therefore they push GPE,
15:48:55 the seller, to push for the exchange at the GPB to be
15:48:59 done within the said two days.
15:49:02 So the moment of performance of contractual
15:49:04 obligations remains intact.
15:49:07 Currency of the payment. As numerously explained
15:49:10 before, decree 172 expressly requires claimant to
15:49:14 transfer funds in euro to its type "K" account. No
15:49:18 changes.
15:49:20 Now, timing of the payment. That was already
15:49:23 discussed today as well. The moment when claimant
15:49:27 practically needed to initiate the payment, to ensure
15:49:29 that it is received by GPE in accordance with the

decree, indeed shifted by two business days. This is not disputed. This is accepted. This period was required for the Gazprombank to complete conversion of funds at the Moscow Stock Exchange. That is true.

So PPD was never required to pay in advance of the supply, and essentially the 30 days' deferment of payment that PPD enjoyed under the contract in any case was just reduced by two business days. That is true.

Importantly, if we look at the contract, PPD was supposed to pay no later than the 30th day. It was never obliged or entitled to pay exactly on the 30th day.

Given the EU sanctions and the European banks' overcompliance that actually resulted to some minor seizures of supplies that the parties faced in spring and summer of 2022, PPD could have needed to make payments earlier, because European banks may take longer to go through the compliance checks and the funds need to arrive in due time.

Then the fourth issue, account for the payment. It was indeed changed, yes, that is true. This is not disputed. GPE had to open a special type "K" account with Gazprombank on the same terms as PPD. However, I must emphasise that there were no charges at all required for opening these type "K" accounts, and those claimed bureaucratic issues, as you will see in the coming days, is nothing but a made-up argumentation. PPD perfectly managed to handle these issues without any problem.

Now, the claimant tries to make a big point on what had no effect on the payment mechanism at all, the decree 254 that happened in 4 May 2022.

So what happened with this second decree 254? The key change, which in claimant's opinion deserves to be a whole new modification of the contract, is nothing but the specific reference to the national clearing centre, NCC, participating in the conversion process.

However, as you well understand, NCC was there even before this direct reference, because NCC is the clearing house of MOEX. Nothing changes.

I would like to emphasise that the decree 172, the letter of 1 April 2022, both indicated that the conversion would be conducted at the organised trade on MOEX. So there is no other way to do organised trade at MOEX than to have NCC involved.

Second, the applicable legislation and the trading rules of MOEX provide plainly and expressly that all the trades executed on MOEX are conducted solely with clearing. NCC is a party to every transaction. You don't have transactions with any other counterparties

15:52:45 even imaginable.
15:52:47 Finally, let me take you back to the scheme of the
15:52:50 payment mechanism outlining the steps after receipt of
15:52:52 euros on the PPD's type "K" account.
15:52:55 As we can see, all the steps involving NCC were
15:52:59 provided by the trading and clearing rules of MOEX and
15:53:03 in fact, the participation of NCC as a central
15:53:06 counterparty has been a feature of MOEX since its
15:53:10 outset, since 2007 when NCC was established.
15:53:14 And while the parties refer to a contemporaneous
15:53:17 version of the rules, they have not changed in the
15:53:20 relevant part, either in 2022 or after.
15:53:24 So, given the overall sanctions concerns of the
15:53:27 bank, the possible intention was to make the scope of
15:53:30 the participants of the conversion process transparent
15:53:33 and express from -- and, well, visible, clear for the
15:53:38 outsiders, mainly for foreign banks, to avoid issues
15:53:41 with payments due to the banks' overcompliance.
15:53:45 So this decree changed completely nothing.
15:53:49 Completely nothing.
15:53:51 Now, decree 992, which claimant portrays as yet
15:53:55 another alteration of the terms of the payment
15:53:58 mechanism. It did not affect the payment mechanism
15:54:02 at all.
15:54:04 This decree 992 merely provided that if the foreign

15:54:08 buyer failed to pay for gas supplies, it may settle the
15:54:12 outstanding debt without compliance with the decree 172.
15:54:17 So, for example, directly to the seller's account in
15:54:19 foreign currency if it exists, if that is what the
15:54:22 initial contract provided for.
15:54:27 So essentially, this meant that from 19 January 2023
15:54:32 when GPE had such euro bank account in place, PPD could
15:54:36 pay its own debt for September and October 2022 in the
15:54:40 same manner it originally did under the contract prior
15:54:43 to a decree, and without all those sanctions risks they
15:54:47 are referring to. Never done.
15:54:50 **So:** the mechanism is there, why don't you pay? No
15:54:53 sanctions, no risks, no NCC. Still not convenient.
15:54:59 Now, let me briefly remind you of the parties'
15:55:02 relations after and in response to the decree.
15:55:09 I will not definitely try to explain the whole
15:55:13 slide, but here what is important and almost instantly
15:55:19 after the decree, since 4 April 2022 and up
15:55:24 until October 2022 inclusive, the parties successfully
15:55:29 operated under the decree. They did operate under the
15:55:34 decree. And when we hear that they operated under some
15:55:36 other decrees and 172 was never complied with, but that
15:55:40 was the only decree of the substance.
15:55:44 No concerns about the commercial risks, no issues of
15:55:49 losses by PPD raised until the very end of 2022.

15:55:55 So due to time constraints I will not obviously go
15:55:57 through all of that. The key event is this letter of
15:56:01 1 April 2022, which has already been shown today by PPD.
15:56:08 This letter essentially recapitulates the provisions
15:56:12 of the decree and requests PPD to revert with an answer,
15:56:15 whether it is agreeable to the new terms or not.
15:56:18 The letter expressly refers, as I said, to organised
15:56:22 trades at MOEX, and therefore necessarily NCC, and it
15:56:27 also indicates the possibility of adjustment to be made
15:56:30 by the Central Bank of Russia, from day one it is clear.
15:56:34 And as can be seen from the language of this
15:56:37 request, PPD asks to confirm that PPD agrees. If so, it
15:56:42 does not demand, it does not threat. It asks.
15:56:46 The deadline for the answer was set, that it is
15:56:49 important, for 30 May. 30 May. The date when the
15:56:55 letter is sent is 1 April. The anticipated reply date
15:57:00 is anything up to 30 May.
15:57:05 Nevertheless, the response was received on the next
15:57:08 business day. It was Friday when this letter was
15:57:11 drafted and the response was received on Monday, already
15:57:16 midday.
15:57:18 Interestingly, PPD is now criticising Gazprom Export
15:57:24 for as if having knowledge about this decree well in
15:57:27 advance. And as an argument unveils, the evidence in
15:57:33 support of that is that the letter was prepared very

15:57:36 quickly, within one day.
15:57:39 But if you would compare the text of the letter with
15:57:41 the text of the decree, you would not see any
15:57:42 significant difference.
15:57:44 The only thing that happened, they translated it
15:57:46 from Russian into English and put it on a standard
15:57:49 letterhead so that to inform the consumers, all of the
15:57:52 consumers who got affected by that. It was not only
15:57:55 PPD, but all the consumers that received it, and PPD
15:57:59 admits it. They were not the only to receive that
15:58:02 letter on the very same 1 April.
15:58:06 No problem to draft that letter. Anyone in this
15:58:08 room could do that within one, two hours.
15:58:14 Nevertheless, the response, as I said, was received
15:58:17 on the next business day, on Monday, 4 April. The
15:58:20 letter was signed by Mr Vujnovac, which, as indicated in
15:58:24 the letter itself, consents to the proposal. And as
15:58:30 follows from the cover letter, there are no
15:58:32 reservations, no conditions, no protests, no questions,
15:58:36 no enquiries made between 1 and 4 April.
15:58:42 The parties had thousands of ways to communicate.
15:58:45 Many of the employees knew each other. Many of people
15:58:49 were communicating on WhatsApp and other messengers.
15:58:52 Silence. Then you receive the letter signed without any
15:58:58 other additional reservation.

15:59:00 That is the only customer who managed to do that so
15:59:04 rapidly.
15:59:06 Then on 5 May, respondent informed the claimant that
15:59:11 decree 254 was adopted. So that the claimant knows what
15:59:21 all this fuss in the news could be about.
15:59:25 Along with that, the respondent does not request any
15:59:29 confirmation of agreement or disagreement, as I said,
15:59:31 there was nothing actually material in that decree.
15:59:37 Respondent informs the claimant of the
15:59:39 clarifications by the Central Bank as well, confirming
15:59:42 that all that was requested from PPD was just to
15:59:45 transfer the money in the same euro, but two business
15:59:50 days earlier. And that's it, nothing more.
15:59:55 And the letter of 26 May was sent already by the
15:59:59 claimant after 5 May but it did not contain any
16:00:04 reference as well to the new second decree of 254.
16:00:09 Instead, it reiterated the procedure as outlined by the
16:00:13 decree 172, with reference to the special "K" type
16:00:17 currency account and all this stuff. It refers to the
16:00:20 recent clarifications of the Central Bank, confirming
16:00:23 its understanding of the content, which respondent also
16:00:27 deemed correct.
16:00:29 No mentioning of sanctions, duress, abuse of
16:00:32 dominance, no challenge of PPD's acceptance of payment
16:00:35 mechanism or its validity. Well, they claim its payment

under protest, but we will get back to that as well.
In May and August 2022, there were two extremely short-term suspensions of the supplies, but they were due to PPD's failure to comply with the decree in a way that the claimant exploited this so that to start the transfers not well in advance, and the European banks took longer to process the payment.
While the claimant exploits the situations to argue that GPE threatened, pressured, cut the supplies off whenever it wished, in fact the reasons for the suspension are really trivial and they are visible on the record.
All the information about the dates and the banks was taken from the testimony of Ms Ivancic, the claimant's own witness, so in May the claimant initiated three payments from different banks, two of which were at all not processed. Meaning that they never even left PPD's local bank and hence, clearly, never received by Gazprombank.
Only one payment, from Erste Bank, was successful, and as we understand from the dates, there were no issues with the processing of this payment on the side of Gazprombank. However, these payments were received by Gazprombank only on 31 May. Clearly, that was already too late. Given that the contract due date was

16:02:05 supposed to be 30 May, the payment was too late; it was
16:02:10 received by Gazprombank on 31 May.
16:02:13 Who is to blame?
16:02:15 In August, PPD initiated three payments. It had to
16:02:18 divide the payment in three tranches due to some limits
16:02:22 on daily transfers from those banks, no problem. The
16:02:25 last tranche was initiated on 26 May but it was received
16:02:30 by Gazprombank only on 29 May, which was Sunday. So
16:02:35 then the conversion process starts, two business days,
16:02:38 and therefore it was complete on 31 May, which
16:02:41 apparently did not meet the requirement of the decree,
16:02:43 and the supplies were temporarily and very shortly
16:02:47 suspended.
16:02:50 Now, the other letter that is of interest, I already
16:02:54 mentioned it. The letter of 31 October 2022 is
16:02:59 important in several aspects.
16:03:02 Claimant again refers to the decree 172 only, no
16:03:07 decree 254, and once again admits that it has a payment
16:03:12 obligation to pay via type "K" account and confirms its
16:03:17 commitment to fulfil, that is the words of the letter.
16:03:22 Nevertheless, claimant indicates that it could not
16:03:24 pay for the September supplies at the moment due to the
16:03:28 change in political views of the Croatian political
16:03:31 establishment, and confirms that it was into the
16:03:36 discussion, assumedly with the Ministry of Foreign

Affairs, or whoever else is the political establishment, because it is admitted that all past payments were kind of approved by the Croatian Ministry of Foreign Affairs, so were no problem. Sanctions wise as well.

Does this letter of 31 October mention sanctions, duress, abuse of dominance? Does it challenge the PPD's acceptance of payment mechanism? No. Yet again, not.

Following this failure to pay, for September, and October, on 1 November 2022, GPE receives the order from the central customs authorities to suspend deliveries.

It is not the choice of GPE to suspend the deliveries, though GPE does have such an option under the contract. It's the decision of the customs authorities and on 3 November GPE accordingly informed PPD on the reasons for suspension, appending the order from the central customs authorities.

So as of 1 November 2022 the supplies under the contract were suspended, and the supplies delivered by GPE in September and in October were never paid for.

You recall it was already time for conveniently getting rid of GPE and making sure that you avoid what any diligent business settlement would imply, and therefore on 23 and 28 November, PPD does an unbelievable thing. Perfectly knowing and having

16:05:15 acknowledged that the accounts identified in the
16:05:19 contract, euro accounts, have been closed, what PPD
16:05:23 does, to try construct their case, they attempt to pay
16:05:29 for these supplies to the euro account which has been
16:05:33 closed on 5 May 2022 and, clearly, the funds return.
16:05:41 In the letter of 26 May 2022, claimant expressly
16:05:45 acknowledges that those bank accounts are closed. Why
16:05:49 would you send funds to a closed bank account? To make
16:05:52 up the legal case.
16:05:55 To our knowledge, no further attempts, maybe of the
16:05:58 same kind, but to our knowledge no further attempts of
16:06:02 payment were ever made.
16:06:04 On 23 December 2022 claimant for the first time
16:06:08 tries to take back its consent to comply with the decree
16:06:13 and now starts telling us all those legends that you
16:06:16 have heard today.
16:06:17 It accuses the respondent of threatening, abusing
16:06:20 the dominant positional, alleges the violation of EU
16:06:23 sanctions, so apparently a good lawyer was on-boarded.
16:06:29 Remarkably, claimant does not challenge the
16:06:31 outstanding debt for September and October supplies, nor
16:06:35 does it propose to set it off.
16:06:38 Claimant essentially suggests the respondent to
16:06:41 continue supplies free of charge, in that letter, so
16:06:46 that the price of gas supplies by the respondent in

future would be offset against the alleged losses.
Well, this clearly couldn't happen because of the mandatory rules that we already know of.
On 19 January 2022, the respondent notifies the claimant of the decree 992, suggesting claimant to settle the debt for the September and October 2022 supplies without compliance with the bad sanctions related decree 172, NCC, God knows who gets the funds.
All that is no longer a burden. Pay directly to the respondent's euro account, which GPE intentionally opened to facilitate the settlement of the debt, a separate bank account.
As we know, PPD did not follow this suggestion, never had an intention to it, because they already had a different business plan in mind.
Instead, on 30 January 2022, claimant went on to challenge what was accepted and implemented for the previous half a year. It accused the respondent of the violations of EU law, the threats, yet no proposal to settle the debt was made. The set-off proposal is again misplaced. It refers to some future payments obligations and the proposal to keep supplying free of charge.
Understandingly, it cannot be the case, because of the mandatory rules that apply to GPE.

16:08:16 The claimant simply could not pay off the debt
16:08:19 for September and October supplies, either in November
16:08:23 or thereafter, for a very simple business reason.
16:08:28 There is nothing hidden actually. They had to spend
16:08:32 the revenues made on the resale of gas to afford
16:08:34 supplies from other sources more politically reliable.
16:08:42 This transaction, from one source of supply to
16:08:45 another, at the expense of GPE, was meticulously and
16:08:48 cold-bloodedly planned by the claimant so that GPE
16:08:51 supplies would be necessarily suspended just several
16:08:54 days ahead of the first delivery from the alternative
16:08:58 supplier. It is so visible on any timeline that no one
16:09:03 could come to any different conclusion.
16:09:05 Once the transition was complete, the claimant
16:09:08 rhetorically makes U-turn, accusations, demands,
16:09:14 acknowledgement of obligations and commitments to work
16:09:18 out a solution never proposed, and that is what happens.
16:09:26 Now let's switch to the legal basis of the
16:09:28 claimant's obligation to comply with the payment
16:09:31 mechanism.
16:09:32 The factual circumstances outlined earlier
16:09:36 **illustrate one clear message:** claimant accepted the new
16:09:40 payment mechanism required under decree 172, or at least
16:09:44 created a strong impression of acceptance to make
16:09:48 respondent rely on it and maintain the supplies.

16:09:51 This acceptance, however, was effective as long as
16:09:53 it was convenient. Once the alternatives to the
16:09:57 contract became fully available, the claimant finally
16:09:58 walked away from the contract, taking the money for two
16:10:01 monthly supplies and pretend that nothing has happened,
16:10:06 no consent, no modification, no obligation.
16:10:10 Luckily, the CISG and the Austrian law are based on
16:10:15 the principles of reasonableness, good faith and, above
16:10:18 all, pacta sunt servanda.
16:10:22 Respondent respectfully invites the tribunal to look
16:10:24 at the claimant's alleged and backdated fears, concerns
16:10:27 and accusations through this lens.
16:10:31 To this end, respondent makes three arguments in its
16:10:34 defence.
16:10:37 To begin with, claimant was obliged to comply with
16:10:40 the payment mechanism under the CISG article 54.
16:10:46 Two, claimant was obliged to comply with the valid
16:10:49 modification of contract.
16:10:51 Three, claimant failure to comply with either of
16:10:55 these obligations entitled respondent to suspend the
16:10:57 supplies.
16:10:59 Alternatively, even if claimant was not obliged to
16:11:03 comply with the payment mechanism, respondent was still
16:11:07 entitled to suspend the supplies due to force majeure.
16:11:13 Article 54 CISG provides that a buyer is obliged to

16:11:16 take such steps and comply with such formalities as may
16:11:20 be required under any laws and regulations to make the
16:11:24 payment. This was cited today by the other party, with
16:11:28 no emphasis put towards any laws and regulations. But
16:11:32 these are the key words.
16:11:34 The purpose of this is to clarify that the buyer's
16:11:37 obligation to pay is not limited to mechanical transfer
16:11:41 of money from one account to another. That may also
16:11:44 require other action to ensure that payment is effected.
16:11:49 The latter, effective performance of the payment
16:11:50 obligation, is the core of this provision, article 54.
16:11:55 On this basis, the applicable steps and formalities
16:11:58 are defined as the moment of performance, and not the
16:12:01 moment of conclusion of the contract. And it's the
16:12:04 buyer's burden to apply due diligence and ensure that
16:12:07 the payment was effected.
16:12:09 The word "any" was also used on purpose to indicate
16:12:12 that the laws and regulations of either buyer or the
16:12:15 seller's place of business are applicable. Nor does
16:12:19 article 54 limit the scope of relevant regulations to
16:12:22 applicable laws.
16:12:23 **The actual test is rather functional here:** whether
16:12:26 the regulation affects the mode of performance of the
16:12:28 payment obligation or not.
16:12:31 Decree 172 met all the prongs of article 54. It was

16:12:37 envisaged by regulation, did not require claimant to pay in a different currency, or pay a different sum, or do anything beyond the scope of its obligation to pay. It merely required to initiate payment two business days earlier to ensure that the conversion is completed in time, and send the money to a different account at the very same bank.

Alternatively and most importantly, even if the payment mechanism was applicable to claimant by default, claimant has done everything to indicate its consent to comply with the payment mechanism as part of its contractual obligations.

First I will outline the factors that exactly constituted the modification of the contract and demonstrate that the claimant has accepted it.

Then I will go through each of the grounds for invalidity of the modification raised by the claimant, duress, breach of sanctions and use of dominance, to address those.

So, a modification of initial terms of contract implies that there are either new, additional or different terms, as compared to the initial ones that were proposed and agreed.

It is not contentious between the parties that decree 172 did alter the initial payment mechanism, yes,

16:13:55 because PPD was required to initiate the transfer
16:13:57 payment two days earlier and use a different bank
16:14:00 account within the very same Gazprombank.
16:14:04 Decree 254 however did not influence the obligations
16:14:10 anyhow, because it did not introduce either new or
16:14:14 different terms as compared to those of the decree 172.
16:14:18 The only alteration identified by claimant was the
16:14:22 mentioning of NCC in the conversion process.
16:14:24 However, as I already explained, clearing is
16:14:27 a feature of MOEX and the NCC has been involved in
16:14:30 organised trades on MOEX for the last 20 years.
16:14:36 Moreover, claimant itself had been regarding the
16:14:39 decree 172 as the only modification of payment
16:14:43 mechanism. In the letters of 26 May, 31 October,
16:14:49 23 December, 30 January, notice of avoidance of the
16:14:53 8 March, claimant consistently refers to the payment
16:14:56 mechanism as payment in accordance with the decree
16:15:00 number 172. Even when the decree 254 was already in
16:15:05 force.
16:15:05 Finally, since the conversion process took place
16:15:09 after the transfer of money to PPD type "K" account at
16:15:12 Gazprombank, at which point PPD's contractual
16:15:13 obligations was already discharged, involvement of NCC
16:15:18 or the lack of it is largely irrelevant to the contents
16:15:23 of the obligations.

16:15:25 It could not constitute a modification of the
16:15:27 obligation, as the obligation is already discharged.
16:15:30 Gone. You already complied with.
16:15:33 In any event, in case there was a confusion about
16:15:38 the contents of the differences between the decree 172,
16:15:42 decree 254, it was PPD's duty to raise these questions
16:15:47 with GPE, and as said, whenever needed, PPD did that
16:15:51 perfectly.
16:15:52 The standard of reasonable person under article 8.2
16:15:56 of the CISG implies that in case a legal irrelevant
16:16:00 statement lacks clarity and is not sufficiently
16:16:03 understandable to the receiving party, it is the latter
16:16:07 that should make the requisite enquiries, request
16:16:10 translations, or otherwise seek to obtain reliable
16:16:14 knowledge of the content of the statement.
16:16:16 In other words, even if a businessperson lacks
16:16:19 expertise to fully comprehend the legally complex and so
16:16:23 unclear system of clearing at the exchange, then such
16:16:31 a businessman, being reasonable, needs to put effort to
16:16:34 obtain the necessary clarification from the
16:16:37 counterparty.
16:16:39 Under article 18 of the CISG an offer can be
16:16:43 accepted by statement or conduct.
16:16:46 In PPD's case there were both. The first and most
16:16:50 straightforward expression of PPD's assent was in the

16:16:55 first of 4 April 2022 letter signed by Mr Vujnovac.
16:17:02 Unconditional countersignature.
16:17:06 According to the express language of this letter,
16:17:08 such countersignature was to be regarded as an
16:17:11 acceptance of the proposed items. How else could it be
16:17:14 interpreted by GPE?
16:17:17 Claimant's key objection to the express acceptance
16:17:19 is based on alleged defects of the form. Claimant
16:17:23 relies on the contractual requirement to the form of
16:17:26 modification and the respondent never actually disputed
16:17:30 the application of those provisions. The contractual
16:17:32 requirements are very simple and straightforward. When
16:17:35 you make an amendment to a contract, what do you need to
16:17:38 do? Article 13.1, in writing signed by the authorised
16:17:43 representative. Article 16.1, in writing signed by
16:17:46 authorised representative. 16.2, documents transferred
16:17:49 by fax or email should be replaced with originals, hard
16:17:53 copy.
16:17:55 The letter of 1 April was made on paper
16:17:57 countersigned by Mr Vujnovac himself and he has never
16:18:01 claimed that his signature to be forged or --
16:18:04 importantly, the hard copy of the signed letter was
16:18:08 immediately despatched by the respondent to the
16:18:10 claimant, and why would have respondent done that if it
16:18:17 did not regard this letter to be an amendment subject to

16:18:19 article 16.2? Clearly.
16:18:24 Well, in any event, even there was a requirement to
16:18:30 draft -- well, even if there was a requirement to draft
16:18:33 a formal amendment with a title "Amendment" as the
16:18:38 parties did in the past, it is still excessively
16:18:45 formalistic to request that.
16:18:46 Yes, the other amendments to the contract were
16:18:49 labelled as amendments, but their content was different,
16:18:51 and they mainly dealt either with price revision or they
16:18:55 dealt with the quantities under the contract and that
16:18:58 implied formulas and that had to be the part of the
16:19:01 contract to be submitted actually to the bank for the
16:19:04 **currency controls. That's the proper English word:** for
16:19:11 the currency controls.
16:19:12 Here, the content of the letter did not necessarily
16:19:16 require formal title amendment.
16:19:20 But article 29.2 of the CISG provides that an
16:19:25 agreement that contains a provision requiring any
16:19:27 modification or termination to be in writing, cannot be
16:19:31 modified or terminated otherwise.
16:19:33 However, the second sentence of this paragraph,
16:19:35 subject if requirement to the principle of estoppel, the
16:19:39 party may be precluded by its conduct from raising
16:19:42 objections to the form of modification if the other
16:19:46 party relied on that conduct. And the claimant has

16:19:51 clearly foregone the right to raise such an objection
16:19:55 because of the clear behaviour that was in place.
16:19:59 The conditions for protection of legitimate
16:20:01 expectations under article 29 of the CISG are on the
16:20:06 slides. Of relevance are the two of them.
16:20:10 Well, to begin with, behaviour giving rise to trust.
16:20:15 Well, according to commentaries, even silence, in
16:20:17 combination with conduct or other circumstances, may be
16:20:20 even sufficient to establish acceptance of modification.
16:20:24 PPD's conduct throughout April-October 2022 passes
16:20:28 this test by a margin.
16:20:30 Claimant induced respondent's reliance on the
16:20:33 acceptance of modification by promptly and cooperatively
16:20:36 taking all necessary steps to open the type "K" account
16:20:40 in euro and in rouble. Posted nominations of volumes
16:20:44 under the contract. Accepted the supplies. Paid for
16:20:47 the supplies via the payment mechanism.
16:20:51 As for the effective agreement, except for formal
16:20:55 defects, since CISG does not govern issue of
16:20:58 representation at all, the relevance of this criteria in
16:21:00 the application of this provision is questionable and
16:21:02 therefore is not relevant for us.
16:21:05 But as for the actual trust, there was indeed GPE
16:21:11 relying on the conduct of the other party.
16:21:14 The asserting party's reliance can be indicated by

16:21:17 a range of actions, primarily by the performance of the
16:21:19 contract. Respondent in reliance on this conduct of the
16:21:23 claimant dutifully supplied gas upon claimant's
16:21:28 nominations and particularly by 26 May 2022, claimant
16:21:34 had already offtaken most an entire monthly supply. Is
16:21:40 not that behaviour self-speaking? And could not it
16:21:45 create actual trust?
16:21:48 As for the worthiness of protection, this criterion,
16:21:52 according to the commentators, merely adds
16:21:54 a qualification of reasonableness to the above
16:21:56 substantive conditions of reliance inducing and reliance
16:22:00 based conduct. While according to the claimant's
16:22:02 authorities, the reasonableness requirement implies that
16:22:04 if a party declares that it does not feel bound by the
16:22:08 changes due to the written form requirement, this also
16:22:12 destroys the trust with effect of ex tunc.
16:22:15 The claimant believes that the letter of
16:22:17 26 May 2022, where it expressly confirmed its intention
16:22:23 to fulfil the payment obligations in accordance with the
16:22:26 decree, but stated that it should not be construed as
16:22:28 acceptance of proposal, constituted such a declaration.
16:22:34 This allegation is wrong.
16:22:37 The reasonableness of reliance does not depend on
16:22:40 whether the party recognises the validity of
16:22:43 modification. It only matters whether the party

16:22:46 sufficiently indicated by its conduct that it will in
16:22:50 fact follow the agreement, regardless of whether it is
16:22:53 subjectively believed that this agreement is valid, or
16:22:56 gave it other subjective legal qualifications.
16:23:00 To put it simply, article 29.2 of the CISG was
16:23:04 designed to protect trust induced by the other party's
16:23:06 conduct. Both are questions of fact.
16:23:11 Even if the letter of 26 May 2022 could be given any
16:23:16 legal meaning, it still could not qualify as
16:23:19 a notification of the claimant's refusal to be bound by
16:23:22 the modification from then on, since it only confirmed
16:23:27 that the claimant will pay in accordance with the new
16:23:30 payment mechanism. Ie, that it will in fact accept the
16:23:33 agreement.
16:23:34 Hence, such conduct is sufficient to induce
16:23:37 reasonable reliance of the respondent.
16:23:41 Essentially, claimant seeks nothing but a second
16:23:45 bite of a cherry, suggesting that a letter sent
16:23:48 two months after the acceptance should somehow annul the
16:23:51 acceptance and/or eliminate the reliance induced by its
16:23:55 conduct throughout these two months. This cannot be
16:23:58 allowed.
16:23:59 In reality, the letter of 26 May which the claimant
16:24:02 labels "payment under protest" is of no help to the
16:24:06 claimant under the applicable legal standards.

16:24:09 Under article 22 of the CISG, the acceptance may be
16:24:13 withdrawn if the withdrawal reaches the offer before or
16:24:17 at the same time as the acceptance would have become
16:24:21 effective at the moment the indication of assent reaches
16:24:28 the offer.
16:24:31 Same applies to corrections, extensions,
16:24:33 restrictions, modifications of acceptance.
16:24:36 Hence, the PPD's acceptance of the 1 April offer
16:24:40 could not be revoked after 4 April.
16:24:44 Moreover, this vague and very unclear attempt to
16:24:48 kind of withdraw earlier consent was overridden by
16:24:52 consistent and subsequent further conduct, confirming
16:24:55 the claimant's consent to the new payment mechanism.
16:24:58 This alleged protest of the 26 May was not motivated
16:25:03 by any objective circumstances. There were no
16:25:05 meaningful developments in the EU sanctions policy for
16:25:08 instance in which claimant believes there were so many
16:25:13 risks associated to these payments. There were no other
16:25:19 reasonable grounds to believe that the circumstances
16:25:21 have changed. The claimant's authorities do not
16:25:24 represent the official stance of the EU on the legality
16:25:27 of the payment mechanism during this time changing.
16:25:31 So finally, here, even if none of the above
16:25:36 arguments about express consent of the claimant were
16:25:39 true, and the claimant actually revoked its consent on

16:25:44 26 May 2022, the modification was still accepted by the
16:25:49 further consistent conduct of PPD, both prior and after
16:25:54 26 May.
16:25:56 As demonstrated on the slide, the assent to an offer
16:26:00 may be given by various forms of conduct. All of these
16:26:03 examples may be found in our case.
16:26:06 PPD has been nominating and offtaking gas, both
16:26:09 before and after 26 May, perfectly knowing that the only
16:26:13 way these payments could be paid was in accordance with
16:26:16 the payment mechanism they are so unhappy with.
16:26:20 Remarkably, even on 31 October 2022, when PPD
16:26:26 informs GPE that September supplies would not be paid
16:26:28 for because of the changed political environment, PPD
16:26:32 nevertheless acknowledges that it has a payment
16:26:35 obligation under the decree. They acknowledge that they
16:26:38 have a payment obligation under the decree and not
16:26:41 otherwise.
16:26:43 The claimant's contention that respondent imposed
16:26:45 the modification on claimant via threat and duress is
16:26:51 plainly wrong.
16:26:53 The letter of 1 April 2022 was nothing more than
16:26:58 a notification of new requirements that are contained in
16:27:01 a binding decree, making it thus impossible for the
16:27:05 respondent to continue supplies under the contract
16:27:08 unless the decree was complied with and the contract was

16:27:14 accordingly altered.
16:27:15 If a person suffers from the pressure of
16:27:18 circumstances, without this pressure being wrongfully
16:27:21 exercised by the other party, this is not enough to
16:27:23 establish duress.
16:27:26 **As the Supreme Court of Austria phrases it:**
16:27:29 "every pressure creates the pressure of
16:27:30 circumstances, however, not every person exposed to the
16:27:33 pressure of circumstances is in such a position due to
16:27:36 a wrongfully exercise pressure."
16:27:39 There was no wrongfully exercised pressure by GPE in
16:27:42 this case.
16:27:44 The threefold test that is presented by PPD for the
16:27:48 duress finds absolutely no grounds in the facts of the
16:27:52 dispute with the opposite not proven by the claimant.
16:27:57 The action can neither be a lawful or an unlawful
16:28:00 threat if it is not a threat at all.
16:28:03 And there can be no causal link between a threat and
16:28:09 a party's declaration of intent to conclude a contract
16:28:11 if there is no threat.
16:28:15 The present case is a matching example of the
16:28:19 Supreme Court finding. The only and one reason for
16:28:21 respondent to suggest the amendment of the contract, as
16:28:24 well as to all other respondent's European buyers as
16:28:27 well on 1 April 2022, was the enactment of the decree,

16:28:32 having its unavoidable effect on both parties in spite
16:28:35 of, notwithstanding, the GPE's will.
16:28:39 **It is like the atmospheric pressure:** I can like it
16:28:42 or dislike it, but it exists.
16:28:44 The decree applies irrespective of what the
16:28:47 respondent wishes or thinks. The decree authorised the
16:28:49 central energy customs to monitor compliance with the
16:28:52 decree and, if violated, prohibit supplies. Not GPE,
16:28:57 but the central energy customs has control over the
16:29:00 infrastructure.
16:29:02 Mr Perner, expert of the claimant, fails to take
16:29:05 into account the above precedent of the Austrian Supreme
16:29:08 Court, which actually distinguishes the pressure of
16:29:11 circumstances from the pressure of the unlawful threat,
16:29:13 and that results in a logical fallacy.
16:29:17 Following his logic, even a letter about an
16:29:20 inadvertently falling meteorite, in the hypothetical
16:29:25 example, would constitute a threat.
16:29:29 Mr Perner's analysis fails to acknowledge the
16:29:31 existence of the pressure of circumstances, the
16:29:34 meteorite in the respondent's hypothetical example.
16:29:37 That's the decree 172 in the case of the contract.
16:29:42 In fact, the pressure was put on both parties by the
16:29:45 Russian Government, by virtue of unavoidable prohibition
16:29:47 of supplies under the contract if the decree is not

16:29:50 complied with.
16:29:50 The claimant's position, that the respondent was not
16:29:56 compelled to comply with the decree and could have
16:29:59 attempted to obtain an exemption from the Russian
16:30:00 Governmental commission, is entirely wrong. It is built
16:30:06 on retrospective and the wrong interpretation of the
16:30:08 decree.
16:30:10 Special rules to obtain permits at the governmental
16:30:17 commission on monitoring foreign investment for the
16:30:19 decree were only enacted on 9 April 2022 --
16:30:31 **PRESIDENT:** Sorry, we are with you. Do not worry. It's
16:30:35 an important matter and I know you're in the middle of
16:30:36 the presentation on duress.
16:30:38 When you complete the slides on duress, before you
16:30:41 move into competition or other topics, we'll make
16:30:45 a break. Thank you very much. But we're with you,
16:30:47 don't worry.
16:30:48 **MR TALANOV:** Thank you, thank you, no, I wanted to make
16:30:49 sure that we are all on the same page.
16:30:53 So, as I said, the pressure was on both parties and
16:31:00 both parties had to comply with the decree and
16:31:03 accordingly modify the contract.
16:31:05 The claimant's position, that respondent was not
16:31:07 compelled to comply with the decree and could have
16:31:10 attempted to obtain the exemption from the governmental

16:31:14 commission, is entirely wrong for a number of reasons.
16:31:17 But here the primary reason, that I mention on the
16:31:21 slide, is that there were no rules permitting such
16:31:29 exception, exemption, until 9 April 2022, and they only
16:31:36 happened five days after the contract was already
16:31:38 amended.
16:31:40 Clearly, there was already no field for discussion
16:31:44 of this kind. Why would you go and seek an exemption if
16:31:47 the other party already agreed?
16:31:50 GPE could not itself obtain any exemption, even if
16:31:53 after enactment of the special rules they wanted to, and
16:31:59 say PPD requested that. That never happened.
16:32:04 GPE simply has no right under the rules to approach
16:32:08 the governmental commission for this kind of exemption.
16:32:13 It can only be done by the Ministry of Energy.
16:32:16 Well, GPE is not the Ministry of Energy, it's
16:32:19 a different entity, it's a different state body and it
16:32:22 is not readily available to satisfy all the possible
16:32:28 demands that GPE or PPD may have.
16:32:31 Despite the statements of the claimant, GPE has
16:32:34 absolutely no guarantees of assistance by the ministry
16:32:37 under the federal law 59. I'm compelled to comment upon
16:32:41 that, that is a very recent argument and we did not have
16:32:44 a chance to otherwise address it, but unfortunately here
16:32:49 the claimant just simply reads the law wrong, because

16:32:54 this law is not applicable and it cannot be used by GPE
16:32:58 to approach the ministry.
16:33:01 The claimant arguments, that respondent was to
16:33:04 renegotiate the terms of the contract to consider the
16:33:08 impact of the offer on PPD but instead it magnified the
16:33:13 unjust treatment, shows actually that GPE's proposal was
16:33:15 obviously considered by claimant as a business offer.
16:33:20 The substance is not whether the respondent's
16:33:22 business offer was balanced or not, but an allegation of
16:33:25 a threat. The influence on the decision-making of the
16:33:30 contract partner by introducing fear.
16:33:34 Anyway, GPE could not be blamed for negotiating in
16:33:37 bad faith as PPD never informed it of any problems and
16:33:40 risks regarding the amendment before the breach.
16:33:45 The breach, I mean 31 October 2022.
16:33:49 On the contrary, PPD returned the countersigned
16:33:51 letter in three days, or in one business day, without
16:33:56 any comments, counteroffers, even though respondent
16:34:00 asked for the confirmation up to 30 May within two
16:34:03 months.
16:34:06 The only reason why respondent sent the letter of
16:34:10 1 April 2022 was nothing about duress; it was the
16:34:14 enactment of the decree, which was binding on the
16:34:16 respondent and would prevent any supplies to claimant if
16:34:20 not complied with.

16:34:23 As openly admitted by Ms Ivancic, PPD learned about
16:34:27 the decree from media first, and could have equally
16:34:32 received information of its content from the public
16:34:34 sources.
16:34:36 It could have hardly changed anything in the
16:34:38 modification, as the letter of 1 April basically quoted
16:34:45 the decree 172.
16:34:49 In the alternative, claimant failed to demonstrate
16:34:52 a causal link between the alleged threat in the letter
16:34:55 of 1 April and the modification.
16:34:58 As explained by the claimant's own expert Mr Perner,
16:35:02 the decisive question is therefore whether PPD would
16:35:05 have made its declaration of intent even without the
16:35:08 unlawful threat.
16:35:10 The abovementioned argument seems self-evident if
16:35:13 one appreciates that nothing would have changed if GPE
16:35:17 had decided not to notify PPD on the decree's
16:35:20 restrictions at all.
16:35:22 If the respondent remained silent, if the parties
16:35:27 had not agreed upon exactly the same payment mechanism
16:35:30 by 30 May 2022, what would happen? The central energy
16:35:35 customs of the Russian Federation would eventually have
16:35:37 simply cut off supplies to PPD under the specific
16:35:40 notice, analogous to the one that GPE shared with PPD
16:35:45 ultimately in November 2022.

16:35:48 This means that PPD would have made an identical
16:35:50 declaration of intent even without the unlawful threat.
16:35:55 PPD's argument on duress is based on the premises
16:35:58 that it was unable to finance any alternative sources of
16:36:01 gas in April and May, while Mr Way, the expert of the
16:36:06 claimant, also adds June 2022 in his account.
16:36:11 As per the claimant's own narrative, already in
16:36:14 summer 2022 the claimant could have concluded a similar
16:36:19 contract under similar conditions, or otherwise replaced
16:36:22 the volumes paid for, under the modification that it
16:36:26 allegedly considered detrimental to itself and
16:36:29 countersigned under duress.
16:36:31 However, despite all that, it continued to nominate
16:36:34 and offtake gas until 31 October.
16:36:38 PPD made several steps to get ready for the
16:36:39 well-planned breach of the contract.
16:36:44 On 12 April 2022 as I already said, PPD signs an
16:36:49 agreement with Krk operator in order to book all
16:36:52 **remaining available capacity. That's what they demand:**
16:36:54 all available capacity. All remaining available
16:36:57 capacity for four upcoming years.
16:37:00 From June to October 2022, PPD concluded many
16:37:05 contracts for the so-called replacement volumes. They
16:37:08 are carefully listed by Ms Ivancic in her second witness
16:37:12 statement, and we will have a look at those tomorrow.

16:37:15 On 30 June 2022, it concluded amendment, actually
16:37:20 restated agreement to the LNG agreement, which
16:37:24 introduced significant increase in the amount of LNG
16:37:27 supplies.
16:37:28 No wonder claimant was happy to send the letter of
16:37:31 31 October, having the gas supplied already secured,
16:37:34 thanks to the deals previously made, and financed from
16:37:37 the GPE's continued supplies under the amendment
16:37:40 contract terms.
16:37:42 The above timeline shows nothing but a cold-blooded
16:37:46 month-long preparation for inadmissible, unilateral
16:37:50 termination of payments under the contract. Searching
16:37:55 for a tool that would let us finish this plan, ie
16:37:57 escaping its obligation under the contract without
16:37:59 paying for the deliveries already completed. And PPD
16:38:04 chose to argue that the modification was imposed under
16:38:07 duress.
16:38:09 I think we could make a break here. Thank you.
16:38:12 **PRESIDENT:** Thank you very much. We will have now
16:38:14 a 20-minute break. We'll start in 20 minutes, so at
16:38:28 5 o'clock. 22 minutes.
16:38:31 (4.38 pm)
16:38:34 (Short break)
16:38:35 (5.01 pm)
17:01:16 **PRESIDENT:** You were allowed 217 minutes. You have used

17:01:19 so far 104 minutes, so you have 113 minutes left, and
17:01:26 I just checked with our stenotypist, you can go without
17:01:31 any break. If you wish to take a break we can take
17:01:33 a break, of course, but we're good to go and conclude in
17:01:37 one go. But we're in your hands; if you need to take
17:01:39 a break at a proper moment in your presentation, feel
17:01:42 free to do so.
17:01:43 **MR TALANOV:** Thank you so much. In any case, should you
17:01:45 feel the need for a break and if my presentation gets
17:01:48 too exhaustive, we're happy to accommodate. Please let
17:01:55 us know.
17:01:56 So the other tool which PPD conveniently employs to
17:02:09 shield itself from the obligation that it had actually
17:02:12 accepted under the contract, is the reference to the EU
17:02:16 sanctions, which do indeed impose a multiple number of
17:02:23 prohibitions and restrictions against the Russian
17:02:25 parties.
17:02:27 However, what is important, PPD's ingenious plan is
17:02:31 **shattered by one crucial factor:** there are no
17:02:34 prohibitions on Russian natural gas imports, nor are
17:02:38 there any prohibitions on the payment mechanism itself.
17:02:42 The absence of such prohibition is obvious. No
17:02:45 restriction on the Russian natural gas imports can be
17:02:48 found in any of the relevant provisions. Many of the
17:02:53 articles of the 833rd regulation are designed so they're

17:02:58 to specifically exclude their application to the supply
17:03:01 of natural gas from Russia into the EU.
17:03:04 And the clearcut situation, that there are no
17:03:11 restrictions at the EU level, and there is nothing that
17:03:16 is deemed to be restricted by the EU authorities,
17:03:20 becomes totally obvious, because some of the EU Member
17:03:23 States, such as Poland, Lithuania and Estonia, had to
17:03:28 implement some of the measures unilaterally, absent
17:03:32 rules in common.
17:03:34 If Russia's natural gas imports were subject to any
17:03:38 prohibitions or restrictions at the EU level, then no
17:03:41 unilateral actions of this kind would be required.
17:03:44 It is a common knowledge that the REPowerEU
17:03:49 initiative plans, so that to phase out the Russian gas
17:03:53 imports, is underway only now, and it was adopted
17:03:57 relatively recently after three years PPD stopped paying
17:04:02 under the contract.
17:04:03 So clearly, that none of those obvious and
17:04:09 straightforward sanctions were in place.
17:04:11 The EU Council has, before REPowerEU plan, never
17:04:16 intended to prohibit European companies from fulfilling
17:04:20 their obligations under existing long-term gas supply
17:04:24 contracts, well, at least until their expiration,
17:04:27 because even under this recent initiative, Russian gas
17:04:32 phased out by 2027, that is 30 September, by that moment

17:04:38 most of the contracts, including PPD contract, would
17:04:41 already expire.
17:04:44 The introduction of the payment mechanism in March
17:04:46 did not somehow get reflected in the position of the
17:04:51 European Council. There was absolutely no reaction by
17:04:54 the European Council responsible for the sanctions
17:04:57 following this move.
17:04:59 We see that the council actually, usually very
17:05:01 quickly and actively, reacts to the Russian legislation
17:05:05 that it deems to affect the objectives of its sanction
17:05:09 regime.
17:05:09 I could give you a number of examples, but to
17:05:11 **mention:** the council implements such measures, for
17:05:16 instance, as against the bad well-known, ill-known
17:05:19 Lugova(?) law proceedings, initiated before the Russian
17:05:25 courts when the Russian courts can exercise exclusive
17:05:29 jurisdiction. And whenever that happened and whenever
17:05:32 the council considered that to be sanction in
17:05:36 compliance, it immediately reacted.
17:05:39 Whenever the presidential decree in Russia number
17:05:43 302, that is the compensation mechanism for the change
17:05:47 of ownership, then, as a mirror to that, the European
17:05:53 Union Council enacts a measure to compensate who
17:06:00 suffered losses.
17:06:01 So council regularly implements measures

17:06:04 specifically against such legislation, directly cites
17:06:08 it, and like when it does so, it clearly explains that
17:06:14 it considers these rules to be contrary to the EU
17:06:18 sanctions policy.
17:06:19 Nothing has ever been said or done by the council
17:06:23 against the decree and the payment mechanism.
17:06:27 This actually explains why many European companies,
17:06:30 such as PPD, but not only PPD, have agreed to modify
17:06:36 their contract with GPE and continued to pay with the
17:06:42 new scheme, the new payment mechanism.
17:06:45 GPE has even concluded new gas supply contracts with
17:06:49 European companies under the very same payment terms of
17:06:52 the new decree.
17:06:54 Notably, as I already said, no criminal cases, no
17:06:58 investigations into any European company related to the
17:07:03 use of the payment mechanism has ever been reported.
17:07:08 And now you understand the structure of the
17:07:11 mechanism, you understand that there is no way you can
17:07:14 even try, reach and touch upon a sanctioned entity. So
17:07:20 its evident why the European Union bodies don't feel
17:07:26 necessary to respond.
17:07:30 Even assuming that such prohibitions existed, PPD
17:07:33 could at any time request codifications or licences from
17:07:37 the Croatian competent authorities, correct? However,
17:07:40 PPD has never done so.

17:07:43 In that famous letter dated 31 October that I showed
17:07:47 you already several times today, PPD refers to some
17:07:51 approvals granted by the Croatian Ministry of Foreign
17:07:52 Affairs.
17:07:55 Well, I put it aside that it is not a competent
17:07:59 authority to grant any approvals; maybe Mr Vujnovac
17:08:04 knows it better. However, to my knowledge, under the
17:08:06 Croatian laws on sanctions, it's the Ministry of Finance
17:08:09 and the Ministry of Economy and Sustainable Development
17:08:11 who are the competent authorities that really monitor
17:08:14 this stuff.
17:08:15 But in any case, there is not a single
17:08:17 contemporaneous document confirming the existence of any
17:08:21 prohibition for PPD to pay under the payment mechanism,
17:08:24 any interpretation of sanctions so they're putting any
17:08:28 risk on PPD by any of the national or EU level
17:08:33 authorities. And that makes it pretty clear what PPD
17:08:37 really intends to do is just to use this argument as
17:08:42 a shield so that not to comply with its obligations.
17:08:47 The council, as I already said, did not prohibit the
17:08:50 payment mechanism in general, nor did it prohibit each
17:08:53 of the transactions that it implies.
17:08:56 The European Commission specifically confirmed, it's
17:08:59 there on the slide, it specifically confirmed that
17:09:02 European companies are allowed to engage with GPE, open

17:09:08 accounts with Gazprombank, make payments to Russian
17:09:11 persons and trade on Russian exchanges, including MOEX.
17:09:18 Furthermore, to date, the council has not imposed
17:09:21 sanctions on participants of the payment mechanism,
17:09:23 specifically Gazprombank, Moscow Stock Exchange, Moscow
17:09:28 exchange, and the national clearing house, NCC.
17:09:33 In the absence of any applicable prohibition, PPD
17:09:36 now claims that any payment in euros to Russia
17:09:39 constitutes a violation or circumvention of the
17:09:42 sanctions or their objectives.
17:09:45 In PPD's view, that is because such a transfer makes
17:09:48 euros potentially available to sanctioned persons and
17:09:53 contributes to the stabilisation of the Russian rouble.
17:09:56 And they also claim that the payment mechanism was
17:09:59 created to circumvent European sanctions by its nature.
17:10:04 Well, essentially, PPD bases its arguments on
17:10:08 a pretty incoherently broad and incorrect interpretation
17:10:13 of the European sanctions, as I will show.
17:10:16 This interpretation would effectively look to
17:10:18 prohibition of any payment to Russia or to any Russian
17:10:22 person, because any asset that you sell to that Russian
17:10:29 person may potentially get resold and therefore may get
17:10:35 to a sanctioned person in the very long run.
17:10:38 The council has never intended to impose such
17:10:41 embargos.

17:10:43 PPD argued that payment under the payment mechanism
17:10:46 violated the prohibition to make funds and economic
17:10:50 resources available to persons included in the sanctions
17:10:52 list under the regulation 269, personal sanctions.
17:10:59 Because such persons might purchase those imaginary PPD
17:11:06 euros, if they existed, on Moscow exchange.
17:11:10 As already explained, if one understands how
17:11:12 exchange organised trade works and how non-cash foreign
17:11:15 transaction works, that they return PPD euros makes
17:11:18 completely no sense.
17:11:20 However, the payment mechanism does not violate
17:11:22 transaction with anyone. The payment mechanism, sorry,
17:11:26 does not involve transaction with anyone other than NCC.
17:11:31 It's only the clearing house, no one else. As the
17:11:34 central counterparty, NCC executes all foreign exchange
17:11:39 trades on Moscow exchange by pooling all offsetting
17:11:43 positions of its all counterparties into one single
17:11:46 debit or credit obligation. As a purchaser, the NCC is
17:11:51 the ultimate recipient of foreign currency.
17:11:54 Hence, even if we were to assume that there could be
17:11:57 identified some PPD euros to which PPD had some
17:12:01 proprietary right that follow this property even after
17:12:05 it has transferred to Gazprombank -- which is totally
17:12:08 wrong -- once these PPD euros were received by NCC, they
17:12:13 become part of NCC funds. That's it, full stop.

17:12:18 Whoever purchases it from NCC thereafter is none of
17:12:21 PPD's business. It has absolutely no relevance to the
17:12:25 sanctions application, because that is how the laws on
17:12:32 sanctions work. There is no other way to read and apply
17:12:35 it.
17:12:36 It is confirmed by the EU sanctions expert evidence
17:12:39 that is also on the record, that is the leading EU
17:12:41 sanctions law firm Daldewolf.
17:12:44 Otherwise, if you follow this logic and you worry
17:12:49 about who buys anything from NCC, then as I said, you
17:12:54 cannot sell anything to anyone, because they can
17:12:58 potentially once sell it to a sanctioned Russian entity.
17:13:03 Yes, they can do that, but you cannot be put under
17:13:07 any liability, even risk of liability for that. Your
17:13:13 responsibility as the EU party ends when you understand
17:13:18 that the other part of the transaction that you are in
17:13:21 is not sanctioned. And here the counterparty is only
17:13:25 NCC, the clearing house. That's it.
17:13:28 There is frankly no other way to read sanctions.
17:13:31 The argument that NCC might sell at least some of
17:13:35 the PPD euros to sanctioned persons does not correspond
17:13:38 to how foreign exchange works.
17:13:41 This is because transactions in euros would not be
17:13:43 possible without the participation also of the European
17:13:46 correspondent banks, since no foreign bank has direct

17:13:51 access to the European financial system.
17:13:55 So euros are not kept with Gazprombank. Euros as
17:14:02 obligations, as parts of the records, are kept with
17:14:06 the correspondent banks in Europe. And as I said, those
17:14:10 are the two banks, which we know because of the publicly
17:14:14 available rules of the Moscow exchange, those are
17:14:19 Commerzbank and Societe Generale.
17:14:21 So this is clear to anyone who knows how these banks
17:14:24 works, that those funds are not like physical goods.
17:14:30 They get reflected on the correspondent accounts of the
17:14:33 European correspondent banks.
17:14:36 In order to transfer euros to a trader who purchases
17:14:39 them on the Moscow exchange after netting, the NCC must
17:14:44 instruct whom? Its European correspondent bank to
17:14:47 assign the euro claimed to the trader.
17:14:51 So effectively what happens, that the European bank
17:14:57 when accepting this request from NCC will have to check
17:15:02 who gets the funds. Is it a sanctioned entity or not?
17:15:07 We have no doubt that the European banks, the two
17:15:10 I mentioned, have very strict compliance policies and
17:15:13 there is no evidence that they have been involved in any
17:15:16 sanctions circumvention or violation.
17:15:21 So a transfer would be impossible without the
17:15:23 involvement of the European bank.
17:15:27 For the same reasons, PPD's argument that its euros

17:15:31 could be transferred to a certain state-owned company
17:15:34 subject to sanctions under article 5aa lacks merit.
17:15:39 However, more importantly, article 5aa, which is one
17:15:43 of the grounds of the claim by the PPD, this article
17:15:47 directly excludes its application to any transaction
17:15:50 necessary for the purchase, import or transport of
17:15:54 natural gas from Russia to the EU.
17:15:57 Even though the council has been aware that the
17:15:59 payment mechanism is an obligatory condition for such
17:16:02 imports, the wording of article 5aa has not been amended
17:16:07 to this day, and we have no doubt that the EU Council,
17:16:10 the EU Commission, know about the decrees.
17:16:17 So PPD further argue that transactions under the
17:16:20 payment mechanism relate to the management of reserves
17:16:23 and assets of the Central Bank, because the Central Bank
17:16:28 might purchase, yet again, the so-called non-existent
17:16:32 PPD euros on Moscow exchange and, if not, to stabilise
17:16:38 Russian rouble exchange, even without any involvement of
17:16:40 the CBR, of the Central Bank.
17:16:43 However, neither is covered by article 5a of the EU
17:16:52 Regulation 833, taking into account its objective, the
17:16:57 meaning, and the terms of the legislative context.
17:17:03 The goal of this provision that PPD refers to is to
17:17:05 restrict access of Central Bank to its assets on the
17:17:10 territory of the EU, and that is mostly reasonable.

17:17:14 Well, as said, if NCC, as a result of netting, were
17:17:19 to order transfer euros to the Central Bank, this would
17:17:25 simply not be permitted by Commerzbank or Societe
17:17:28 Generale, because they hold NCC euros on their account
17:17:33 and they will have to comply with sanctions and permit
17:17:36 the transfers.
17:17:38 Gazprombank does not have its own euros. All euros
17:17:41 are in Europe.
17:17:44 On different occasions the council and the European
17:17:47 Commission have consistently stated that the aim of
17:17:49 article 5a(4) is to prevent the Central Bank of Russia
17:17:54 from accessing foreign reserves held in the EU.
17:18:01 As amply explained by the respondent in the written
17:18:04 submissions, this is one of the reasons why the council
17:18:06 **worded article 5a(4) so narrowly:**
17:18:10 "Transactions related to the management of reserves
17:18:12 as well as assets of the Central Bank of Russia ..."
17:18:16 According to the International Monetary Fund, the
17:18:18 management of reserves and assets involves allocating
17:18:22 assets as an investment to achieve an acceptable level
17:18:26 of return.
17:18:28 Allocation of assets as an investment to achieve an
17:18:32 acceptable level of return, that's the definition of the
17:18:34 IMF.
17:18:35 This objective can only be achieved through the

17:18:38 allocation of foreign exchange reserves held in the form
17:18:40 of convertible foreign currency claims of the Central
17:18:46 Bank, and to allocate these foreign exchange reserves
17:18:55 held in the form of convertible foreign currency claims
17:18:58 on non-residents.
17:19:01 Examples include the Central Bank of Russia euro
17:19:04 deposits, securities, financial derivatives, which are
17:19:08 held in euros and they are held with the European
17:19:11 companies.
17:19:11 And, as you well know, they are now blocked.
17:19:16 Not only has the IMF confirmed that other assets
17:19:19 cannot be viewed as reserve assets, but the Central Bank
17:19:24 of Russia itself has admitted that it had no possibility
17:19:27 to prevent the immobilisation of its foreign currency
17:19:30 reserves and assets, specifically because, and I quote,
17:19:32 "non-cash currency is always reflected in correspondent
17:19:37 accounts in foreign banks".
17:19:42 Non-cash currency, euro, is in Europe. And there,
17:19:47 further, transfers is monitored by the correspondent
17:19:52 European bank complying with the sanctions.
17:19:57 Today PPD claim that its non-cash payment in euro to
17:20:00 Russia contributes to the stabilisation of the Russian
17:20:03 rouble, without CBR's intervention. This contradicts
17:20:09 the wording of article 584. Article 584 applies to
17:20:12 reserves and assets of the Central Bank of Russia. This

17:20:16 means that the reserves and the assets must be owned by
17:20:18 the Central Bank of Russia.
17:20:21 The use of the preposition "of" clearly indicates
17:20:24 that article 5a(4) applies only to reserves and assets
17:20:27 that are owned or effectively controlled by the Central
17:20:30 Bank, and not to every foreign currency payment within
17:20:33 Russia. Clearly not.
17:20:37 If the council intended to prohibit any payments to
17:20:39 Russia that might contribute to its economy, it could
17:20:43 perfectly do that, very easy, and that has been done in
17:20:48 the past.
17:20:49 How was that done? Well, you should just impose
17:20:52 personal sanctions on the Central Bank and that's it.
17:20:55 As was done in the case of the central banks of Syria
17:20:58 and Iran. However, the council opted for a far more
17:21:02 limited prohibition, aimed specifically at freezing the
17:21:05 Central Bank's assets in Europe. It's just the
17:21:10 territorial implication of the rules of the council,
17:21:12 which is also reasonable and intuitive.
17:21:15 So PPD claims that the CBR participate, the Central
17:21:19 Bank of Russia participates in the payment mechanism and
17:21:23 this claim is totally unsubstantiated. I explained
17:21:26 today how the mechanism works in ample detail and there
17:21:30 is no Central Bank involvement as a necessary stage at
17:21:35 any of the steps at the payment mechanism realisation.

17:21:40 However, under the imperative rules of the Russian
17:21:43 law, the Central Bank is permitted to conduct foreign
17:21:46 exchange transactions only in two cases. There are two
17:21:49 cases when the Central Bank can conduct foreign exchange
17:21:53 transactions.
17:21:54 One is the so-called direct interventions, and the
17:21:58 second is pursuant to the instruction from the Ministry
17:22:01 of Finance under the so-called budget rule.
17:22:06 However, all such transactions, both under the first
17:22:09 and the second route, have been stopped in February 2022
17:22:14 for obvious reasons. There is enough evidence on the
17:22:18 record to that extent.
17:22:21 Consequently, PPD's payment under the contract were
17:22:24 in no way related to the management of the Central
17:22:26 Bank's reserves and assets, nor do they at all involve
17:22:30 the Central Bank at any stage of the transaction.
17:22:34 PPD also puts forward the argument that its payments
17:22:37 under the payment mechanism may also involve providing
17:22:41 loans or credits to the Central Bank.
17:22:44 However, PPD fails to consider that the Central Bank
17:22:47 does not participate in the payment mechanism at any
17:22:50 moment of time.
17:22:52 It also conveniently misreads the full text of
17:22:55 article 5a(2), the second part of article 5a, which
17:22:59 explicitly excludes payment for non-prohibited imports,

17:23:03 our case, exports of goods between the Union, and any
17:23:07 third state including Russia.
17:23:11 Apparently, aware of the weakness of its position on
17:23:15 the EU sanctions, PPD comes up with a fresh idea, with
17:23:22 a flawed argument that the payment mechanism was created
17:23:25 to circumvent. And what? To circumvent what? To
17:23:29 circumvent the effect of sanctions by ensuring the
17:23:33 financial stabilities of the Russian Federation.
17:23:34 Notably, none of the applicable regulations use the
17:23:39 term "effect of sanctions".
17:23:43 In fact, EU law provides a very precise definition
17:23:45 of circumvention. It's a very clear definition. And it
17:23:50 should be clear, because it entails serious
17:23:53 consequences.
17:23:55 So the EU law provides a very precise definition of
17:23:56 circumvention. That does not apply to the payment
17:23:59 mechanism at any point.
17:24:02 The definition is on the slide and as I explained,
17:24:05 the payment mechanism did not compel PPD to use,
17:24:09 transfer or dispose of any frozen funds or economic
17:24:13 resources.
17:24:15 **That is what circumvention is:** disposal, use,
17:24:20 transfer of frozen funds or economic resources.
17:24:24 If we were to go beyond the bald populism and these
17:24:29 general statements of the effects and spirits of

sanctions, we would see that the definition of circumvention is very clear and it has just nothing in common with the effects of sanctions doctrine invented by PPD.

Furthermore, the purpose of the payment mechanism was made abundantly clear. It was introduced as a special procedure for fulfilling obligations to Russian natural gas supplies.

There is actually and frankly no need for conspiracy theories or red flag guesswork by long-retired banking experts.

The reason for the creation of the decree has been explained by President Putin on the very same day the decree was adopted. It's on the record.

The reason behind the mechanism was the risk of such payments being routinely blocked by European banks due to overcompliance, and the assessment of those direct transfers which PPD now advocates for is not sufficiently transparent, especially at the beginning of 2022.

Even the GPE in these proceedings encountered numerous issues with payments regarding to arbitration, carved out of any sanctions.

Despite all of that, paying is not easy. So the goal of the mechanism was to introduce a clear scheme,

17:25:58 with the clearing house and the exchange involved, so
17:26:03 that all persons participating in the mechanism are
17:26:08 known.
17:26:08 The EU sanctions did not alter PPD payments under
17:26:12 the mechanism. The PPD extremely broad interpretation
17:26:17 of sanctions is really of no help so that to protect
17:26:22 itself from the payment obligations, because frankly
17:26:26 there are absolutely, in addition to what I said, no
17:26:29 contemporaneous documents that would make reference to
17:26:33 sanctions.
17:26:34 All this was made up solely with a view to
17:26:38 conveniently avoid payments under the guise of
17:26:41 non-existent sanctions concerns.
17:26:45 Now, with your kind permission, we will switch some
17:26:48 of the slides and my colleague Natalia will get back to
17:26:51 that, and I would like now to address the issues related
17:26:54 to CISG. Slide 76 for ease of reference.
17:27:02 Article 9.10 of the contract provides a plain remedy
17:27:05 for a situation where the payment was effected in due
17:27:10 time -- where the payment was not effected in due time.
17:27:14 The seller is entitled to suspend the deliveries of
17:27:17 gas until such payment is effected.
17:27:20 So there is a contract remedy available to the party
17:27:24 in case of non-payment in due time.
17:27:28 While claimant argues that before the decree came to

17:27:32 life, before the decree 172 was enacted, respondent had
17:27:36 never suspended supplies in response to the claimant's
17:27:39 breaches, true, nonetheless, this provision is there in
17:27:44 the contract.
17:27:46 It can barely justify the claimant's expectations
17:27:49 that respondent would never exercise this right in
17:27:52 future if the claimant keeps non-paying.
17:27:57 So this right has always been available to the
17:27:59 respondent in case of even slightest delay, regardless
17:28:04 of the decree 172.
17:28:08 Article 71(1) of the CISG provides for the same
17:28:11 right in case it becomes apparent that the other party
17:28:14 will not perform a substantial part of his obligation,
17:28:16 of its obligation, as a result of a serious deficiency
17:28:19 in its ability to perform, or its conduct in preparing
17:28:22 to perform, or in performing the contract.
17:28:26 In particular, say with respect to instalment
17:28:29 contracts, if the buyer has not paid an outstanding rate
17:28:33 for a previous delivery, the seller is entitled to
17:28:36 suspend further supplies.
17:28:38 The claimant's failure to pay for the earlier, say
17:28:42 September 2022 supply, and its express refusal to pay in
17:28:47 accordance with the decree thereafter, made it apparent
17:28:50 to the respondent that claimant could not perform its
17:28:53 obligations under the contract ever since.

17:28:56 Importantly, both rules, contractual and the CISG,
17:29:00 refer to the more failure to perform, unlawful or not.
17:29:04 Hence, even if PPD was for any reason excused for its
17:29:10 failure to pay, GPE would still have the right to
17:29:14 suspend.
17:29:17 Another feature of the CISG which does not favour
17:29:21 claimant's case is that the modalities of payment,
17:29:23 currency, time, procedure, et cetera, are also outside
17:29:27 of the scope of the discussion about the lawfulness of
17:29:30 the GPE suspension.
17:29:31 The CISG clearly distinguishes the obligation to pay
17:29:35 in accordance with all requirements of the contract and
17:29:38 the other applicable formalities as provided in
17:29:41 article 54, from the obligation to pay in principle
17:29:45 under article 53. The buyer's inability to fulfil all
17:29:49 requirements and pay properly under the contract and
17:29:52 applicable laws does not relieve it from an obligation
17:29:56 to pay in principle.
17:29:58 Accordingly, putting the claimant's case at its
17:30:01 highest, and assuming that it was not bound to comply
17:30:04 with the decree 172, that it did not accept the
17:30:08 modification, or that the modification was invalid or
17:30:11 that claimant had another ground for lawful non-payment
17:30:14 for September and October supplies -- while only
17:30:17 hypothetically because the claimant has not pleaded any

17:30:20 other defences so far -- respondent was still entitled
17:30:25 to suspend the supplies as of 31 October 2022.
17:30:31 Alternatively, GPE was entitled to suspend supplies
17:30:35 by virtue of force majeure.
17:30:39 Under both article 11 of the contract and article 79
17:30:44 of CISG, the impediment, force majeure, is an event or
17:30:49 circumstance that affects performance of one of the
17:30:52 parties and, one, was beyond its control, two, was not
17:30:56 reasonably foreseeable at the moment of the conclusion
17:30:59 of the contract, three, could not be avoided or
17:31:02 overcome.
17:31:04 Decree 172 provided for the prohibition of supplies
17:31:08 to foreign buyers who failed to comply with its payment
17:31:12 obligations. So this prohibition was not blanket, it
17:31:15 applies only if the buyer failed to pay in accordance
17:31:18 with the decree 172.
17:31:20 Hence, while the decree 172 was issued on 31 March,
17:31:25 the force majeure event in the present case crystallised
17:31:30 at the moment when PPD refused to comply with the
17:31:32 payment mechanism. And that triggered the prohibition
17:31:37 under the decree.
17:31:39 Claimant's key objection goes to the first
17:31:41 criterion. The claimant challenges the respondent
17:31:44 entitlement to rely on the decree as force majeure due
17:31:47 to, I quote, "complete unity of interest between Gazprom

17:31:52 and the Russian Federation".
17:31:54 Well, according to PPD, that does not allow GPE to
17:31:59 say that the decree 172 was beyond its control.
17:32:03 The claimant's argument that the effects of the
17:32:05 decree could be avoided or overcome by GPE equally
17:32:09 dwells on the alleged unity of GPE and the Russian
17:32:11 State, so we would have to comment on that.
17:32:15 The argument however does not have any legal merit.
17:32:18 The most straightforward and important argument here is
17:32:22 the text of the contract itself.
17:32:25 The corresponding provision is here on the slide.
17:32:30 Article 11.2(vi) expressly refers to the actions of
17:32:31 the Russian Government as a possible force majeure
17:32:38 **event. It specifically says:** if that is done by the
17:32:42 Russian Government, that is force majeure.
17:32:45 This contract was signed in 2017. The same Russian
17:32:51 Government had a major stake in Gazprom mother company
17:32:55 at all times, including in 2017, when the contract was
17:32:59 agreed and signed.
17:33:01 So hence, this circumstance alone cannot possibly
17:33:05 bar respondent from leading force majeure defence.
17:33:12 Second argument is that in any event, respondent has
17:33:16 separate legal personality from Gazprom PJSC, and the
17:33:20 Russian State as such shall be presumed to be
17:33:23 independent from both and be entitled to raise the same

17:33:26 claims and defences as private companies do, unless
17:33:29 proven otherwise.
17:33:32 The presumption may only be overridden in limited
17:33:34 cases, and the burden of proving of this case is
17:33:41 a pretty high threshold.
17:33:45 It lies with the claimant. Contrary to the
17:33:48 claimant, the presumption is to the opposite. The
17:33:50 separate legal personality of an entity is the
17:33:54 presumption and if you want to demonstrate the contrary,
17:33:59 a lot of evidence has to be provided and assessed so
17:34:04 that to be sufficient.
17:34:08 On the question of whether the general presumption
17:34:10 of separate legal personality can be rebutted, in which
17:34:13 cases both parties relied on the so-called Bockstiegel
17:34:19 test. That was already mentioned today. Well, it
17:34:21 essentially represents a number of reasoned conclusions
17:34:24 of Prof Bockstiegel, based on analysis of cases where
17:34:30 those issues arose.
17:34:32 This set of conclusions was adopted by many
17:34:34 tribunals as an authority guidance. Clearly the
17:34:37 tribunal is not bound by this test, but to begin with,
17:34:41 we shall clarify that what claimant presents as two
17:34:46 tests, general law and administrative law, is in fact
17:34:51 a rule for the allocation of the burden of proof, rather
17:34:54 than a substantive criterion allowing to define whether

17:34:57 it was a general law or administrative law. That we'll
17:35:01 look at.
17:35:02 Under rule A of this Bockstiegel test, if an act
17:35:06 qualifies as administrative act, the presumption is that
17:35:10 it does not constitute force majeure for a state
17:35:13 enterprise, and the latter therefore bears the burden of
17:35:18 proving the opposite.
17:35:20 So if it's an administrative act, the presumption is
17:35:24 that the act which is administrative does not constitute
17:35:28 force majeure, and the enterprise has to rebut the
17:35:32 charge.
17:35:33 In particular, the presumption may be rebutted by
17:35:36 the fact that the administrative act was based on
17:35:39 general considerations.
17:35:43 Under rule B, if an act qualifies as a general law,
17:35:47 the presumption is that a state enterprise may invoke
17:35:51 force majeure and the other party shall disprove it.
17:35:55 However, what constitutes a general law and general
17:35:58 considerations is a different question.
17:36:01 The answer to this question lies with the purpose of
17:36:03 the public act and the interests pursued by the state in
17:36:06 its adoption.
17:36:08 So essentially, the tribunal needs to establish an
17:36:11 abuse of public authority for commercial benefit of the
17:36:15 state as a shareholder of a state company, that the

17:36:19 state abused its public authority to meet its commercial
17:36:22 interests, to find that the state enterprise is barred
17:36:27 from invoking the state act as a force majeure event.
17:36:30 That is what is needed.
17:36:33 The case law on the question of whether the state
17:36:36 enterprise is allowed to invoke state act as an event of
17:36:41 force majeure is telling. Due to the time constraints
17:36:43 I will clearly not stop at each of these cases. The
17:36:47 analysis was set out in detail in section C1 of the
17:36:51 GPE's rejoinder.
17:36:52 I would only like to note that this table summarises
17:36:55 the findings of different tribunals on criteria that are
17:36:58 usually considered relevant for the matter and that were
17:37:05 particularly raised by the claimant.
17:37:09 As we can see, the tribunals do not recognise any
17:37:12 presumption that an entity where the state has a share
17:37:14 is automatically barred from invoking the state's action
17:37:18 as force majeure. No.
17:37:20 Rather, they would meticulously engage in
17:37:23 a case-by-case analysis to ascertain whether they can
17:37:27 depart from the presumption of separate legal
17:37:30 personality and declare that the state's act constitute
17:37:33 an abuse and, as such, cannot excuse the state's
17:37:37 enterprise failure to perform.
17:37:40 The case law indicates that neither the level of

17:37:45 state's stake or other indication of state's control
17:37:49 over the enterprise, nor the state involvement in the
17:37:53 conclusion and performance of a particular contract, nor
17:37:56 the scope of application of the state act, whether it
17:38:00 applied to other entities, but for the responding party
17:38:03 in that dispute, were decisive. None of these three
17:38:07 were decisive for the question of whether a state
17:38:09 enterprise may rely on force majeure or not.
17:38:12 The decisive factor was the purpose of the public
17:38:15 act, whether the purpose was to meet general public
17:38:19 policy considerations.
17:38:23 So if the purpose is to meet general public policy
17:38:26 considerations, and the measure was not found to
17:38:29 constitute an abuse, then the state entity was always
17:38:35 allowed to invoke force majeure.
17:38:38 The decree 172 was exactly such a measure that
17:38:42 pursued a general public policy goal. Why the
17:38:45 decree 172 was applicable only to contracts for export
17:38:48 of natural gas? It was adopted in a range of other
17:38:52 presidential decrees issued in 2022 to tackle or
17:38:56 mitigate the risks of foreign trade transactions.
17:38:58 It follows directly from the preamble of the decree,
17:39:01 which refers to four other decrees adopted earlier that
17:39:05 year with the same goal. So this decree is part of
17:39:09 a package of measures developed by the Russian

17:39:12 Government and it is not a standalone document developed
17:39:17 somehow to the benefit of GPE.
17:39:21 Meanwhile, absolutely no benefit was gained by the
17:39:24 Russian Federation as a shareholder of GPE as well. No
17:39:28 commercial interests of the Russian Federation as
17:39:30 a shareholder of Gazprom PJSC got protected through this
17:39:35 decree.
17:39:36 Contrary to the claimant's misconception, it cannot
17:39:39 be presumed that the Russian State always acts in the
17:39:42 interests of Gazprom mother company or any other company
17:39:45 where it holds a share.
17:39:47 State measures adopted for public policy reasons,
17:39:49 the public interest, are really precluded by the risk of
17:39:54 pecuniary losses on the part of the state-owned
17:39:57 enterprise and the state as a shareholder. It's
17:40:00 a private interest.
17:40:01 That was exactly the case with the decree 172 as
17:40:04 well as many other instances where the Russian
17:40:06 Federation acted in the public interest and contrary to
17:40:10 the interest of the state-owned company and itself as
17:40:13 a shareholder, if we were to think of it maximising
17:40:18 profit as a shareholder of Gazprom Export. Well,
17:40:22 remotely.
17:40:23 GPE, PJSC Gazprom and its shareholders, including
17:40:28 the Russian Federation, did not really benefit from the

17:40:31 adoption of the decree.
17:40:32 Why so? GPE now has to -- well, to begin with, it
17:40:35 is not released from an obligation to supply gas. The
17:40:41 contractual price and the conditions of payment, other
17:40:44 than the payment mechanism, do not change to the benefit
17:40:47 of GPE. GPE did not obtain any contractual rights, but
17:40:51 only new obligations.
17:40:53 Even the alteration of the payment mechanism under
17:40:55 the modification cannot be said to benefit GPE, as this
17:40:59 mechanism did not increase the price, did not hasten the
17:41:01 moment of the payment. On the opposite, it took effort,
17:41:06 cost, for GPE to comply with the decree, and actually it
17:41:11 had to deal now with a lot of contracts with foreign
17:41:14 buyers and some of them, unlike PPD, refused to continue
17:41:18 the contracts on the new conditions and they did it
17:41:22 straightaway and opted for termination. That's how
17:41:25 diligent counterparties act.
17:41:28 So it contributed ultimately to the historical net
17:41:32 loss of Gazprom group, actually at an amount of
17:41:37 USD 7 billion in 2023.
17:41:40 So it is also worth reminding that in this
17:41:45 particular dispute, it is GPE who ended up with an
17:41:49 undisputed loss of over 350 million, which PPD plainly
17:41:54 refuses to pay for two months of gas supplies.
17:41:57 In this vein, claimant's points on the complete

17:42:01 unity of interest between Gazprom and the Russian
17:42:04 Federation is remarkably ignorant. The claimant's
17:42:08 suggestion that the interests of the Russian State was
17:42:11 in protecting Gazprom revenues from sanctions is
17:42:16 nonsensical, as decree 172 has in fact done the
17:42:20 **opposite:** negatively affected those revenues.
17:42:28 Now, the claimant also raises a new argument in its
17:42:33 recent submission suggesting that GPE actually was not
17:42:38 able to perform because it was supposed to explore the
17:42:43 alternatives, which we can see on the slide.
17:42:46 So the claimant suggests that GPE European
17:42:48 subsidiaries should have been used to procure gas at
17:42:52 European hubs and supply it to PPD for euros, or GPE
17:42:57 European subsidiaries should have supplied GPE gas to
17:42:59 PPD for euros and paid to GPE via payment mechanism.
17:43:03 Well, none of this, however, from a legal standpoint, is
17:43:08 any alternative form of performance.
17:43:11 First, it is well established in CISG that the
17:43:15 seller's obligation consists either in despatch of the
17:43:18 goods to the buyer, or in placing the good at the
17:43:21 buyer's disposal, making it available. Arranging and
17:43:26 ensuring that these actions are carried out in favour of
17:43:28 the buyer by a third party, who is not a party to the
17:43:32 contract, cannot be considered to constitute performance
17:43:35 of the seller's obligation. It's not performance.

17:43:40 Yes, the assignment of right or obligations is
17:43:42 possible and it was in principle permitted under the
17:43:46 contract. That is not disputed.
17:43:48 However, that by no means would have qualified as
17:43:51 performance of the seller obligations, in the sense of
17:43:55 article 30 of CISG governs the seller's obligations, and
17:43:59 article 79, force majeure.
17:44:02 In this regard, Prof Perner's opinion that contract
17:44:05 transfer was a commercially reasonable substitute, well,
17:44:07 potentially commercially, yes, but then the respondent
17:44:14 was not obliged to seek and propose to claimant, because
17:44:18 this reasonable commercial substitute has no support in
17:44:22 the applicable legal framework. It is untenable.
17:44:26 It is no surprise that none of the authorities
17:44:28 brought up by Prof Perner actually suggested transfer of
17:44:32 contract as a substitute.
17:44:34 Second, this suggestion, to transfer the contract to
17:44:38 the EU subsidiary, contradicts claimant's own arguments
17:44:42 on EU sanctions. That is the most cherished baby in
17:44:47 this case theory.
17:44:48 If claimant was right in its allegation that the
17:44:51 payment mechanism contravened EU sanctions, an
17:44:55 assignment of contract by GPE to a 100 per cent
17:44:58 controlled subsidiary only to avoid application of this
17:45:01 mechanism would, under the claimant's own interpretation

17:45:05 of sanctions, qualify as circumvention of EU sanctions
17:45:12 falling within that definition.
17:45:14 Third, this would be in any event a temporary
17:45:18 solution, as to the best of our knowledge GPE has pretty
17:45:21 soon lost control over its European subsidiaries, as
17:45:25 claimant itself notes in the rejoinder.
17:45:29 Finally, claimant's objection dwells on the lack of
17:45:34 force majeure notification. As argued by the respondent
17:45:38 from the outset, the CISG approach to notification is
17:45:42 that of substance and not the form.
17:45:45 Hence, if the notification met the purposes and was
17:45:49 sufficiently clear to inform the party of the
17:45:51 impediment, the affected party has discharged the duty.
17:45:57 What has to be done is that notification needs the
17:46:01 purposes and is sufficiently clear to inform the party
17:46:04 of the impediment.
17:46:06 This was done initially on 1 April 2022 when
17:46:10 respondent flagged the impediment to claimant.
17:46:13 However, at that point the impediment did not
17:46:15 produce effect on the respondent's ability to perform,
17:46:18 because claimant agreed to renegotiate, to adapt the
17:46:25 contract to overcome the obstacle and prevent the
17:46:27 prohibition of supplies.
17:46:29 Then on 3 November 2022 the claimant refused to
17:46:34 continue with this adjustment and now failed to pay for

17:46:37 the September 2022 supplies.
17:46:41 This triggered the prohibition under paragraph 1 of
17:46:44 the decree 172. GPE receives an order from the central
17:46:48 customs authorities confirming that GPE was simply
17:46:52 obliged to stop the supplies from 1 November 2022
17:46:56 onwards, of which GPE notifies PPD immediately.
17:47:02 This constitutes a genuine notice of force majeure
17:47:04 in a sense that it was made already after the force
17:47:07 majeure produced effect on the particular performance of
17:47:11 the respondent under the contract, although it is
17:47:14 important that respondent has been diligently and in
17:47:17 good faith flagging the possibility and conditions of
17:47:20 such event, the prohibitions of supplies, in its letter
17:47:24 of 1 April, in its letter of 5 May, in its letter of
17:47:29 31 October when it reminded the claimant about the
17:47:32 payment due date. No measures were adopted by the
17:47:36 claimant to address this obstacle.
17:47:40 That concludes my part of the submission and I will
17:47:42 hand over to my colleague Natalia Soldatenkova, thank
17:47:48 you.
17:47:49 Opening submissions by Ms Soldatenkova
17:48:03 **MS SOLDATENKOVA:** How much time do we have left so that
17:48:05 I can properly time myself? I think it should be around
17:48:13 one hour, but I'm not sure about the minutes precisely.
17:48:22 **PRESIDENT:** 58 minutes.

MS SOLDATENKOVA: Perfect.

PRESIDENT: Roughly 58 minutes. It could be round up or down by 1 minute.

MS SOLDATENKOVA: I will try to be as brief as possible, and maybe some of the subjects --

PRESIDENT: Take your time, you have the time.

MS SOLDATENKOVA: On some of the subjects, you will have to hear more from the experts and maybe in the closings submissions, as far as they concern the legal expertise.

Now, moving to the next slide, the tribunal has already been addressed on the timeline and when the supplemental claim was submitted.

Next slide.

My screen works a little bit slower. Sorry for this.

Now, the tribunal has already been updated on the matter and the supplemental claim was in fact never part of the original request for arbitration. And even in the public communications, after the parties' dispute broke out, the claimant's beneficiary and the president of the management board never mentioned that there is in fact any grievance in relation to GPE in relation to the events in 2021 and 2022.

This is it for the historical aspect of that claim.

The claim, as the tribunal will see on the next

17:49:27 slide, also changed very substantially.
17:49:30 So if initially in the present case claimant
17:49:35 submitted three separate grounds of claims, including
17:49:37 lockout from auction pricing and abusive discrimination
17:49:40 and leveraging through subsidiaries, well, in the
17:49:44 statement of claim, on 4 April 2024, all of these claims
17:49:48 were dropped, and the only claim which is remaining in
17:49:51 these proceedings relates to this alleged unlawful
17:49:55 capacity withholding.
17:49:56 Now, enough for history, and we will move, if we can
17:50:00 go back to the previous slide, and I will briefly
17:50:03 address the tribunal with the structure of the
17:50:05 respondent's objections in relation to the supplemental
17:50:09 claim.
17:50:09 So the respondent's first objection is the tribunal
17:50:14 has no jurisdiction over the supplemental claim in
17:50:17 general.
17:50:18 Second, the REMIT claim, which forms part of the
17:50:21 supplemental claim, is not arbitrable.
17:50:24 Third, even if the tribunal finds that it has
17:50:27 jurisdiction over the supplemental claim, in any event
17:50:30 the claimant failed to prove this claim in substance
17:50:34 under the applicable law. And this goes both to the
17:50:37 third and the fourth ground that the tribunal can see on
17:50:40 the screen.

17:50:41 So the claim fails both as a matter of applicable
17:50:44 competition law and REMIT, and as a matter of applicable
17:50:48 private law on which claimant bases its claim for
17:50:51 damages.
17:50:52 Finally, I will very briefly address what claimant
17:50:55 calls market manipulation damages, and show that they
17:51:00 also significantly overstate it.
17:51:02 Moving to the jurisdictional objection, and we have
17:51:04 to skip one slide one more time, the tribunal is well
17:51:12 familiar by now with the arbitration clause in clause 14
17:51:15 of the contract, and this arbitration clause contains
17:51:17 some very specific wording, which specifically says that
17:51:17 the arbitral award has to be enforceable under the New
17:51:25 York Convention.
17:51:27 The arbitration clause also points to a seat in
17:51:31 Austria.
17:51:32 What is peculiar here is that both Austrian law and
17:51:35 the New York Convention in article 2.1 contain
17:51:40 a reference to a defined legal relationship to which the
17:51:43 arbitration agreement must be linked.
17:51:45 The commentary to the New York Convention emphasises
17:51:48 that the reason why there is a reference to the defined
17:51:51 legal relationship in the convention is exactly to
17:51:55 protect the parties from unnecessarily expanding the
17:51:59 scope of potential disputes which can go to arbitration

17:52:02 instead of state courts.
17:52:04 Now, moving to the next slide, let us briefly have
17:52:08 a look at how the claimant frames its claim. In the
17:52:12 present case the arbitration clause is part of the
17:52:15 contract, it's not a separate agreement. It's contained
17:52:19 in article 14 of the contract. It also contains wording
17:52:22 referring to the contract, although respondent admits
17:52:25 that this wording is very broad.
17:52:28 Let's look at the claimant's claim.
17:52:30 Claimant does not plead that respondent committed
17:52:34 any market manipulation, any competition law or REMIT
17:52:38 violation with -- and at the same time violated
17:52:40 a contractual provision. This is not a claim the
17:52:44 claimant is making before this tribunal.
17:52:47 Claimant argues that the contractual link between
17:52:50 the supplemental claim and the contract is in fact the
17:52:54 contract price, which increased because, as per
17:52:58 claimant, respondent's actions were the reason behind
17:53:01 the rise of the TTF index. And the contract price was
17:53:05 linked to that TTF index.
17:53:08 Now, that could have been the case if the
17:53:10 supplemental claim by claimant remained in its original
17:53:14 form as when it was filed on 28 August 2023.
17:53:20 At this time, when the claimant first announced its
17:53:23 competition law and REMIT claims, it indeed asked to be

17:53:26 compensated for the excessive payments, because the
17:53:30 contract price rose because of the TTF index price.
17:53:34 Now, in the present documents, so how the
17:53:39 supplemental claim developed for instance in the
17:53:41 statement of -- in the claimant's latest submission,
17:53:44 which is the statement of reply, the tribunal can see
17:53:48 the wording in the slides. So this is the only type of
17:53:51 relief that the claimant is asking for with respect to
17:53:55 the supplemental claim.
17:53:57 Claimant does not seek any excessive contractual
17:54:00 payments. Claimant seeks to recover damages which
17:54:04 relate to its relations with third parties, who stopped
17:54:09 purchasing gas from claimant, who failed to pay for
17:54:12 supplies, who refused to patch PPD's transactions.
17:54:17 In theory, such claims could be brought against GPE,
17:54:19 although not arbitration but to a national court, even
17:54:23 in the absence of the contract and even in the absence
17:54:28 of the arbitration agreement.
17:54:30 If we can move to the next slide.
17:54:32 The tribunal will see one of the precedents on which
17:54:35 claimant relies quite heavily, which is a decision by
17:54:37 the Austrian Supreme Court in 2020.
17:54:42 Now in that case, the national court indeed found
17:54:47 that the arbitration agreement covered the competition
17:54:50 law claim. But there was one important difference,

because the competition law violation in that case, actually as per the claimant's position in that case, affected the validity of the contract.

In the present case it arguably applies to one of the claimant's objections against the validity of the modification, which is abuse of dominance, and respondent does not challenge jurisdiction with respect to that objection to the modification.

Respondent challenges jurisdiction only with respect to the supplemental claim and also the claims under article 102 of the Treaty on the Functioning of the European Union and REMIT in relation to the events of 2021 and 2022.

We will focus more on them throughout the presentation.

To explain why there is no in fact requirement of the defined legal relationship, claimant's expert Dr Koller referred to the European Convention, although the tribunal considers respondent's pleadings in that respect and this is addressed quite in detail on them.

European Convention in fact rather reinforces respondent's position, because European Convention, as the drafting documents do clearly demonstrate, actually presupposes that it applies to disputes which are considered to be commercial in nature.

17:56:15 This commerciality of disputes is determined in
17:56:17 accordance with the law of the parties to the dispute or
17:56:20 the parties to the arbitration agreement.
17:56:23 In the present case I cannot for sure speak for
17:56:26 Croatian law, although I understand that the Croatian
17:56:28 law situates competition law disputes as non-arbitrable,
17:56:31 but under Russian law those disputes are not considered
17:56:35 to be commercial, they are completely public in nature.
17:56:37 And for that reason, even if we consider the European
17:56:41 Convention as the other side suggested, that would
17:56:44 rather support the respondent's position that the
17:56:46 supplemental claim in fact falls outside the tribunal's
17:56:50 jurisdiction.
17:56:51 Now I will briefly address, if we move to the next
17:56:53 slide, claimant's proposition that here the parties had
17:56:58 an intention not to split disputes.
17:57:01 In fact, there is neither general agreement to
17:57:04 arbitrate in the present case, nor a one-stop forum, or
17:57:09 any other presumption that there is no split
17:57:11 jurisdiction between different categories of disputes.
17:57:14 This is because in the present case, the arbitration
17:57:17 clause is contained in a contract, whereas Austrian law
17:57:22 clearly identifies two options how to conclude an
17:57:24 **arbitration agreement:** either by concluding it as
17:57:28 a separate document, or by including a clause in

17:57:30 a contract. And if the parties want a universal
17:57:34 arbitral agreement, what claimant calls a general
17:57:37 agreement, it seems like having a separate document
17:57:40 could be an illogical solution.
17:57:42 This is especially so in the present case, because
17:57:44 I don't want my argument to appear formalistic, because
17:57:47 the parties also entered into the gas transportation
17:57:51 agreement, which was concluded just I think a couple of
17:57:54 weeks after the contract, and the gas transportation
17:57:58 agreement includes a completely different arbitration
17:58:02 clause, which the tribunal can see on the screen. In
17:58:05 particular it provides for a Swiss-seated arbitration.
17:58:09 What is very important, and the claimant emphasised
17:58:12 it itself, both arbitration clauses are not
17:58:15 standard-template arbitration clauses. They were
17:58:18 drafted by the parties. So the parties clearly did not
17:58:21 have an intention, which claimant now suggests, to have
17:58:25 one-stop forum for all source of disputes.
17:58:33 This swiftly brings me to the next objection in
17:58:36 relation to jurisdiction, which concerns in particular
17:58:39 REMIT.
17:58:40 I will start by addressing the difference between
17:58:43 REMIT and article 102 of the TFEU, because in fact in
17:58:47 the claimant's submission it was largely conflated and
17:58:50 claimant usually does not distinguish between the two,

17:58:52 although these are two very separate and very distinct
17:58:57 instruments.
17:58:58 So first of all, article 102, together with
17:59:02 article 101, is actually the pillar of European
17:59:07 competition law. They represent European competition
17:59:08 law.
17:59:10 By contrast, REMIT regulation is based on a
17:59:13 different provision of the TFEU, namely article 194,
17:59:18 which is part of TFEU's energy chapter.
17:59:23 So REMIT in essence is concerned with the provision
17:59:26 of harmonised rules for wholesale energy market
17:59:29 transparency and integrity. It is not concerned with
17:59:33 setting out the competition law rules.
17:59:36 Now, we also have quite distinct regimes in terms of
17:59:41 violations and how they established.
17:59:43 Article 102 is concerned with abuse of dominance on
17:59:47 a relevant product and geographic market.
17:59:50 Article 1(2) of the REMIT expressly indicates that
17:59:54 its provisions are without prejudice to the application
17:59:57 of European competition law, so a breach of REMIT may be
18:00:01 completely legitimate under article 102 and vice versa.
18:00:05 And the core distinction in relation to the
18:00:08 jurisdictional objection by the respondent is in fact
18:00:11 the approach to arbitrability of those two instruments.
18:00:14 Whereas it is expressly recognised that national

18:00:18 courts are entrusted to apply competition law rules as
18:00:22 courts of first instance, REMIT has a distinct regime
18:00:26 where the function of the court of first instance is
18:00:30 entrusted to nationally regulate through authorities.
18:00:33 The tribunal can see the relevant provisions on the
18:00:35 slides and in fact it is expressly stated in
18:00:39 article 13.1 that the national regulatory authorities
18:00:43 are the bodies which shall ensure that the prohibitions
18:00:46 set out in the REMIT are applied.
18:00:53 For national regulatory authorities to be able to
18:00:55 exercise its function, national states take an
18:00:59 obligation to provide them with investigatory and
18:01:02 enforcement powers. This is what REMIT expressly says,
18:01:06 it's not even a matter of interpretation.
18:01:08 Now I envisage from the claimant's written
18:01:12 submissions what could be a potential counter-argument
18:01:14 to this, that, well, REMIT also mentions national
18:01:16 courts, and in particular its recital 31 refers to the
18:01:20 standard rules of proof and the necessity to establish
18:01:23 facts by national regulatory authorities and courts.
18:01:26 A simple response to this is that national courts
18:01:30 are not completely excluded from the REMIT framework.
18:01:34 They do have a role, but this is a role of assistance
18:01:38 and a role of appeal, and this is what is exactly stated
18:01:42 in articles 13.2 and 14 of the REMIT. The tribunal can

18:01:47 see those provisions in a simplified and shortened form
18:01:50 on the screen.
18:01:51 There is no other role that national courts are
18:01:54 provided with under REMIT.
18:01:57 Moving now to the next slide to show briefly the
18:02:03 objectives of REMIT also support the reading that it is
18:02:08 only a national regulatory authority that is entitled to
18:02:12 establish an infringement under REMIT.
18:02:15 And to move to the next point, to briefly address
18:02:20 the authorities which were relied upon by claimant in
18:02:23 the present case.
18:02:27 Now, the key in relation to how the claimant framed
18:02:30 this case on arbitrability of REMIT is that claimant
18:02:33 failed to bring at least one example where REMIT was
18:02:36 applied either by a national court or by a tribunal as
18:02:40 a court of first instance. And when I say "apply",
18:02:43 I mean when infringement was established by a national
18:02:47 court or tribunal.
18:02:49 This is for a reason.
18:02:51 Respondent exhibited a collection of enforcement
18:02:54 decisions from the ISA website. There are no such
18:02:56 decisions. Simply none. This is because of the wording
18:03:00 of the REMIT, because the REMIT provides that
18:03:02 infringements are to be established by the national
18:03:05 regulatory authorities.

18:03:07 Now, claimant and its expert Dr Koller provided
18:03:11 a variety of examples, which were supposed to support
18:03:16 the proposition that REMIT is arbitrable.
18:03:19 Now, the issue with these examples is as follows.
18:03:22 All of them, including the cases which claimant
18:03:25 screen-shared today, or rather demonstrated today as
18:03:27 part of its presentation, concern articles 101 or 102 of
18:03:33 the Treaty on the Functioning of the European Union,
18:03:33 which is European competition law, and as already
18:03:40 explained, which is actually arbitral, which is
18:03:42 expressly recognised in the relevant provisions.
18:03:46 Those cases do not concern REMIT, which has
18:03:48 a separate regime.
18:03:50 Equally, reference to Austrian case law and
18:03:51 legislation in this respect are irrelevant. With
18:03:56 respect to article 1311 of the Austrian Civil Code, this
18:04:00 is a special tort clause which provides the rules for
18:04:04 compensation for private persons if a violation of
18:04:06 a protective law is established.
18:04:09 What is key here is that this governs the private
18:04:12 law damages after the infringement is established.
18:04:16 Article 1311 cannot serve as a basis to allow the
18:04:20 tribunal or national court to establish an infringement
18:04:24 as a court of first instance, and this is what claimant
18:04:27 is inviting this tribunal to do.

18:04:30 Now, one last point in this respect is perhaps that
18:04:35 even if Austrian law did contain any provisions to the
18:04:38 contrary which could be interpreted as potentially
18:04:41 allowing to submit REMIT disputes, disputes arising from
18:04:46 REMIT, infringements to arbitration, then the principle
18:04:49 of primacy of European law, of which REMIT forms part,
18:04:54 would override such provisions of national law.
18:04:58 Now moving to the next slide, claimant also referred
18:05:01 to the Munoz decision of the Court of Justice of the
18:05:04 European Union. Now, that case is quite different from
18:05:07 the present one for several reasons.
18:05:09 First of all, that case concerned different
18:05:12 regulations, which contained quality standards
18:05:15 applicable to fruit and vegetables. Quite different
18:05:18 from wholesale energy markets, you would agree.
18:05:22 Now, in that particular regulations, there were no
18:05:26 provisions on enforcement, just some very general
18:05:29 wording that there can be inspections and checks and
18:05:31 that they would be conducted by authorities appointed by
18:05:35 each member state. So basically, if you sell rotten
18:05:37 tomatoes, you get a fine. That is what those
18:05:40 regulations said.
18:05:41 Now REMIT, as I already mentioned, has a quite
18:05:44 detailed enforcement regime. It contains a variety of
18:05:47 provisions which govern cooperation between the national

regulatory authorities, the relations between ISA and national regulatory authorities, so it's a completely different situation.

Finally, and this is perhaps key in the present case, is that the referral in the Munoz case specifically concerned an ability to claim private law damages.

So the infringement itself of those relevant regulations was considered by the defendant. It was not in dispute. The court of justice simply needed to say, well, what do you do if you infringed those regulations concerning food quality, and whether you can bring a private law claim if such infringement is already established. And the present case is very different from this.

Respondent does not dispute that once a REMIT violation has been found by a competent national regulatory authority, claimant could in principle pursue civil damages.

But this does not mean the tribunal has competence to establish the infringement which could eventually give rise to such damages.

This power is reserved to national regulatory authorities.

And just for the record, there has been no decision

18:07:03 against respondent by any national regulatory authority
18:07:06 in relation to the events which is the subject of the
18:07:09 supplemental claim.
18:07:13 This answered jurisdictional objections and now we
18:07:16 shall go to the merits of the supplemental claim.
18:07:21 We will start with briefly addressing the burden of
18:07:23 proof, which is extremely high in the present case and
18:07:28 that will apply both to article 102 and to REMIT.
18:07:32 So European Union's charter provides that everyone
18:07:36 who has been charged shall be presumed innocent until
18:07:39 proved guilty according to law. And the case law of the
18:07:42 court of justice as well as the wording of the REMIT
18:07:45 support the proposition that this provision is
18:07:48 applicable to any allegations of violations of
18:07:52 competition law or REMIT.
18:07:54 Now in the present case and based on the case law,
18:07:56 PPD bears burden to override presumption of innocence,
18:08:00 to prove breach and its causal link with GPE's conduct
18:08:05 beyond any doubt and to adduce specific and tangible
18:08:10 evidence. Respectfully, this has not been done.
18:08:13 I will start by addressing a violation under
18:08:15 article 102.
18:08:18 On the next slide the tribunal will see three layers
18:08:21 which have to be passed before use of dominance under
18:08:25 article 102 can be established, and the burden of

18:08:28 proving those three elements lies on the claimant.
18:08:32 So, first, the claimant needs to define the relevant
18:08:35 market. Second, it needs to establish respondent's
18:08:39 dominance on the relevant market. And finally, it needs
18:08:43 to prove abuse, because being dominant itself is not
18:08:46 a violation.
18:08:49 Importantly, all this has to be done in the relevant
18:08:52 period.
18:08:54 The relevant time period is actually a very
18:08:56 important point because it will eliminate a lot of
18:08:59 discussion both between the experts and between the
18:09:01 parties.
18:09:02 The market definition notice at paragraph 18
18:09:06 contains a very clear wording that the competitive --
18:09:10 when you assess a breach, what has to be assessed is the
18:09:15 position of the market participant of the undertaking at
18:09:17 the time of the conduct which is alleged to be a breach.
18:09:21 In the present case, as the tribunal can see from
18:09:23 the snapshots of the claimant's position on the slide,
18:09:26 claimant submits that the breaches occurred in 2021 and
18:09:32 2022.
18:09:34 The claimant's expert Dr Riechmann did not conduct
18:09:37 his own analysis of the relevant time period. As
18:09:40 clearly follows from his instructions, he was instructed
18:09:44 to consider 2017 as well. That is expressly stated in

18:09:49 paragraph 26 from his first report, as the tribunal can
18:09:54 see on the screen.
18:09:55 Now, as it is alleged that respondent's breaches
18:09:59 were committed in 2021 and 2022, this is the only
18:10:04 relevant periods for the discussion.
18:10:07 Moving to the next slide, the relevant product
18:10:10 market in the present case is PNG and LNG.
18:10:13 The market definition notice -- and this was already
18:10:16 quoted by the claimant today -- clearly provides that
18:10:20 the relevant product market comprises all those products
18:10:24 that customers regard as interchangeable or
18:10:28 substitutable and the particular substitutability
18:10:31 conditions include characteristics, such as prices and
18:10:34 the intended use.
18:10:36 Now Prof Dr Hildebrand concludes that similarities
18:10:40 between LNG and PNG certainly far outweigh any
18:10:44 differences, because the key difference is a long
18:10:47 distance transportation mode.
18:10:49 Of course PNG is transported as a gaseous substance,
18:10:51 whereas LNG is transported as a liquid.
18:10:56 All other points are in fact in common. So short
18:10:59 distance transportation would also be a pipeline. The
18:11:03 product is the same gas molecules. And the purpose of
18:11:06 consumption is also the same.
18:11:08 In fact, claimant's own experience points to the

18:11:11 similarity between PNG and LNG. Because claimant just
18:11:15 as many other European gas buyers, purchases both LNG
18:11:19 and PNG, substitutes PNG with LNG, and even swaps PNG
18:11:25 with LNG.
18:11:27 Moving to the next slide, the tribunal can see
18:11:32 a letter which I think was not mentioned in the
18:11:34 claimant's pleadings today, albeit it is very important
18:11:36 with respect to both the parties' market positions and
18:11:41 claimant's contemporaneous position on the relevant
18:11:43 product market.
18:11:45 This is a price revision request that claimant sent
18:11:48 respondent on 12 December 2020.
18:11:52 In this press revision request, claimant
18:11:55 specifically relied on the rise of LNG input in Europe,
18:11:58 as well as the opening of the Krk terminal in the
18:12:00 beginning of 2021.
18:12:04 From the claimant's explanation, it clearly follows
18:12:07 that already in the end of 2020, that is before the
18:12:12 opening of the Krk terminal, claimant already considered
18:12:15 that LNG was putting a competitive pressure on PNG
18:12:19 price wise.
18:12:21 Ultimately, that price revision was granted as the
18:12:23 tribunal will see a little bit further in the pleadings.
18:12:28 If we move to the next slide, we can see an
18:12:34 interview or a snapshot from the interview with

18:12:37 claimant's beneficiary, Mr Pavao Vujnovac, where he also
18:12:40 commented on PPD's position vis-a-vis LNG.
18:12:44 And specifically he noted that the (unclear ...) for
18:12:47 PPD has increased. That PPDPNG buys gas from diverse
18:12:52 sources, including European stock exchange, and through
18:13:00 terminal at Krk. And that in fact he also emphasises
18:13:03 that they do have a stable supply. But the tribunal
18:13:06 will see some snapshots from this article further.
18:13:09 So claimant itself relies on this (unclear ...)
18:13:11 between LNG and PNG throughout these pleadings.
18:13:16 Claimant's witnesses concede replacing PNG with LNG.
18:13:19 And as claimant noted today and if this is also
18:13:23 confirmed by the calculations, at least one-third of
18:13:26 those replacement transactions was concluded
18:13:29 specifically at LNG terminal.
18:13:31 The next slide briefly addresses the position of the
18:13:34 Dr Riechmann in this respect, where he leaves this
18:13:37 question open, but at the same time concedes that since
18:13:41 January 2021, LNG may have been part of the relevant
18:13:45 product market.
18:13:46 There is also a snapshot from the relevant report in
18:13:49 relation to LNG specifically which was co-authored by
18:13:53 Dr Riechmann in 2020.
18:13:55 And this report cites some relevant case law in this
18:13:58 respect, which specifically says that following the

18:14:01 opening of infrastructure for LNG, LNG would constitute
18:14:06 a direct competitive constraint to gas imported by
18:14:10 pipeline.
18:14:11 It is not disputed fortunately between the parties
18:14:13 that Krk terminal did open in January 2021. And
18:14:17 following this period, LNG and PNG are clearly two
18:14:22 sources equally available in Croatia and that possibly
18:14:26 ends the discussion on this matter.
18:14:28 Now we will move to the relevant geographic market.
18:14:35 With respect to the relevant geographic market,
18:14:38 claimant has already cited to the relevant criterion,
18:14:40 which is whether the conditions of competition are
18:14:44 sufficiently homogeneous.
18:14:46 In the present case, I would just point to several
18:14:51 sources the tribunal could have in mind in this respect,
18:14:53 and which were treated as relevant by Prof Dr Hildebrand
18:14:57 in her reports in which respondent relies.
18:15:00 So first of all, the practice of the commission in
18:15:03 relation to gas markets so far includes no conclusive
18:15:08 findings where a relevant geographic market would be
18:15:11 found larger than a national one.
18:15:14 So claimant already referred to the Gazprom decision
18:15:17 2018, where Hungary was treated as a national market.
18:15:21 Although different positions with respect to larger
18:15:23 markets were considered in the practice of the

18:15:25 commission, there is no conclusive finding -- and
18:15:28 I emphasise conclusive finding -- that there is a market
18:15:31 that is larger than national.
18:15:33 Now Prof Dr Hildebrand also observes that conditions
18:15:37 of competition in Croatia and Hungary are not
18:15:39 homogeneous.
18:15:40 And to conclude this, to make this conclusion, she
18:15:43 conducts two types of comparisons between the prices in
18:15:47 Hungary and in Croatia.
18:15:49 And there are also other factors, including factual
18:15:51 absence of bi-directional flows, different market
18:15:54 positions of largest wholesalers and non-economic
18:15:57 barriers.
18:15:59 On the next slide which I will skip because it
18:16:01 contains a lot of numbers, given how much time I have.
18:16:06 **PRESIDENT:** You have until -- I forgot to add the seven
18:16:10 minutes extra you had. You have until 5 past 7.00, so
18:16:14 you have another 40 -- don't make me count.
18:16:19 **MS SOLDATENKOVA:** Maybe I should break before I start
18:16:22 addressing damages, so that I can take note of how much
18:16:25 time I have left for that.
18:16:27 We will skip the next slide in relation to the price
18:16:29 comparison, so the tribunal can see here the, so to say,
18:16:31 political argument.
18:16:33 So what is probably relevant to consider as well is

18:16:35 how the two nations -- Hungary and Croatia -- perceive
18:16:39 each other, whether they do consider each other to be
18:16:41 a common market or not.
18:16:43 In fact, this is not an imaginary criterion. The
18:16:47 market definition notice specifically says the
18:16:49 differences in culture, language, lifestyle,
18:16:51 demographics or socioeconomic background can lead to
18:16:56 preferences.
18:16:58 Here as the tribunal can see, quotes which are quite
18:17:00 recent, both of 2024, from the Hungarian Ministry of
18:17:05 Foreign Affairs and from the Minister of Economy of
18:17:08 Croatia. And both seem to consider the relations in the
18:17:12 energy sector to be quite weak -- the weakest link.
18:17:16 I would quote directly the Hungarian position, in
18:17:20 relation to how those two countries trade between
18:17:26 each other.
18:17:28 So moving to the next slide, which summarises the
18:17:30 disagreements between the experts and summarises why the
18:17:34 respondent's expert Prof Dr Hildebrand and the
18:17:36 respondent disagree with the position of Dr Riechmann,
18:17:39 with respect to the geographic market.
18:17:45 The factors which are considered as key by
18:17:46 Dr Riechmann are presented on this slide. The first one
18:17:50 concerns the physical pipeline capacity between two
18:17:53 countries which allows to exploit arbitrage

18:17:55 opportunities.
18:17:57 Now Prof Dr Hildebrand concludes that while that
18:18:01 could be technically possible, in fact those
18:18:03 opportunities are not exploited, because there are no
18:18:06 bi-directional flows between the countries.
18:18:10 The second point on which Dr Riechmann relies is
18:18:13 that the storage in Hungary is used to meet demand in
18:18:15 Croatia.
18:18:17 Now storage is a distinct market, and the experts
18:18:21 agree that the relevant market is wholesale supply.
18:18:26 Finally, the experts treat swaps quite differently.
18:18:29 And respectfully we submit that the correct position in
18:18:32 the present case, that in fact swaps prove that there
18:18:35 are substantial transport costs and restrictions between
18:18:39 two countries.
18:18:41 Second, that those documents are non-transparent,
18:18:44 confidential and arbitrary, in the sense that the
18:18:48 existence of the swap depends on the budget's ability to
18:18:51 actually find a swap opportunity.
18:18:54 And finally, that if swaps could in principle be
18:18:57 used to enlarge geographic markets, then say that could
18:19:03 lead to a conclusion that Croatia and South Africa or
18:19:06 any other distant country is the same market, if the
18:19:09 parties do find an arbitrage opportunity, they need to
18:19:12 exchange gas.

18:19:13 You can even create what I would call a fictitious
18:19:17 device quoting from the REMIT in this respect,
18:19:18 specifically to create an impression of an enlarged
18:19:22 market.
18:19:23 On the next slide, the tribunal can see charts
18:19:25 considered by Prof Dr Hildebrand. And I will skip this.
18:19:31 And the next slide swiftly brings us to the section
18:19:34 concerning whether the undertaking is dominant or not.
18:19:40 The first step in the assessment of dominance is in
18:19:43 fact always the market share. Only after the market
18:19:46 share is considered is it relevant to view other
18:19:49 factors.
18:19:51 There is a clear distinction between different
18:19:53 market shares which point us to different conclusions
18:19:56 with respect to this first step.
18:19:58 So when the share is more than 50 per cent, this is
18:20:02 clearly evidence of dominance.
18:20:04 When the share is between 40 and 50 per cent, this
18:20:07 is the so-called risk zone to consider possible
18:20:10 dominance. And if the share is less than 40 per cent,
18:20:14 then dominance is unlikely.
18:20:17 Now to overcome this arithmetic approach, I would
18:20:21 say, because claimant may be dissatisified with the
18:20:25 conclusions of Prof Dr Hildebrand in this respect,
18:20:29 claimant and its expert also came up with this so-called

18:20:34 pivotality analysis.
18:20:35 And this analysis is taken from the Hoffmann-La
18:20:38 Roche decision of the commission.
18:20:42 Conveniently, in the reference to this decision
18:20:46 which we saw on the slides presented by claimant today,
18:20:48 the first part of the citation was missing.
18:20:53 This very first part specifically refers to an
18:20:56 undertaking which has a very large market share.
18:21:00 So this case in fact does not say -- the Hoffmann-La
18:21:03 Roche precedent does not say that you can be an
18:21:06 unavoidable trading partner or a pivotal supplier in the
18:21:11 absence of the large market share.
18:21:13 In that particular case, this conclusion about
18:21:16 unavoidability was specifically reached because the
18:21:19 undertaking in question had very large market shares.
18:21:24 Moving to the next slide, the tribunal can see the
18:21:27 conclusions of Prof Dr Hildebrand with respect to the
18:21:32 market shares of respondent.
18:21:39 There are three distinct approaches which were
18:21:41 applied. But for the sake of time, I will reserve this
18:21:45 for Prof Dr Hildebrand's presentation this Friday.
18:21:50 Next we would -- if we move to the methodological
18:21:55 differences, I would say, between the experts, then the
18:21:58 three key differences are the so-called back tracing
18:22:01 approach, treatment of indirect sales and the treatment

18:22:05 of swapped volumes.
18:22:06 All of them are kind of related.
18:22:10 In relation to back tracing approach, what
18:22:13 Dr Riechmann does he calculates the share of Russian gas
18:22:17 on the relevant market -- either in Croatia or in
18:22:21 Croatia plus Hungary.
18:22:22 The rationale of this approach, as explained by
18:22:25 Dr Riechmann, is that respondent is a monopolist
18:22:29 exporter of Russian gas to Europe.
18:22:32 Nevertheless, this approach is still problematic for
18:22:35 two reasons. First of all, the opposing side does not
18:22:38 provide any examples where that approach would be used
18:22:41 in the commission's practice.
18:22:43 And second, that approach incorrectly captures all
18:22:47 indirect sales of Russian gas in the relevant markets.
18:22:51 So even if say those volumes are resold 100 times,
18:22:55 those would still be captured as Russian gas, although
18:22:58 respondent would clearly have no control with respect to
18:23:02 those volumes and therefore the destiny.
18:23:05 The same goes to indirect sales. The cumulative
18:23:08 test proposed by Dr Hildebrand is not satisfied with
18:23:11 respect to all those transactions that would be
18:23:14 incorrectly captured by this approach.
18:23:17 And finally, the swapped volumes. Now the swapped
18:23:22 volumes are treated by experts distinctly differently.

18:23:26 While Prof Dr Hildebrand attributes them to the
18:23:29 Hungarian market because they physically stayed in
18:23:32 Hungary, Dr Riechmann attributes them to the Croatian
18:23:36 market in a scenario where he considers Croatian market
18:23:39 only, which is the position of the respondent.
18:23:41 Now respondent respectfully disagrees with this
18:23:43 approach for several reasons.
18:23:45 So first of all, respondent is not a party to the
18:23:48 swap agreements.
18:23:49 Second, in a practical sense, if you consider the
18:23:53 physical flows, the gas supplied by GPE into Hungary
18:23:56 never entered Croatia, so Croatian market was not
18:23:59 supplied with that gas.
18:24:00 And finally, the swap was actually contrary to the
18:24:04 gas transportation agreement. So claimant and its
18:24:07 experts attempt to rely on the gas transportation
18:24:11 agreement to explain the swaps were in fact necessary to
18:24:14 fulfil the obligations under those agreement is void.
18:24:18 And the reason for this is that the gas
18:24:20 transportation agreement provides for physical
18:24:22 transportation only.
18:24:24 Swaps clearly do not entail physical transportation.
18:24:28 Now on the next slide, the tribunal would see the
18:24:32 outcome of Dr Riechmann's calculations before they
18:24:36 adjusted for the swapped volumes.

18:24:40 And on the next slide.
18:24:44 And just a brief comment on the previous slide.
18:24:46 There is no dominance, if you consider the calculation
18:24:50 based on how the computer code calculated those shares
18:24:54 prior to the adjustment for swaps and for replacement
18:24:57 transactions.
18:24:58 Now the next slide.
18:24:59 The tribunal can see the alternative analysis by
18:25:02 Prof Dr Hildebrand, where for the sake of testing this
18:25:08 assumption, she agrees to include the swap volumes into
18:25:12 the market share of respondent in Croatia.
18:25:16 Now the tribunal can see the outcome of this
18:25:18 approach in the red box in the bottom of the slide, and
18:25:23 the conclusion is that the market share will be
18:25:27 35 per cent in 2021 and 19 per cent in 2022.
18:25:31 This is well below the dominant threshold as
18:25:35 likewise.
18:25:38 If we were to consider the pivotality analysis, as
18:25:41 suggested by claimant, albeit it has no support in the
18:25:44 commission's practice, the outcome is likely to be
18:25:48 similar.
18:25:49 Respondent was not a dominant undertaking.
18:25:51 If the tribunal -- if I ask the tribunal to consider
18:25:54 the next slide.
18:25:56 The tribunal can see the very same interview of the

claimant's beneficiary, where he emphasises the excellent position of Croatia in terms of natural gas supply, diversified supply routes and he specifically mentions LNG and Hungarian and Slovenian gas storage and domestic production, so multiple sources.

Another relevant point is the so-called residual supply index.

The residual supply index measures the market's dependence on the largest supplier by analysing the availability of alternative suppliers, to avoid full reliance of the market on its largest supplier to meet market demands.

Both experts agree that the minimum threshold for this RSI index which demonstrates that the entity is in fact independent, is 110 per cent.

Prof Dr Hildebrand in her reports rely on assessment of those numbers by the Croatian energy regulatory authority, HERA. And the assessment of HERA is as follows.

In 2021, Croatia's independence in the gas sector was above 110 per cent. The number was not specified. Whereas in 2022, it was 155 per cent. So well beyond the threshold where we could conclude that the market is in fact dependent on the dominant undertaking.

And the findings of the commission in one of the

18:27:27 reports also conclude -- I think the report itself was
18:27:30 published in 2023. But the commission considered the
18:27:34 situation in 2021. And the commission also came to
18:27:38 a conclusion that Croatia's dependence on Russian gas in
18:27:42 2021 was in fact zero.
18:27:46 Moving to the next slide. And I already mentioned
18:27:48 this today. The so-called pivotality analysis must take
18:27:53 into account how the parties behaved in relation to this
18:27:56 particular contract.
18:27:59 The definition of dominance basically pre-supposes
18:28:02 that the entity is able to behave independently of its
18:28:05 customers.
18:28:07 Now what happened in the present case is that in
18:28:09 December 2020, PPD asked GPE to decrease the price under
18:28:14 the contract. The offer was clearly unfavourable to
18:28:17 GPE. But in July 2021, GPE agreed to decrease the price
18:28:24 to its disadvantage.
18:28:25 An unavoidable trading partner will not agree to
18:28:29 lower the price if it is actually unavoidable.
18:28:33 In fact the reduction of the priming in the price
18:28:34 formula was almost by two times in favour of PPD. This
18:28:41 happened in the very period when claimant and its expert
18:28:46 allege that respondent was dominant.
18:28:51 I will move to the next block in relation to the
18:28:54 supplemental claim, which concerns the respondent's

18:28:57 alleged role in relation to the price development in
18:29:00 2021 and 2022.
18:29:03 The conclusion of Dr Prof Hildebrand in the present
18:29:07 case is actually in line with what was generally the
18:29:10 position on the market at that time. And it is that the
18:29:14 price developments were the result of the so-called
18:29:16 perfect storm. So a number of external factors.
18:29:19 In the present case, this concern and this
18:29:22 conclusion is in fact reinforced by the fact the
18:29:25 claimant alleges that respondent abused and its actions
18:29:30 led to the decrease of TTF index. Whereas TTF is a high
18:29:35 (unclear ...) benchmark with thousands of daily trades,
18:29:38 where a lot of professional entities will specialise
18:29:43 specifically in financial operations trade.
18:29:46 It is impossible that a unilateral action by
18:29:51 a certain entity could shift this market balance and
18:29:56 this trading market in such a direction as suggested by
18:29:59 claimant.
18:30:01 On the next slides the tribunal can see a summary of
18:30:05 key criticisms, so to say, in relation to the claimant's
18:30:08 expert's evidence.
18:30:11 None of the claimant's experts in this arbitration
18:30:15 presented a finding of a breach under article 102 of
18:30:18 REMIT.
18:30:20 Their findings contradict the contemporaneously

18:30:23 publicly expressed views and the general consensus on
18:30:26 the expert community.
18:30:28 And there is also a contradiction with respect to
18:30:31 what is considered to be the relevant market, and where
18:30:35 the alleged abuse occurred.
18:30:38 If we move to the next slide, the tribunal can see
18:30:41 the statements both by the claimant's beneficiary in
18:30:45 2023 and claimant's two experts in this proceeding
18:30:49 Dr Riechmann and Mr Fulwood in 2021 and 2022
18:30:53 respectively, where with respect to the relevant events,
18:30:56 they rely on a multitude of factors which led to the
18:31:01 price developments as they were in 2021 and 2022.
18:31:07 None of them makes a conclusion that that was the
18:31:09 result of GPE's actions, the result of GPE's conduct.
18:31:15 Moving to the next slide, this is very notable and
18:31:18 very important with respect to the tribunal's analysis
18:31:21 of the expert report presented by claimant. None of the
18:31:25 experts were actually instructed to assess abuse or
18:31:27 violation under REMIT.
18:31:30 So the extracts from the instructions are available
18:31:33 on the slide.
18:31:37 Moving to the next slide, respondent also addressed
18:31:41 to a large extent in its written submissions, the
18:31:45 difference between exploitative and exclusionary abuses,
18:31:48 whereas in the present case, there is clearly an

exploitative abuse, that is an abuse against the customer, with respect to which the standard of proof is very high, and there is no relevant case law.

The next two slides as analysis of the case law in this respect. And for the sake of time, I will just keep them.

But I will instead focus on the last point in relation to article 102, which is that the alleged abuse happened on a different market.

In the present case, to set the facts straight, claimant submits that the relevant market is Hungary plus Croatia. And to be precise, all sale gas supply in Croatia and Hungary.

At the same time, claimant submits that the alleged abuse occurred at the gas trading market at the Dutch TTF.

Both experts agree that gas trading is a separate market, so here we speak not only of different market as in trading versus wholesale supply, but also different geographic market, as in Croatia plus Hungary versus The Netherlands, if you consider the position of the claimant.

Now, there are exceptions, in practice, where you can establish -- try to establish abuse through a related market. But it is required to establish

18:33:08 concrete links which claimant and its experts have
18:33:12 not done.
18:33:13 Also, all examples provided in the relevant -- all
18:33:17 the relevant examples would relate to exclusionary
18:33:22 abuses and also the product and not geographic markets.
18:33:26 And finally, what is specifically relevant here is,
18:33:29 once again, the high liquidity of the benchmark, such as
18:33:35 TTF, which cannot be influenced by a single physical
18:33:37 supplier.
18:33:38 And the last point in this respect is, perhaps, the
18:33:42 key one. Claimant and its experts actually did not
18:33:45 analyse the respondent's position in TTF.
18:33:47 The claimant mentions in its submissions today that
18:33:50 the pivotality analysis conducted by Dr Riechmann would
18:33:53 lead to a conclusion that respondent is in fact dominant
18:33:57 also in The Netherlands.
18:34:00 As I mentioned with the example of the Hoffmann-La
18:34:02 Roche precedent, you cannot establish dominance based on
18:34:06 the so-called pivotality analysis in the absence of
18:34:09 large market shares.
18:34:12 There is no analysis on the record with respect to
18:34:14 the respondent's market share in relation to the trading
18:34:17 market at the Dutch TTF.
18:34:20 **And the last part of the supplemental claim:** REMIT.
18:34:24 So first of all, the standard of proof for REMIT is

18:34:27 even higher.
18:34:28 And the reason for this is twofold. So first of
18:34:31 all, REMIT is very likely to affect the fundamental
18:34:33 rights under the charter of the European Union.
18:34:39 And second, REMIT, in its objectives, specifically
18:34:43 states the relevant conduct should affect wholesale
18:34:46 energy markets.
18:34:48 So it is not sufficient for PPD to just show that
18:34:51 it, as a private entity, was affected. It needs to show
18:34:54 that there was affect on the entire market.
18:34:58 Now moving to the next slide.
18:35:02 The tribunal can see the relevant explanation with
18:35:07 respect to the first violation alleged by claimant in
18:35:11 the present case, which is the violation under article
18:35:14 **2(2)(a)(iii), which relates to:**
18:35:19 "entering into any transaction or issuing any order
18:35:20 to trade ... which ... employs or attempts to employ
18:35:24 a fictitious device or any other form of deception or
18:35:27 contrivance ..."
18:35:29 Following claimant's submission, I still do not
18:35:31 understand what is the fictitious device which was
18:35:34 allegedly used by respondent.
18:35:38 And respectfully claimant provided no evidence that
18:35:40 could show that this provision is anyhow relevant to the
18:35:44 actual claims which it is bringing before respondent.

18:35:47 So it did not identify the type of conduct which
18:35:50 could meet this definition. And in fact what is alleged
18:35:54 by claimant is distinctively different. Claimant
18:35:55 alleges capacity withholding and dissemination of
18:35:59 misleading information.
18:36:00 On the next slide, which I will definitely skip for
18:36:03 now, the tribunal can see an analysis of certain
18:36:05 selective statements, by which PPD claims GPE violated
18:36:09 the obligation not to disseminate the misleading
18:36:13 information.
18:36:15 And on the next slide, the tribunal can see
18:36:16 a definition with respect to manipulative capacity
18:36:20 withholding from the ACER guidance.
18:36:23 There are five key requirements which have to be
18:36:24 established, including the available capacity, the
18:36:28 ability to affect market price, conscious decision not
18:36:32 to offer capacity, no legitimate justification for the
18:36:34 withholding and market distorting effect.
18:36:38 This was not analysed by the claimant's expert.
18:36:41 So there is no consideration of those factors with
18:36:44 respect to the respondent's conduct which is alleged to
18:36:47 violate REMIT.
18:36:49 The tribunal can see a classic example with respect
18:36:51 to PPD's own actions, with respect to the fine and the
18:36:55 administrative offence of which PPD was found guilty by

18:36:59 the relevant national regulatory authority which, once
18:37:02 again, emphasises that REMIT is not arbitrable.
18:37:05 Now that conduct concerned PPD bidding for nearly
18:37:10 100 per cent of the available capacity across 36 bidding
18:37:15 rounds. So PPD participated in the auction for
18:37:17 36 bidding rounds, bidding for nearly 100 per cent and
18:37:21 maintaining high volume bids.
18:37:23 They're driving the prices up. And after prices
18:37:27 were already very high, PPD simply exited that auction
18:37:31 without making transaction.
18:37:33 That was found to be a classic example of violation
18:37:36 under article 5 of REMIT.
18:37:38 Respondent's conduct is respectfully not, and the
18:37:41 tribunal can see a summary of explanations in this
18:37:43 respect in the last slide.
18:37:47 So 98 per cent of production was in fact marketed.
18:37:49 There was no unilateral pricing power for TTF prices.
18:37:55 GPE committed to link prices to provide
18:37:57 a competitive benchmark. In 2021, production was
18:38:01 scaled up.
18:38:02 The under-deliveries in 2022 were caused by
18:38:04 contractual force majeure events. And the only minor
18:38:08 differentials between TTF and other hubs, while
18:38:11 respondent is alleged to have manipulated TTF.
18:38:17 Moving to the next slide, I will very briefly

18:38:19 address claimant's arguments with respect to the private
18:38:24 law aspect of a supplemental claim.
18:38:25 So claimant brings it under several heads, which are
18:38:28 all based on Austrian law. While as the tribunal can
18:38:32 see from the next slide, Austrian law is not applicable
18:38:35 in the present case to the supplemental claim in this
18:38:38 private law aspect, because of the Rome II regulation,
18:38:40 which operates as a relevant and mandatory conflict of
18:38:45 law rule, either as part of Austrian law as the law of
18:38:49 the seat, or because it represents public policy, as in
18:38:53 fact expressly follows from recital 21 of Rome II
18:38:58 regulation.
18:39:00 What it means, in practice, is that the relevant law
18:39:03 which would be applicable under article 6 of the Rome II
18:39:07 regulation is a law of the affected market.
18:39:10 Respondent's position is the law of the affected
18:39:12 market is Croatian law, and the tribunal can see the
18:39:15 position in Croatian law on the next slide.
18:39:18 Basically, the Croatian law has to prove adequate
18:39:19 causality between the alleged breach and damages.
18:39:26 While claimant insists on application of Austrian
18:39:29 law is because Austrian law contains so-called
18:39:32 protective law rules, the special tort for violation of
18:39:35 protective laws, which provides for lowest threshold for
18:39:40 lower burden of proof for claimant. And this is what

18:39:42 claimant discussed today in front of the tribunal.
18:39:47 Croatian law contains no such provisions. It
18:39:49 requires to show the damages were caused by the conduct
18:39:52 in question.
18:39:53 On the next slide, the tribunal can see the same
18:39:55 position under Hungarian law.
18:40:00 And lastly, I will explain why in the present case,
18:40:02 even if claimant tried to prove causation, claimant
18:40:05 could not possibly do it.
18:40:07 So claimant claims damages of three categories. So
18:40:10 first of all, the alleged losses from sales to
18:40:12 Petrokemija.
18:40:14 Second, alleged losses from sales to GPZ.
18:40:18 Finally, alleged loses from sales to HEP.
18:40:22 All those losses, as in fact considered by claimant,
18:40:25 it follows directly from the description of those
18:40:26 damages, were actually as a result of other human
18:40:30 actions.
18:40:31 So Petrokemija's management decided to take little
18:40:35 or no gas. PPD decided to maintain supplies to GPZ,
18:40:39 even after GPZ failed to pay. And some potential
18:40:44 counterparties declined to hedge transactions of PPD.
18:40:49 All of this is beyond respondent's control and
18:40:49 cannot be attributed to respondent.
18:40:53 Now for the same reason, section 1295 of the

18:40:59 Austrian Civil Code is inapplicable. If you move to the
18:41:03 next slide and the next slide, claimant also failed to
18:41:08 prove intent to inflict harm which is necessary for that
18:41:13 provision to be invoked.
18:41:16 As claimant did not address it today, I will also
18:41:19 skip duties of care and loyalty.
18:41:23 So I think that could be it.
18:41:26 If I can take a small pause to consider what sort of
18:41:30 damages we would have sufficient time to address, that
18:41:33 would be very helpful.
18:41:35 **PRESIDENT:** You have, at this moment, 25 minutes left.
18:41:42 It's 41 until 5 past 7.00. It's now 24 minutes.
18:41:50 **MR HAUGENEDER:** According or our calculation, this should
18:41:52 end at 18.57 at the latest.
18:42:01 **PRESIDENT:** When counsel started at 5.49, she had --
18:42:05 I told her she had 58 minutes left. I was wrong. She
18:42:10 had 66 minutes left, because she's entitled to 217
18:42:14 minutes.
18:42:14 So my understanding is that the respondent still has
18:42:19 25 minutes left, until 5 past 7.00.
18:42:23 If I'm wrong, correct me if I'm wrong.
18:42:29 **MR HAUGENEDER:** I believe we were already before -- at
18:42:34 18.23, we were at 181 minutes.
18:42:41 **PRESIDENT:** Please go on.
18:42:42 **MR HAUGENEDER:** But we --

18:42:43 **PRESIDENT:** No, no. Please make your point. I don't want
18:42:46 to be right because I'm wrong. You see?
18:42:51 I just want to know.
18:42:57 Let's take a three-minute break.
18:43:01 (6.43 pm)
18:43:04 (Short break)
18:43:05 (6.49 pm)
18:49:13 **MS SOLDATENKOVA:** So we will go straight to damages, and
18:49:15 I will just address the key legal points made by the
18:49:18 other side.
18:49:19 If we can go to the slide number 162, I will briefly
18:49:29 explain -- or rather slide 161, I will briefly explain
18:49:34 why the claimant's approach to damages to flawed,
18:49:36 meaning to those replacement transactions.
18:49:39 Claimant alleges that all transactions from 1 April
18:49:44 are in fact replacement transactions. And claimant
18:49:46 relies in this respect on articles 75 and 76 of
18:49:49 the CISG.
18:49:51 But the true nature of articles 75 and 76 of the
18:49:56 CISG is that those regulate the so-called avoidance
18:50:00 damages -- so after the contract is avoided.
18:50:02 For this reason, those clauses are not accessible to
18:50:06 PPD prior to the notice of avoidance, which was only
18:50:09 submitted by PPD in March 2023.
18:50:13 Moving to the next slide, when the claimant's expert

18:50:18 Mr Way calculates claimant's losses from the replacement
18:50:21 transactions, he applies the peculiar approach. In
18:50:24 a way that he relies, he considers only those
18:50:27 replacement transactions which entail lost PPD.
18:50:30 In the sense that when the contract price was in
18:50:33 fact more beneficial than the price under this contract,
18:50:37 he does not consider those transactions in his analysis.
18:50:41 This approach is respectfully incorrect. To support
18:50:44 this approach, Mr Way relied on article 12 of the
18:50:48 contract, but article 12 of the contract is irrelevant
18:50:52 to the assessment of damages.
18:50:54 Article 12 provides remedy for under-supply, which
18:50:59 is not what claimant seeks here.
18:51:01 Second, it is also inconsistent with the CISG to
18:51:06 consider only loss making transactions.
18:51:09 The approach that claimant suggested that each
18:51:11 individual successive delivery is to be treated as
18:51:15 a separate contract is respectfully incorrect, because
18:51:18 it applies to instalment contracts, whereas this is not
18:51:22 the case here.
18:51:23 A remedyREMIT for breach of the entire contract
18:51:25 relies on a remedy for a breach of a particular
18:51:28 instalment, a particular transaction, applies to the
18:51:31 entire contract.
18:51:33 This can be well illustrated by the next slide.

18:51:36 So many transactions, as the tribunal can see from
18:51:39 the calculations of the respondent's experts, actually
18:51:44 were beneficial to PPD. So PPD managed to acquire gas
18:51:48 under the conditions which were much more beneficial to
18:51:51 claimant than the price under the contract.
18:51:54 Yet, those transactions are wrongly included from
18:51:57 the assessment of claimant's replacement damages.
18:52:00 This naturally inflates the amount of the claimant's
18:52:04 claim against the respondent.
18:52:07 Now if we can move to the next block of claims
18:52:11 brought by claimant which concerns the gas
18:52:14 transportation losses. This is slide 169.
18:52:19 Those losses are also outside what could be awarded
18:52:25 possibly by this tribunal to claimant.
18:52:27 And the reason for this is very simple. GTA, as
18:52:30 I already mentioned, contains a different arbitration
18:52:33 clause. So any claims for damages under the gas
18:52:38 transportation agreement or the GTA are to be submitted
18:52:41 to arbitration under article 12.2 of the GTA, which is
18:52:45 a different arbitration seated in Switzerland.
18:52:49 However, even if the tribunal were to accept those
18:52:51 claims and to consider them, then that claim is not
18:52:55 substantiated as a matter of substance.
18:52:58 That is because respondent had no obligation to
18:53:01 eliminate under the GTA.

18:53:04 The tribunal can see the relevant provisions of the
18:53:07 GTA on the slide. The GTA does not provide a minimum
18:53:11 amount of gas that has to be nominated by GPE.
18:53:16 This is quite different from the contract, where PPD
18:53:18 did have minimum nominations which it was to make,
18:53:21 otherwise it had to pay the so-called take or pay
18:53:26 clause. There is no such clause in the GTA.
18:53:29 So GPE was not obliged to make those nominations.
18:53:33 Now with respect to the casual link, because it
18:53:36 addresses potentially the claimant's argument that while
18:53:40 GPE did not have an obligation, but it did in fact
18:53:42 nominate gas. There is in fact no casual link in the
18:53:46 present case.
18:53:47 That is because the claimant's own case, which it
18:53:52 emphasises loss specifically in respect of its
18:53:54 competition law claims, delivery point of the contract
18:53:57 is Croatia and GTA was specifically concluded to ensure
18:54:02 physical transportation of gas to Croatia. So to make
18:54:06 sure that respondent fulfils its obligation to deliver
18:54:09 gas in Croatia.
18:54:11 Naturally, for the gas to be delivered to Croatia,
18:54:13 this gas first has to be transported to Croatia. So in
18:54:18 this sense, the obligation under the GTA precedes the
18:54:21 fulfillment of the obligation under the contract.
18:54:24 For this reason, the casual link which the claimant

pleads between the breach of this contract and the GTA
is, in fact, non-existent.
There are also multiple other arguments which
respondent submitted, which explain why GTA damages are
not claimable.
But I will stop just on one of the last arguments,
which is on slide 174.
That is that the gas transportation loss is, in
fact, unforeseeable.
If the tribunal considers the relevant provisions of
the GTA, then article 2.2 of the GTA says that the
company, which is PPD under the GTA, must make available
to the client the transportation capacity.
So the transportation capacity must be booked
by PPD.
Now, by contrast, there is no minimum nomination on
the part of GPE.
What it means is that the obligation to make
available the transportation capacity exists without and
separately from nominations made by GPE.
So this is an obligation of PPD without any
bilateral relationship, so to say, whether there is
a nomination by GPE or not.
This means that this loss is not foreseeable.
Because if you go to the next slide, GPE cannot be held

18:55:46 liable for non-performance of obligations it never
18:55:49 committed to. And GPE never committed to nominate any
18:55:53 volumes under the GTA.
18:55:56 PPD is unable to claim any transportation fee as far
18:56:00 as no obligation to provide the transportation service
18:56:02 has arisen. And GPE could also not foresee the
18:56:04 transportation loss to be claimed under the contract,
18:56:08 especially in the circumstances when PPD did not in fact
18:56:11 provide -- did not in fact book the transportation
18:56:14 capacity.
18:56:16 Now that is all for the claimant's claims.
18:56:17 And I have seven minutes for the respondent's
18:56:20 counterclaim.
18:56:21 If we go to slide 178, this concerns the first block
18:56:28 of claims brought by respondent in this arbitration.
18:56:31 Now when claimant presented its position on the
18:56:34 counterclaim, it did not focus a lot on this particular
18:56:36 block, but in fact this is perhaps central to this
18:56:39 dispute.
18:56:40 Those are the two amounts of gas supplies which were
18:56:42 not paid for, and now the amount is substantially
18:56:45 higher -- the undisputed amount between the parties. It
18:56:48 is 455 million euros. Because the penalties on this
18:56:52 amount has already accrued.
18:56:56 If we go to the next block of claims, which is

18:57:01 heavily disputed by claimant in this proceeding, that
18:57:03 would concern the GPE's entitlement to claim payment for
18:57:06 minimum annual quantities. This is slide 183.
18:57:13 PPD suggests that in response to its refusal to pay
18:57:18 for gas deliveries, GPE was still required to make those
18:57:24 deliveries to make the gas available.
18:57:26 This is a completely illogical proposition. Because
18:57:30 otherwise PPD says GPE does not have an entitlement to
18:57:34 claim those minimum annual quantities, because it did
18:57:37 not perform the obligation on its part. It did not make
18:57:41 those volumes of gas available.
18:57:43 But this puts respondent in an impossible position.
18:57:46 Because it means that PPD's refusal to pay for gas
18:57:51 deliveries, GPE has two forms of response available,
18:57:53 both of which inflict inevitable damage on the part of
18:57:57 GPE, which arises from PPD's misconduct.
18:58:00 The first block is GPE's -- the first option is that
18:58:04 GPE supplies gas free of charge and does not lose the
18:58:09 right to claim minimum annual quantities, as suggested
18:58:11 by claimant.
18:58:13 And the second option is the one exercised by
18:58:15 respondent, that it suspends supplies and loses the
18:58:18 right to minimum the annual quantity payments.
18:58:23 It is clear from the CISG that the party should not
18:58:27 benefit from its unlawful conduct. And this situation,

18:58:30 which the claimant suggests, would be exactly as such.
18:58:34 If we move to the lost profits section, and this is
18:58:37 slide 185, respectfully, a lot of what was said by
18:58:42 claimant today in relation to the counterclaim of
18:58:46 respondent concerning lost profits, is completely
18:58:49 irrelevant to the lost profits approach.
18:58:53 For example, claimant focused a lot on the
18:58:55 replacement transactions and the fact that claimant's
18:58:58 experts were supposed to consider those replacement
18:59:00 transactions.
18:59:01 But this ignores the essence of lost profits
18:59:04 calculation. Because the essence of lost profits
18:59:07 calculation -- the tribunal can see it on the next
18:59:09 slide -- is this no mitigation is in fact possible. No
18:59:13 substitute transactions are possible. And damages are
18:59:16 equal to the profit margin from the failed contract.
18:59:20 Yes, if you look at this, it could seem that this
18:59:23 actually entails a very, very significant remedy which
18:59:27 could put a lot of pressure on the other party.
18:59:30 But if we go to the previous slide, there are
18:59:33 concrete reasons why respondent suggested that this type
18:59:35 of and this concept is available.
18:59:39 And for the sake of time, I will not address it now,
18:59:42 but this is related directly to the nature of gas as
18:59:46 goods, to the nature of the market where you have only

a limited list of potential buyers, and finally to the access to the infrastructure, for which respondent is not responsible, but which limits its ability to market gas.

Now lastly, I will address the sanctions relief argued by claimant which claimant submits actually prevents the granting of the respondent's counterclaim.

This approach is incorrect for several reasons, both under article 11 and article 10.

So first of all, with respect to article 11 of regulation 833, the payment mechanism as demonstrated by my colleague, entails no prohibited transactions. And in any event, the argument that the payment mechanism contradicts sanctions is completely irrelevant and does not allow to invoke article 11 with respect to two months of gas supplies which were not paid for.

This is for two reasons. First of all, that amount has not relation to the continuation of supplies in the contract, if claimant consider that to be contrary to sanctions.

Claimant also had a concrete mechanism to pay for those two months of gas supplies.

What claimant could do is in response to the respondent's letter of 19 January 2023, when respondent proposed to claimant to settle that for two months of

19:01:15 gas supply directly to GPE's account in euros, PPD could
19:01:20 recover, could actually pay the debt, and no concerns
19:01:24 with respect to sanctions would arise. Because that
19:01:27 would be a direct payment to GPE's account.
19:01:31 Claimant failed to do it. And from the moment when
19:01:33 claimant refused to do it, if the impossibility -- the
19:01:38 non-performance is on the claimant's side, because
19:01:41 respondent actually gave claimant a mechanism how to
19:01:45 settle its debts sanctions free.
19:01:48 For those reasons, articles 11 and 10 of the
19:01:52 relevant EU sanctions regulations are plainly
19:01:55 inapplicable in the present case. They do not apply on
19:01:58 any occasion to the claim with respect to the two months
19:02:03 of unpaid gas supplies.
19:02:05 Finally, claimant cannot rely on them to avoid those
19:02:09 payments because it was provided with a concrete
19:02:11 mechanism where those payments would be settled directly
19:02:14 to respondent's account, and without the use of the
19:02:17 payment mechanism.
19:02:19 This ends my submission. Thank you very much.
19:02:25 **PRESIDENT:** This concludes your presentation?
19:02:27 **MS SOLDATENKOVA:** Yes. Thank you.
19:02:28 Questions by TRIBUNAL
19:02:44 **MS HOFFMANN:** I have one question.
19:02:45 The question is in relation to the presentation you

19:02:47 gave, Mr Talanov.
19:02:50 I think you might have answered something I have
19:02:52 been wondering when looking at the payment mechanism, as
19:02:57 it's been set out by both parties, with circles and
19:03:01 squares and the chain of events, so to speak.
19:03:04 You said during your presentation that Gazprombank
19:03:10 does not have its own euros.
19:03:12 And Gazprombank, being a Russian bank, without, as
19:03:17 far as I know, branches in Europe, would need
19:03:21 a correspondent bank to hold its euros. Am I correct?
19:03:25 **MR TALANOV:** Absolutely.
19:03:26 **MS HOFFMANN:** Thank you.
19:03:30 Sorry. Do you happen to know who that correspondent
19:03:32 bank is?
19:03:33 **MR TALANOV:** I'm afraid not. Because we have no knowledge
19:03:35 of Gazprombank.
19:03:39 **MS HOFFMANN:** Thank you.
19:03:40 **MR TALANOV:** It's in Luxembourg.
19:03:51 **DR REINER:** One question to both parties.
19:03:56 I think I understand that respondent says that the
19:04:02 payment mechanism required payments two days earlier
19:04:08 than under the contract.
19:04:11 **And my question to both sides is:** how do you assess
19:04:16 that from a purely contractual point of view? In
19:04:19 particular vis-a-vis article 54 of the CISG.

19:04:32 **MS SOLDATENKOVA:** Respondent assess it exactly as a minor
19:04:34 correction. It does not, for the reasons explained by
19:04:37 my colleague, change the actual moment when the
19:04:39 obligation is fulfilled, but it does require the party
19:04:42 to take steps to make payment earlier to this.
19:04:45 Because for the payment to arrive by the contract
19:04:49 due date, it needs to be made earlier.
19:04:52 So that would be the summary. And because two days
19:04:55 in comparison to 30 days -- I mean, in comparison to
19:04:58 almost a month which PPD had to pay for the previous
19:05:02 months of gas supplies, is indeed marginal.
19:05:05 So right now PPD has effectively 58 days from the
19:05:09 first day of the previous month of supplies to pay
19:05:12 for it.
19:05:13 **MR TALANOV:** If I could add. I fully see your point on
19:05:16 the contractual side of the story, and I really agree
19:05:20 that these two days may have contractual consequences,
19:05:22 in the sense of the funds available to an entity in the
19:05:28 course of these two days.
19:05:29 But I think the parties could perfectly agree on
19:05:32 some corresponding modification maybe of the contract
19:05:35 price or whatever, so that to address that concern, if
19:05:38 it was raised by PPD.
19:05:40 But given that there was no concern ever raised and
19:05:43 the proposal was signed in two days after it was

19:05:49 received, there was absolutely no ground for any
19:05:53 discussion on the possible contractual relief that PPD
19:05:56 could ask for, unfortunately.
19:06:01 **DR REINER:** Any comment by claimant?
19:06:20 **MR HAUGENEDER:** Yes. We don't know where these two days
19:06:25 come from.
19:06:26 And in actual fact, the completion of this process
19:06:33 was much longer, so we say four to eight days
19:06:39 approximately.
19:06:44 We also do not understand in this context that it
19:06:48 was said that the payment obligation would somehow be
19:06:54 already discharged with the transfer of the euros to the
19:06:58 Gazprom account, because decree 172 clearly says that
19:07:04 the payment obligation is only discharged with the
19:07:09 transfer of the roubles to Gazprom.
19:07:15 So we don't know where these two days come from. We
19:07:20 dispute this. This wasn't the actual reality to
19:07:23 complete this process.
19:07:27 **DR REINER:** My next question relates more fundamentally to
19:07:29 the payment mechanism.
19:07:34 **MR TALANOV:** For a sense of clarification, because if you
19:07:34 permit.
19:07:34 As the representatives of the claimant said that
19:07:39 these two days term has no clear source. To that letter
19:07:44 which is on the record C03, which is the letter of

19:07:48 1 April, there was an instruction of Gazprombank
19:07:51 attached and it was the mandatory term for Gazprombank
19:07:55 to do this transfer.
19:07:56 So this term was always complied with.
19:07:59 I see the point that maybe the claimant may feel
19:08:03 longer timeframes, but they were not somehow relevant to
19:08:06 Gazprombank, but to longer European bank compliance
19:08:11 proceedings that may apply because of the possible
19:08:14 sanctions.
19:08:15 But there is a very hard time limit in this
19:08:18 instruction that was attached to the original
19:08:20 letter C03.
19:08:21 **MS SOLDATENKOVA:** And those compliance issues would apply
19:08:23 irrespective of whether the payment is made to PPD's own
19:08:26 account or to GPE's account in Gazprombank.
19:08:31 **DR REINER:** My next question relates to the payment
19:08:33 mechanism more generally.
19:08:36 What I tried to understand is what the purpose of
19:08:38 that mechanism was.
19:08:42 I understand respondent to say that all what
19:08:45 happened after the payment to this new euro account is
19:08:51 of no relevance to claimant.
19:08:55 But if that's the case, why not just keep the
19:08:58 initial euro account and then whatever respondent wants
19:09:02 to do with these euros, it's respondent's business. Why

not just stick to that?
I understand there's a dispute about the implication of claimant in all those further steps. But I mean, without going into those details now, the question still **remains:** why not do it whatever respondent wants to do, do it internally once you receive the claimant's euros on the initial euro account?

MR TALANOV: We fully share your concern and GPE has the same logic. It will be happy to receive the same euros on the same account.
It's difficult for GPE to actually address the reasons behind this document as published by the president.
However, as I tried to clarify during my speech, based on those clarifications that were given by the president on the very same day when the decree was issued, and given that it was one of the number of measures that have been developed by the Russian Federation to address the problems with foreign transactions.
Apparently, based on these clarifications, one could conclude that this mechanism was necessary to ensure that foreign banks consider the scheme transparent and they see that it is exchange trade of foreign currency with a clearing house that is visible, non in sanctions

19:10:41 and there is no one standing behind it pretending to be
19:10:45 a non-sanctioned entity.
19:10:47 So as I understand the clarifications by the
19:10:49 president, it was a measure so that to reduce risks of
19:10:54 overcompliance to the parties paying for the Russian gas
19:10:59 by their banks. Effectively addressing the concerns of
19:11:02 these longer timeframes as mentioned by my learned
19:11:07 colleague, to minimise those days from 10, eight, six at
19:11:12 the European side, to one or two.
19:11:17 **DR REINER:** Any comment on claimant side?
19:11:19 **MR HAUGENEDER:** Yes. That was, I believe, not the answer
19:11:23 to the question that you posed.
19:11:26 **The question that you posed was:** what was the
19:11:28 purpose? And clearly this mechanism makes only sense
19:11:34 when one looks at the documents that have been submitted
19:11:38 and the statements of Mr Putin in those documents, which
19:11:45 clearly underline that the purpose of the mechanism was
19:11:51 to manage the currency reserves of the CBR and the
19:11:57 Russian economy and to create a mechanism that would
19:12:03 allow sanctioned entities to have access to foreign
19:12:09 currency, to euros.
19:12:12 That is clearly the purpose of this, otherwise this
19:12:18 very complex and in-transparent succession of transfers
19:12:25 makes no sense whatsoever.
19:12:30 Gazprom itself is unable to explain what actually

19:12:32 the purpose was.
19:12:35 **DR REINER:** Thank you.
19:12:35 My last question -- there will be more questions,
19:12:38 I think, in the course of those two weeks. But my last
19:12:41 question, just a clarification, relates to the decree
19:12:45 amendment number 992.
19:12:48 If I understand well, that decree would have allowed
19:12:52 to pay for the unpaid deliveries that you say were
19:12:59 unpaid without going through the new payment mechanism.
19:13:08 Do both sides agree on that?
19:13:12 Right.
19:13:12 But my follow-up question is assuming claimant would
19:13:17 have done that, could they also have relied on the
19:13:21 initial payment formula, in accordance with decree
19:13:27 amendment number 992 for any future gas deliveries or
19:13:31 would any payment for any future deliveries of gas have
19:13:37 had to be made in accordance with the new payment
19:13:43 mechanism decree 172 and 254?
19:13:49 **MS SOLDATENKOVA:** The purpose of the decree was
19:13:52 specifically settlement of debts. So from the (unclear
19:13:54 ...) of the decree, it follows that, no, the settlement
19:13:56 of debt via this direct mechanism was not a ground under
19:14:00 the decree to resume supplies.
19:14:02 To resume supplies, the other party would need to
19:14:05 agree to pay for them in the future, in accordance with

19:14:08 the payment mechanism.
19:14:10 **DR REINER:** That was my understanding. I wanted to
19:14:11 double-check.
19:14:15 **MS PETKUTE:** Yes. The decree 992 allowed to pay the debts
19:14:18 in euros. It specifically says that any payment for the
19:14:22 future supply of gas has still to be made via the
19:14:27 mechanism if gas is to be delivered.
19:14:31 **DR REINER:** Thank you.
19:14:34 **PRESIDENT:** I have a simple question, with simple
19:14:38 questions.
19:14:39 There is a sequence of letters exchanged between
19:14:44 31 October 2022 and 3 November 2022.
19:14:49 So I refer to C12, R8 and C13, which are presented
19:14:56 in the e-bundle on the contractual documents on the key
19:15:00 correspondence under B227, B228 and B229,
19:15:08 particularly -- because the parties have referred to
19:15:10 these letters today.
19:15:13 Particularly on 31 October 2022, two letters were
19:15:18 exchanged. In the bundle, they're presented as first
19:15:26 Gazprom's letter or respondent's letter, and then that's
19:15:31 C12. And then PPD's letter R8, on that same date.
19:15:38 I would like to know whether there is any sequence
19:15:41 in which this should be read or whether they are
19:15:46 independent from each other. They're not -- none is
19:15:49 answering the other.

19:15:55 So maybe either of you.

19:15:59 **MR HAUGENEDER:** We believe we would have to verify the
19:16:03 time.

19:16:05 **MS SOLDATENKOVA:** Likewise.

19:16:06 **PRESIDENT:** Yes. Maybe it's a question that the tribunal
19:16:09 could ask to the witnesses, to the authors of the
19:16:12 letters. But since the parties have relied on these
19:16:17 letters -- so thank you very much, respondent. Maybe
19:16:21 you want to --

19:16:23 **MR TALANOV:** We will also prefer to clarify. We have some
19:16:25 initial understanding of that, but not to mislead the
19:16:28 tribunal, we'll prefer to double-check. Thank you.

19:16:31 **PRESIDENT:** Thank you.
19:16:33 We have housekeeping matters which won't be on the
19:16:35 record.
19:16:36 Thank you very much.
19:16:37 We will resume tomorrow at 9.30 with the examination
19:16:42 of the first witness.
19:16:46 This is all for today.
19:16:48 We are off record now. (Pause).
19:17:09 We go back on record.
19:17:22 The tribunal has prepared a form of oath and a form
19:17:27 of affirmation for the fact witnesses. Unless the
19:17:30 parties have agreed otherwise on a form, I was just
19:17:36 offering to circulate it to you for tomorrow. So you

19:17:41 will shortly receive an email to that extent.
19:17:44 But if you wish to agree on another formulation, the
19:17:48 tribunal will gladly take the other formulation.
19:17:52 **MR TALANOV:** Thank you.
19:17:53 **MR HAUGENEDER:** Thank you.
19:17:53 **PRESIDENT:** Now we are off record.
19:17:56 (7.18 pm)
19:17:58 (The hearing adjourned until 9.30 am on the following day)